

Cliff Notes: dynamic risks

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By [Elliot Clarke](#), [Illiana Jain](#) & [Ryan Wells](#)

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Key insights from the week that was.



In an 8-1 vote, the RBA Monetary Policy Board (MPB) delivered its third consecutive rate hike, raising the cash rate by 25bps to its prior peak of 4.35%. The MPB stated that “the conflict in the Middle East has resulted in sharply higher fuel and related commodity prices” and that “this is likely to have second-round effects on prices for goods and services more broadly.” Inflation is now expected “to remain above target for some time”. The MPB are also attune to the risk of “price rises get[ting] built into longer

term inflation expectations” in the event of a longer, or more severe, conflict.

In a video update midweek, Chief Economist Luci Ellis noted that Governor Bullock’s press conference was a bit more dovish than we had anticipated, with the last three hikes framed as giving some space for the MPB to assess how the risks evolve. That said, the staff’s forecasts – which are predicated on an assumption of around one-and-a-half more rate hikes – have underlying inflation peaking at 3.8%yr in Q2 2026 and not returning to target until the end of its forecast horizon at June 2028. Inflation risks are firmly skewed towards a higher peak and potentially a slower return to target. We therefore continue to expect another two rate hikes from the RBA in coming months. But, given Governor Bullock’s somewhat more cautious tone, we admit the case for June is now more finely balanced.

Rate hikes already look to be having an effect on the housing market, with national dwelling price growth slowing from a monthly pace of 0.6% in January to 0.2% in April. Performance across the capital cities is mixed, with prices down in Sydney and Melbourne prices but still rising in Brisbane, Adelaide and Perth. While a firming uptrend for dwelling approvals bodes well for supply, cost pressures stemming from the Middle East conflict will likely cause delays and some second thoughts on projects planned but not commenced.

Trends across other parts of the economy are also starting to shift. The ABS’ nominal household spending indicator bounced 1.6% in March on account of higher fuel costs, mirroring our own consumer card activity data. Abstracting from price effects, we expect real consumption to gain 0.6% in Q1; however, outside of fuel and electricity (buoyed by the rebate roll-off), the spending pulse looks faint. This speaks to the more challenging economic outlook taking hold across the nation, particularly in non-mining states where revenue constraints and higher expenses provide less scope for fiscal support.

Before moving offshore, a final note on trade. Unlike the shocks of recent years which benefitted Australia’s net trade position, recent data revealed the nominal goods trade surplus buckled into deficit in March for the first time since 2017. Higher fuel import costs (+37.4%) and volatility in gold played important roles. But the chief culprit behind the surprise was a remarkable surge in data processing machine imports, up \$2.9bn or 300% in the month. While noisy and likely a wash for GDP – being offset by inventories or investment – this is clear evidence of the global AI investment drive reaching Australia’s shores.

Offshore, markets have been pre-occupied by developments in the Middle East. At the beginning of the week, President Trump announced Project Freedom, an initiative to provide safe passage through the Strait of Hormuz to ships stuck in the Persian Gulf. As soon as the operation commenced though, skirmishes were seen between the US and Iranian military. UAE energy infrastructure was also targeted.

The US did not retaliate, however, instead referencing an end to the offensive portion of this war. And, within two days, Project Freedom was suspended indefinitely to make way for further intermediated negotiations. Reports suggest progress has been made, albeit without detail. Iran is arguably coming under greater pressure to make a deal, with China’s Foreign Minister emphasising this week the need for a quick end to the conflict and re-opening of the Strait while meeting Iran’s Foreign Minister. The

timing of this development is not a surprise considering President Trump and President Xi are due to meet mid-month.

Data releases were uneventful this week. The ISM services index for April eased slightly to 53.6. The new orders index fell 7.1pts to 53.5, slightly below its 10-year pre-COVID average, and the employment indicator rose 4pts but remained weak versus history. The latest JOLTS job openings data and ADP private payrolls release were broadly consistent with balance between labour demand and supply. For the FOMC, this will keep the focus on inflation risks. Guidance given by FOMC members this week was consistent with this view.

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Three challenging trends and the opportunities they present for Australian women

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By Luci Ellis

Chief Economist Westpac Group, Westpac

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Three challenging trends – demographics, technology, and expectations of government – present opportunities for Australian women. How might the federal budget support them?



Thanks to the Women in Economics Network for the opportunity to speak to you today and share the stage with such accomplished professional colleagues. I am grateful for the important work WEN does. Economics is a science of human behaviour. Our endowments, our priorities and – in some circumstances – our physiology can all matter for our choices and our economic outcomes. If economics does not incorporate those diverse perspectives, it loses the ability to explain human behaviour. A profession that is more balanced across both sexes is critical to getting that diversity of perspectives.

With so much going on in the world, it is all too easy to fixate on immediate problems, ignoring the longer-term issues – and opportunities. Today I want step back and talk about those longer-term trends. I will:

- outline three big trends shaping current and future outcomes
- highlight the opportunities these trends present for Australian women – not just the downsides
- suggest some ways that the federal budget, and government more broadly, might promote those opportunities, rather than focus only on the downsides.

These three trends are:

- The ageing population
- The AI technology revolution – and it is a revolution
- Rising expectations of government – perceived or real

Ageing population, growing workforce

Many in the room will be under the impression that population ageing means a shrinking workforce. I am here to tell you that this is not true. Work with my Westpac colleague Ryan Wells back in September shows that in most Western economies, the labour force participation rate is in fact rising. In Australia it is on a five-decade up-trend, reaching historical highs in recent years.

Yes, the share of older people in the population is increasing. Population ageing happens because we are living longer, healthier lives. People will make different choices when lifespans lengthen. They will work for longer and retire later. Part of this stems from policy changes, such as higher pension eligibility ages. But much of it is the choices people make, knowing that they would otherwise need to fund very long retirements, and knowing that they do not need to retire early due to ill-health in the same numbers as previous generations did. Thus participation rates within age groups rise, especially the 55–64 age group. This can be (and for Australia, so far is) enough to offset the rising share of older people.

The reason for this counter-intuitive result is an example of first-round thinking not being enough. We need to account for people's responses changing as circumstances change. Just as Toyota taught us to ask “why” five times to get to the root cause, we must ask, “and then what?” five times to understand how a longer-term trend will play out. Changes in age mix do not happen in isolation. The “and then what” is that participation rates within age groups rise and can more than offset an ageing population

mix.

I suspect that people also missed this trend because it is not happening in the United States. US life expectancy has not really increased in the past couple of decades; premature death is much higher than in peers such as Australia and Europe. And so participation of the 55–64 age group, and even the prime-age 25–54 group, in the US lags other advanced economies. The gap is now such that overall participation in Japan is noticeably higher than in the US, despite Japan's population being much older on average.

How this is an opportunity for Australian women

Population ageing does present opportunities for women. First, some of the increase in overall participation stems from still-rising participation by women in the 25–54 age group, not just from older workers. There will always be some jobs – say, furniture removal – where male upper body strength will remain an advantage. As the workforce changes, though, job design will need to evolve to fit those changes, and the changes driven by an ageing workforce and a more female workforce are likely similar.

In addition, as lifespans and working lives lengthen, career breaks for family reasons become less of a setback in the accumulation of retirement savings. Since women are more likely to take such breaks than men, this eases a current disadvantage.

How the federal budget might support this

If government wants to realise the opportunities created by an ageing population and an expanding workforce that is older and more female, it should do everything it can to smooth the path for women to enter the workforce, re-enter the workforce after a break, and stay in the workforce as long as they feel able.

Getting the NDIS on a sustainable footing and back to its core purposes of supporting the severely disabled and reducing family members' caring burden is a singular example of what is needed. The “sandwich generation” task of caring for children and elderly parents simultaneously is a disproportionately borne by women. Well-funded support in schools, with support and training for teachers and parents alike, may support some families with children currently on the NDIS better than a system that creates more life admin by funding appointments with service providers, which parents need to attend with their children.

More broadly, designing every program with the principle of reducing life admin for families should be a red thread through all federal and state initiatives.

Tax and retirement policy could be reshaped to ensure women who took career breaks are not held back by cliff effects and complexity from accumulating the needed retirement savings.

I note also that much of Australia's economic policy apparatus has been built on the false

assumption that ageing results in a shrinking workforce. Separately, therefore, budgets, the Intergenerational Review and other policies should be revisited so forecasts and program design can be based on actual trends, not first-round thinking.

AI and the new technology wave

Turning to the AI revolution – I use that word intentionally. The scope and capability of this new general-purpose technology have expanded enormously, with a pace that defies belief. Anything you thought about this technology based on what you knew six months ago is obsolete. There is a lot we do not know about how this will play out. Still, we can think through some implications, again beyond the first round of responses.

How this is an opportunity for Australian women

I see three opportunities from the AI revolution that might specifically benefit women. Firstly, with everything being so new and moving so quickly that almost nobody knows anything, it is easier to step into a field, or back into the workforce after a pause. Seismic breaks in the landscape of work mean past career breaks in a CV should be less of a disadvantage.

Secondly, AI might weaken the hold of what Harvard economics professor Claudia Goldin termed “greedy jobs”, those where long, continual hours are expected and frenetic pace early on builds experience and skills that allow career progression later. If agents can instead carry the context and assist with some tasks, “always on” continuity becomes less of an imperative. The jobs may become greedier of cognitive skills and the ability to orchestrate all those agents. Relative to careers that demand sheer “presence” and long, frenetic hours early in your career, though, this should help level the playing field between the two sexes, provided institutional norms also change. (I recognise this is a critical assumption.)

Thirdly, granted there is still much uncertainty and debate about which jobs will remain in demand and which will be less prevalent as this technology percolates. There is, however, good reason to believe that those least prone to full automation include those in-person, so-called ‘caring’ occupations that have provided so many job opportunities for women.

I note also that Australia is well-placed more broadly to take advantage of this new technology. Contrary to the stereotype of Australia being mostly about resources and financial services, this country has a burgeoning software industry that is already taking advantage of the newest tools. Coming from almost nothing a decade ago, Australia now boasts a software licensing export industry that brought in \$9½ billion of export revenue in 2025. For perspective, this is bigger than aluminium or copper, and almost as big as last year’s wheat exports.

I would also note that concerns about unequal returns to the AI boom are less relevant in Australia. Even if all the profits accrue to a few tech firms – a debatable proposition – almost all Australians will have exposure to this upside through their superannuation funds.

How the federal budget might support this

Of course, there was no government program or special initiative to create a software export industry. And this points to what the budget, and government, can and should do in this space – don't get in the way of the good bits or think that it is the government's role to lead and guide in every realm of endeavour.

There are of course privacy, child protection and national security angles to AI tools that warrant intervention and an appropriate regulatory framework. Just don't get in the way of allowing women to lean into this future.

I note reports of government concern that AI might fuel work intensification, which would be creating "greedy jobs" by other means. Before rushing to regulate in this sphere, though, we should check that intensification is a material issue. There is reason to think the opposite might end up being true. As agents become more reliable partners to hand off work to, human cognitive contribution becomes both more important and less time-bound. Just as the assumption that population ageing would shrink the workforce turned out to be wrong, so might the idea that AI necessarily intensifies work beyond an initial period of experimentation.

Growing perception that people expect more of government

The third big trend I want to address today might or might not be real, but it is certainly a growing perception in policy circles: that people expect more of government nowadays, and that governments should therefore deliver on those expectations. We see a rising call for government support in more circumstances. The rapid growth in scope and cost of the NDIS is the canonical example in a traditional area for government involvement. Expanding industry policy shows how the scope of policy can broaden as well as deepen.

Regulation and governance now touch an increasing set of activities, and the nature of that regulation is expanding. Whether it is the number of agencies firms need to seek approval from to build something, or the number of pages in the Income Tax Assessment Act (just one of current 12 volumes has a similar page count to the 1997 version), I am reminded of that well-known feminist philosopher Avril Lavigne's lyric, "why'd you have to go and make things so complicated?" The answer is, of course, that there was always one more thing that someone with the best of intent thought should be added.

The consequences of this belief about public expectations are evident in the rising share of household income being paid in income tax, rising regulatory footprint, and, as with some of the public programs I have already mentioned, a rising life admin burden that falls disproportionately on women.

I also worry that decisions to intervene shape decisions in ways that harm future resilience. If every adverse event is met with a government intervention to cushion the blow, a kind of "learned helplessness" can emerge, for firms and industries as well as individuals.

How this is an opportunity for Australian women

The consequences of this belief are not all bad, though. An area where the footprint of government has expanded to the benefit of women has been greater scope of crisis payments, especially for women and children escaping domestic and family violence. To the extent that this means more women can escape violence in the first place, it is surely a good outcome.

In addition, as I noted earlier, the expansion of the “care economy” and the regulatory footprint more broadly has been positive for women’s employment. Especially in a relatively sex-segregated occupational job market like Australia’s, health, education and social care roles are disproportionately female-coded. Using the industry of a person’s main job to categorise, women and girls make up 48% of total employment, but more than 70% of employment in health, social care and their sub-industries. Public administration and financial services also have above-average female employment shares.

How the federal budget might address this

Still, it would be good if these benefits could be reaped without all the admin, the complexity and the cost of our current system. If there is one thing I would hope for from this and future budgets, it is to take Ms Lavigne’s words to heart and make things less complicated.

Every intervention deserves scrutiny on this front. Without advocating specific changes, I instead offer the principle that governments should hesitate and ideally refrain from policies and programs where the answer to any of the following questions is “yes”.

- Does the intervention take away choice?
- Does the intervention promote learned helplessness?
- Has the support been overcomplicated?
- Does the intervention involve re-litigation of a safety standard or an evidence base that has already been established elsewhere?

On the last of these, the axiom I have in mind is “if it is safe enough for Europeans, it should be safe enough for Australians”. There are some exceptions, such as the need to build differently in a bushfire-prone continent. But from car booster seats to bike helmet laws for adults, Australia has shown a consistent tendency to go further on perceived safety than its European counterparts. Similarly, if evidence reviews by the health authorities of enough peer European nations show that a particular medical intervention is ineffective, we do not need to redo the analysis on smaller Australian datasets to stop performing and funding that intervention here.

Conclusion

To sum up, it is an uncertain world, though nobody ever says things are less uncertain than usual. All the more reason to keep sight of the big trends that will shape our futures even when current volatility is past. The good news is that these trends present opportunities for Australian women, but only if we ensure that other priorities – real or perceived – do not prevent us from making use of these opportunities. Thank you.

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7 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets reacted favourably as President Trump signalled progress toward a potential agreement with Iran, including a staged reopening of the Strait of Hormuz, with further negotiations around Iran's nuclear programme to follow.

Equity markets strengthened on improved Middle East sentiment, with the ASX 200 recording its strongest performance in nearly a month.

US bond markets rallied as oil prices eased, while political uncertainty around UK local elections saw UK yields reverse lower on the day.

The USD weakened, with the AUD rising to a multi-year high of 0.7278 during the session.

Oil prices pulled back sharply on more constructive Middle East developments, while gold and base metals gained and iron ore rose on renewed demand following China's May Day holiday.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	67.1	1.2%
AUD/USD	0.7237	0.8%
AUD/JPY	113.15	-0.2%
AUD/GBP	0.5325	0.4%
AUD/NZD	1.2150	-0.4%
AUD/EUR	0.6161	0.3%
AUD/CNH	4.9311	0.6%
AUD/SGD	0.9178	0.2%
AUD/HKD	5.6711	0.7%
AUD/CAD	0.9864	0.9%
EUR/USD	1.1749	0.5%
USD/JPY	156.38	-0.9%
USD Index	98.05	-0.4%

Equities	Close	Change
S&P/ASX 200	8,794	1.3%
S&P 500	7,365	1.5%
Japan Nikkei	59,513	0.4%
Hang Seng	26,214	1.2%
Euro Stoxx 50	6,027	2.7%
UK FTSE100	10,439	2.1%
VIX Index	17.39	0.1%

Commodities	Current	Change
CRB Index	388.00	-2.6%
Gold	4691.94	3.0%
Copper	13392	2.0%
Oil (WTI futures)	96.11	-6.0%
Coal (coking)	237.00	0.9%
Coal (thermal)	136.30	-3.2%
Iron Ore	110.30	1.8%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.34	0.07
90 day BBSY	4.49	0.05
180 day BBSY	4.82	0.04
1 year swap	4.63	-0.03
2 year swap	4.62	-0.04
3 year swap	4.59	-0.04
4 year swap	4.58	-0.03
5 year swap	4.59	-0.04
6 year swap	4.62	-0.04
7 year swap	4.67	-0.04
8 year swap	4.71	-0.04
9 year swap	4.75	-0.04
10 year swap	5.00	-0.05

Government Bond Yields	Close	Change
Australia		
3 year bond	4.63	0.00
10 year bond	4.95	-0.02
United States		
3-month T Bill	3.60	0.00
2 year bond	3.87	-0.07
10 year bond	4.35	-0.08
Other (10 year yields)		
Germany	3.00	-0.06
Japan	2.52	0.00
UK	4.94	-0.12

Sydney Futures Exchange	Current	Change
10 yr bond	4.93	-0.05
3 yr bond	4.58	-0.06
3 mth bill rate	4.28	0.00
SPI 200	8,897	1.1%



Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets reacted favourably overnight as President Trump signalled progress toward a final agreement with Iran. The President said he would pause 'Project Freedom', with the US delivering Iran a one page memorandum of understanding that would gradually reopen the Strait of Hormuz and lift the naval blockade. Detailed negotiations over Iran's nuclear programme would follow, with Iran expected to respond via mediators within the next two days. This comes as China's Foreign Minister also called for a swift reopening of the Strait in discussions with his Iranian counterpart, while Presidents Trump and Xi are scheduled to meet in person mid month.

- Equity markets were stronger, with optimism around the Middle East driving sentiment. In the US, equities reached fresh highs, with the S&P 500 gaining 1.5%, the Dow Jones up 1.2%, and the NASDAQ 100 outperforming with a 2.0% rise. European equities also advanced, with the Euro Stoxx 50 up 2.7% and the FTSE 100 rising 2.1%.
- Asian markets rallied, led by Korea's KOSPI, up 6.5% on AI related enthusiasm, followed by the Hang Seng (+1.2%) and the Nikkei 225 (+0.4%). Locally, the ASX 200 recorded its strongest performance in nearly a month, rising 1.3%, led by the major banks.
- US bond markets rallied across the curve as oil prices eased, with the 2-year yield down 7bps, and the 10-year yield 8bps lower. Futures pricing was little changed, with no rate moves expected this year. Elsewhere, UK gilt yields reversed sharply amid political uncertainty related to the UK local elections, with the 10-year yield falling 12bps.
- Australian government bonds were broadly stable as markets reflected on the RBAs latest move. The 3-year yield held steady, while the 10-year declined 2bps. Swaps markets are wholly pricing in at least one additional rate hike this year, with the implied terminal cash rate for year-end at 4.64%.
- FX markets saw broad USD weakness, with the DXY down -0.4% on the session. The Australian dollar posted solid gains against the USD, reaching a multi year high of 0.7278 before paring some gains into the close to end the day up 0.8%. The New Zealand dollar outperformed against the Greenback, up 1.2%, with the Euro (+0.5%), and Sterling (+0.4%) also stronger.
- Commodity markets saw a continued pull back in oil as Middle East headlines turned more constructive. Brent fell -7.2% to US\$102/bbl, while WTI declined -6.0% to US\$96.1/bbl. Gold benefited from improved risk sentiment and USD weakness, posting its strongest gain since March, up 3.0%. Copper and aluminium also saw solid gains of

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Trade Balance Mar	\$4400m	\$5686m
19:00	EZ Retail Sales Mar	-0.3%	-0.2%
22:30	US Productivity Q1 Prel.	0.6%	1.8%
22:30	US Initial Jobless Claims 2/05/2026	205k	189k
-	CN Foreign Reserves Apr	US\$3366b	-

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

2.0% and 1.9% respectively, while iron ore posted a day gain of 1.8% as China emerges from its May Day holiday period, supporting renewed buying interest.

International Data

US ADP employment was marginally below expectations in April at 109k, but the result is a step up from March's 61k.

St Louis Fed President Musalem emphasised uncertainty, showing greater concern over inflation than employment.

Chicago Fed President Goolsbee warned against reflexively lowering interest rates in response to productivity gains, recognising that the income and wealth created by progress can accelerate inflation.

The **Euro Area PPI** printed as expected, a 3.4% gain in March leaving the annual change at 2.1%yr. Ex energy, prices were up just 0.5% in the month and 1.4%yr.

Local Data

In New Zealand, **employment** rose 0.2%qtr in the March quarter, while the **participation rate** fell to 70.4%, resulting in the **unemployment rate** easing to 5.3% - the first decline since December 2021 (see [here](#)).



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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7 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets reacted favourably as President Trump signalled progress toward a potential agreement with Iran, including a staged reopening of the Strait of Hormuz, with further negotiations around Iran's nuclear programme to follow.

Equity markets strengthened on improved Middle East sentiment, with the ASX 200 recording its strongest performance in nearly a month.

US bond markets rallied as oil prices eased, while political uncertainty around UK local elections saw UK yields reverse lower on the day.

The USD weakened, with the AUD rising to a multi-year high of 0.7278 during the session.

Oil prices pulled back sharply on more constructive Middle East developments, while gold and base metals gained and iron ore rose on renewed demand following China's May Day holiday.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	67.1	1.2%
AUD/USD	0.7237	0.8%
AUD/JPY	113.15	-0.2%
AUD/GBP	0.5325	0.4%
AUD/NZD	1.2150	-0.4%
AUD/EUR	0.6161	0.3%
AUD/CNH	4.9311	0.6%
AUD/SGD	0.9178	0.2%
AUD/HKD	5.6711	0.7%
AUD/CAD	0.9864	0.9%
EUR/USD	1.1749	0.5%
USD/JPY	156.38	-0.9%
USD Index	98.05	-0.4%

Equities	Close	Change
S&P/ASX 200	8,794	1.3%
S&P 500	7,365	1.5%
Japan Nikkei	59,513	0.4%
Hang Seng	26,214	1.2%
Euro Stoxx 50	6,027	2.7%
UK FTSE100	10,439	2.1%
VIX Index	17.39	0.1%

Commodities	Current	Change
CRB Index	388.00	-2.6%
Gold	4691.94	3.0%
Copper	13392	2.0%
Oil (WTI futures)	96.11	-6.0%
Coal (coking)	237.00	0.9%
Coal (thermal)	136.30	-3.2%
Iron Ore	110.30	1.8%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.34	0.07
90 day BBSY	4.49	0.05
180 day BBSY	4.82	0.04
1 year swap	4.63	-0.03
2 year swap	4.62	-0.04
3 year swap	4.59	-0.04
4 year swap	4.58	-0.03
5 year swap	4.59	-0.04
6 year swap	4.62	-0.04
7 year swap	4.67	-0.04
8 year swap	4.71	-0.04
9 year swap	4.75	-0.04
10 year swap	5.00	-0.05

Government Bond Yields	Close	Change
Australia		
3 year bond	4.63	0.00
10 year bond	4.95	-0.02
United States		
3-month T Bill	3.60	0.00
2 year bond	3.87	-0.07
10 year bond	4.35	-0.08
Other (10 year yields)		
Germany	3.00	-0.06
Japan	2.52	0.00
UK	4.94	-0.12

Sydney Futures Exchange	Current	Change
10 yr bond	4.93	-0.05
3 yr bond	4.58	-0.06
3 mth bill rate	4.28	0.00
SPI 200	8,897	1.1%



Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets reacted favourably overnight as President Trump signalled progress toward a final agreement with Iran. The President said he would pause 'Project Freedom', with the US delivering Iran a one page memorandum of understanding that would gradually reopen the Strait of Hormuz and lift the naval blockade. Detailed negotiations over Iran's nuclear programme would follow, with Iran expected to respond via mediators within the next two days. This comes as China's Foreign Minister also called for a swift reopening of the Strait in discussions with his Iranian counterpart, while Presidents Trump and Xi are scheduled to meet in person mid month.

- Equity markets were stronger, with optimism around the Middle East driving sentiment. In the US, equities reached fresh highs, with the S&P 500 gaining 1.5%, the Dow Jones up 1.2%, and the NASDAQ 100 outperforming with a 2.0% rise. European equities also advanced, with the Euro Stoxx 50 up 2.7% and the FTSE 100 rising 2.1%.
- Asian markets rallied, led by Korea's KOSPI, up 6.5% on AI related enthusiasm, followed by the Hang Seng (+1.2%) and the Nikkei 225 (+0.4%). Locally, the ASX 200 recorded its strongest performance in nearly a month, rising 1.3%, led by the major banks.
- US bond markets rallied across the curve as oil prices eased, with the 2-year yield down 7bps, and the 10-year yield 8bps lower. Futures pricing was little changed, with no rate moves expected this year. Elsewhere, UK gilt yields reversed sharply amid political uncertainty related to the UK local elections, with the 10-year yield falling 12bps.
- Australian government bonds were broadly stable as markets reflected on the RBAs latest move. The 3-year yield held steady, while the 10-year declined 2bps. Swaps markets are wholly pricing in at least one additional rate hike this year, with the implied terminal cash rate for year-end at 4.64%.
- FX markets saw broad USD weakness, with the DXY down -0.4% on the session. The Australian dollar posted solid gains against the USD, reaching a multi year high of 0.7278 before paring some gains into the close to end the day up 0.8%. The New Zealand dollar outperformed against the Greenback, up 1.2%, with the Euro (+0.5%), and Sterling (+0.4%) also stronger.
- Commodity markets saw a continued pull back in oil as Middle East headlines turned more constructive. Brent fell -7.2% to US\$102/bbl, while WTI declined -6.0% to US\$96.1/bbl. Gold benefited from improved risk sentiment and USD weakness, posting its strongest gain since March, up 3.0%. Copper and aluminium also saw solid gains of

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Trade Balance Mar	\$4400m	\$5686m
19:00	EZ Retail Sales Mar	-0.3%	-0.2%
22:30	US Productivity Q1 Prel.	0.6%	1.8%
22:30	US Initial Jobless Claims 2/05/2026	205k	189k
-	CN Foreign Reserves Apr	US\$3366b	-

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

2.0% and 1.9% respectively, while iron ore posted a day gain of 1.8% as China emerges from its May Day holiday period, supporting renewed buying interest.

International Data

US ADP employment was marginally below expectations in April at 109k, but the result is a step up from March's 61k.

St Louis Fed President Musalem emphasised uncertainty, showing greater concern over inflation than employment.

Chicago Fed President Goolsbee warned against reflexively lowering interest rates in response to productivity gains, recognising that the income and wealth created by progress can accelerate inflation.

The **Euro Area PPI** printed as expected, a 3.4% gain in March leaving the annual change at 2.1%yr. Ex energy, prices were up just 0.5% in the month and 1.4%yr.

Local Data

In New Zealand, **employment** rose 0.2%qtr in the March quarter, while the **participation rate** fell to 70.4%, resulting in the **unemployment rate** easing to 5.3% - the first decline since December 2021 (see [here](#)).



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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State level forecasts update

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By [Pat Bustamante](#) & [Ryan Wells](#)

08:40 May 04 2026

 Share

States to diverge as the household squeeze returns



Click here for full report  **'State level forecast update' (PDF 664KB)**

- After a relatively strong finish to 2025, our updated outlook points to an abrupt slowdown in the Australian economy through 2026 and into 2027 ([see here](#)). Here, we flow these aggregate changes

through to the state level forecasts published in our March quarter Coast-to-Coast ([see here](#)), ahead of our June quarter Coast-to-Coast (due in late June).

- State performances are set to diverge again as national growth slows. Mining based states of Queensland and WA are expected to once again lead the pack, supported by elevated energy prices delivering sizeable income windfalls. SA is also relatively well positioned, underpinned by strength across both public and private activity.
- Consumption-led states set to slow sharply. NSW and Victoria are expected to underperform, with Victoria standing out as the only state where consumption per capita is expected to fall below FY2019 levels by FY2028.
- On our forecasts, consumption per capita in Victoria declines by around 3.5% cumulatively over the five years to FY2028, one of the largest and longest lasting contractions on record. However, Tasmania is expected to remain the laggard overall reflecting the state's much weaker population growth.

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Federal Budget: On the upside of the revenue cycle, the challenge is policy timing

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By Pat Bustamante

Senior Economist, Westpac

10:10 April 28 2026

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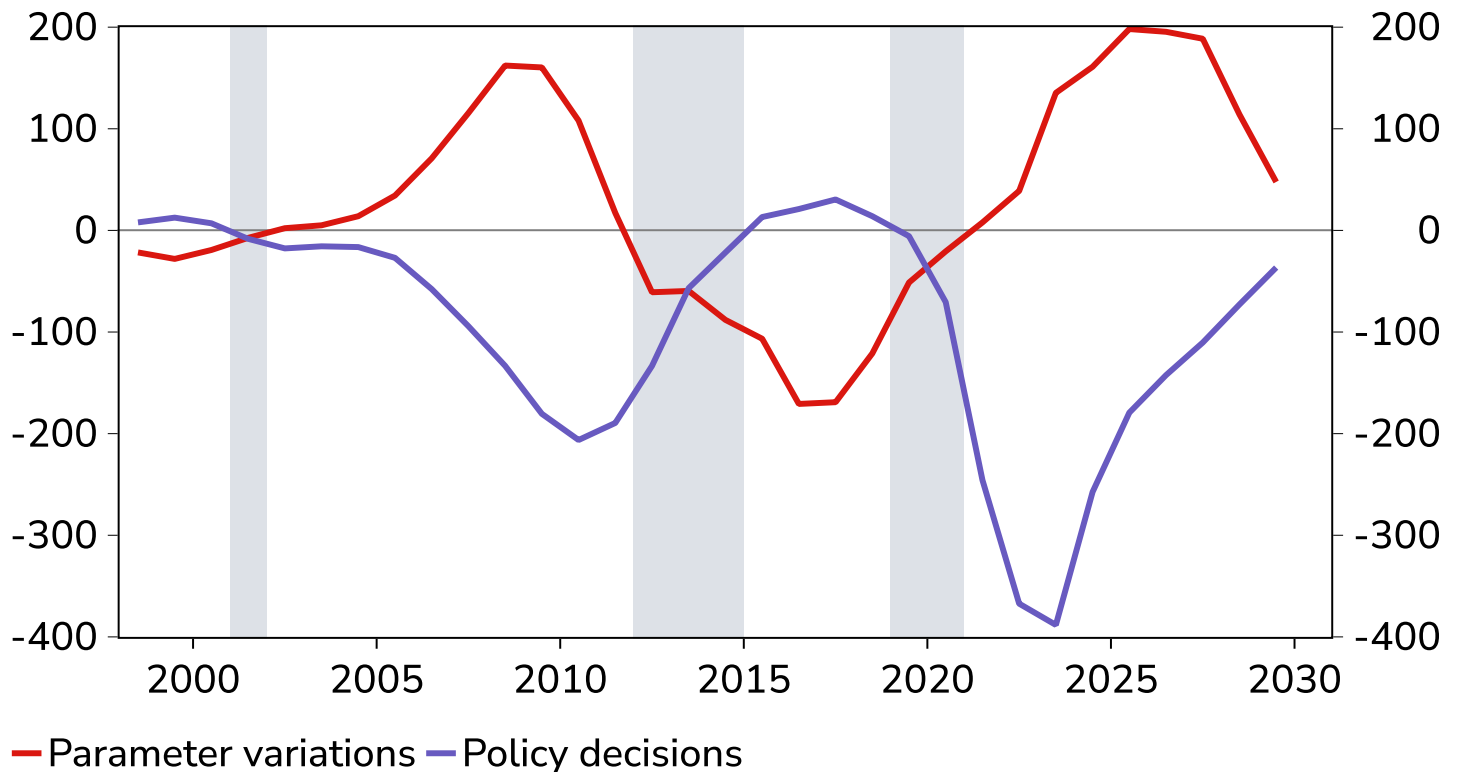
With only a modest budget windfall, changes in the Budget bottom line will hinge on discretionary decisions, which history shows are triggered once labour-market risks become material.



- Higher commodity prices and inflation – among the so-called “parameter variations” that drive government budget outcomes – are expected to deliver a net fiscal windfall, despite higher costs driven by elevated inflation, slower growth, and rising unemployment. Treasury is likely to publish a net improvement of around \$23bn across the forward estimates. This is less than the net improvement of \$55bn we expect will eventually be published based on our less conservative commodity price (and thus revenue) forecasts.
- Given this relatively small upgrade, the change in the published budget bottom line will largely be determined by discretionary policy decisions. Surprisingly, discretionary fiscal policy has been pro-cyclical over the past 30 years: discretionary measures tending to expand when the nominal economy delivers windfalls and to tighten when there are shortfalls.
- Only during major crises (such as the GFC and COVID) has discretionary fiscal policy played a significant counter-cyclical role. However, fiscal measures have tended to be late and slow to unwind, with the maximum ‘policy impact’ occurring when the recovery was under way and improving economic conditions were delivering revenue windfalls – a lesson perhaps for the current conflict.
- Our analysis also shows that discretionary fiscal policy is highly responsive to labour market risks. Policy has historically become much more activist once employment growth forecasts are downgraded by at least 0.35ppts across the forward estimates. A change of this magnitude is consistent with the economic downgrades we expect this Budget.
- As a result, the scale of any discretionary fiscal response is likely to depend critically on Treasury’s assessment of the labour market fallout from the conflict in the Middle East. **Given the nature of the current oil price shock, a response that is not targeted and temporary risks exacerbating the cycle.**

Economic variations and discretionary policy*

Impact on the UCB, Rolling 3 year sum, \$billions.



Source: PBO fiscal data, Macrobond, Westpac Economics

*shaded periods denote counter-cyclical policy where variations and discretionary policy work in opposite direction.

The Middle East crisis and associated global energy shock will have a complex and varied impact on Federal government finances. Higher-than-assumed commodity prices and elevated inflation will continue to lift nominal incomes and tax receipts. But the Budget impact of the Middle East conflict does not stop there. **In a shock like the current one, where economic and employment growth slow, unemployment ticks higher and inflation accelerates, welfare payments and the cost of government rise as well.**

We expect economic growth to slow materially through 2026 to just 1%yr, down from 2.6%yr in calendar 2025. The unemployment rate is forecast to drift higher to almost 5% by year-end, around ½ppt above our pre-conflict profile, and remain elevated through 2027. Combined with accelerating inflation, now expected to peak at around 5.4%yr in Q2 2026 (up from around 3.8%yr expected prior to the conflict), this will push government payments onto a permanently higher path in nominal terms.

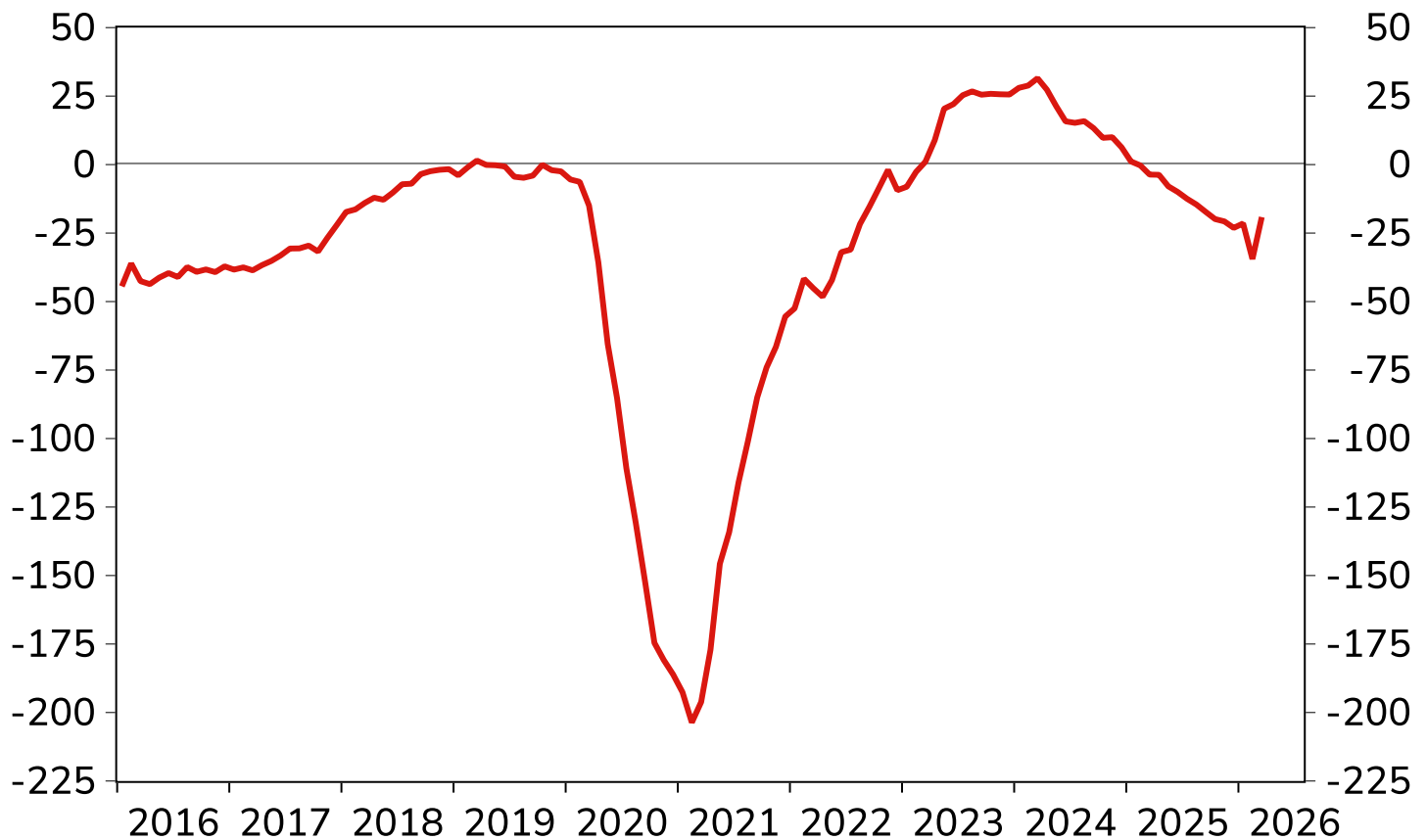
The Starting Position is Strong

On Friday 24 April the Department of Finance released the final set of monthly financial statements ahead of the May 12 Budget, and they did not disappoint. The underlying cash balance is currently running around \$17bn ahead of the profile set out in the December MYEFO, published only a few months ago. This upside has been driven by the cyclical upswing which is boosting tax collections and making it harder for the Government to get capital out the door because of capacity constraints in

certain industries (most notably construction). Looking at the rolling 12-month cash balance, the steady deterioration observed since March 2024 has now stabilised, and we expect an improvement from here.

Underlying Cash Balance

Rolling annual sum, \$billions



Source: Australian Department of Finance, Macrobond, Westpac Economics

Cash tax collections are running around \$7.2bn ahead of profile. This reflects stronger-than-expected personal income tax collections (around \$5bn) and company tax receipts (around \$2bn). We expect upside surprises to continue once miners make wash-up payments in May, reflecting higher commodity prices across the 2025 calendar year – particularly for gold.

The cyclical upswing is also making it harder for the government to get money out the door. Payments are running around \$10bn below forecast, including \$2bn in investment in non-financial assets (defence, IT and infrastructure) and \$4bn in grants and subsidies to the states, reflecting slower progress payments. In addition, the headline deficit is ahead of profile with off-budget spending (including CEFC and Housing Australia) coming in around \$3bn below profile.

Overall, this points to a meaningful improvement in the bottom line, with the deficit now tracking at close to half of what was previously expected.

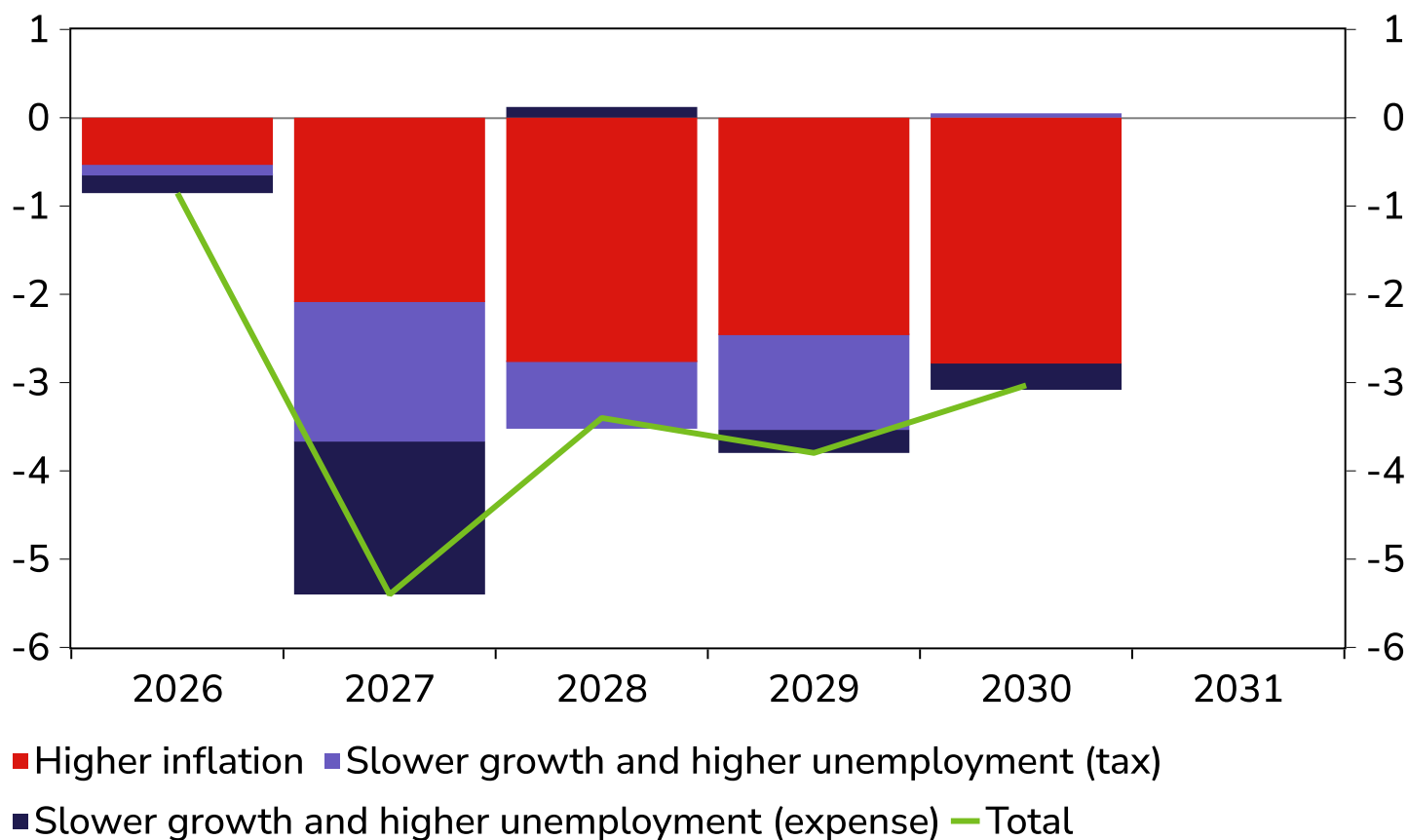
Payments Pressures Rise in a Stagflationary Environment

But the outlook becomes more challenging from here. Parameter variations will push payments higher mechanically, with inflation lifting both service delivery costs and the indexation of programs such as pensions and income support. **We estimate this will add roughly \$11 billion to spending over the five years to FY2030.**

In addition, slower activity and employment growth, alongside a higher unemployment rate, will raise social payments and reduce income-tax collections, at a cost of around \$6bn over the same period. **In total, these forces are likely to worsen the budget position by around \$17bn.**

Variations driven by changes to the outlook

Impact on the UCB, Financial years, \$billions.



Source: Macrobond, Westpac Economics

Commodity Revenues More Than Offset Higher Costs

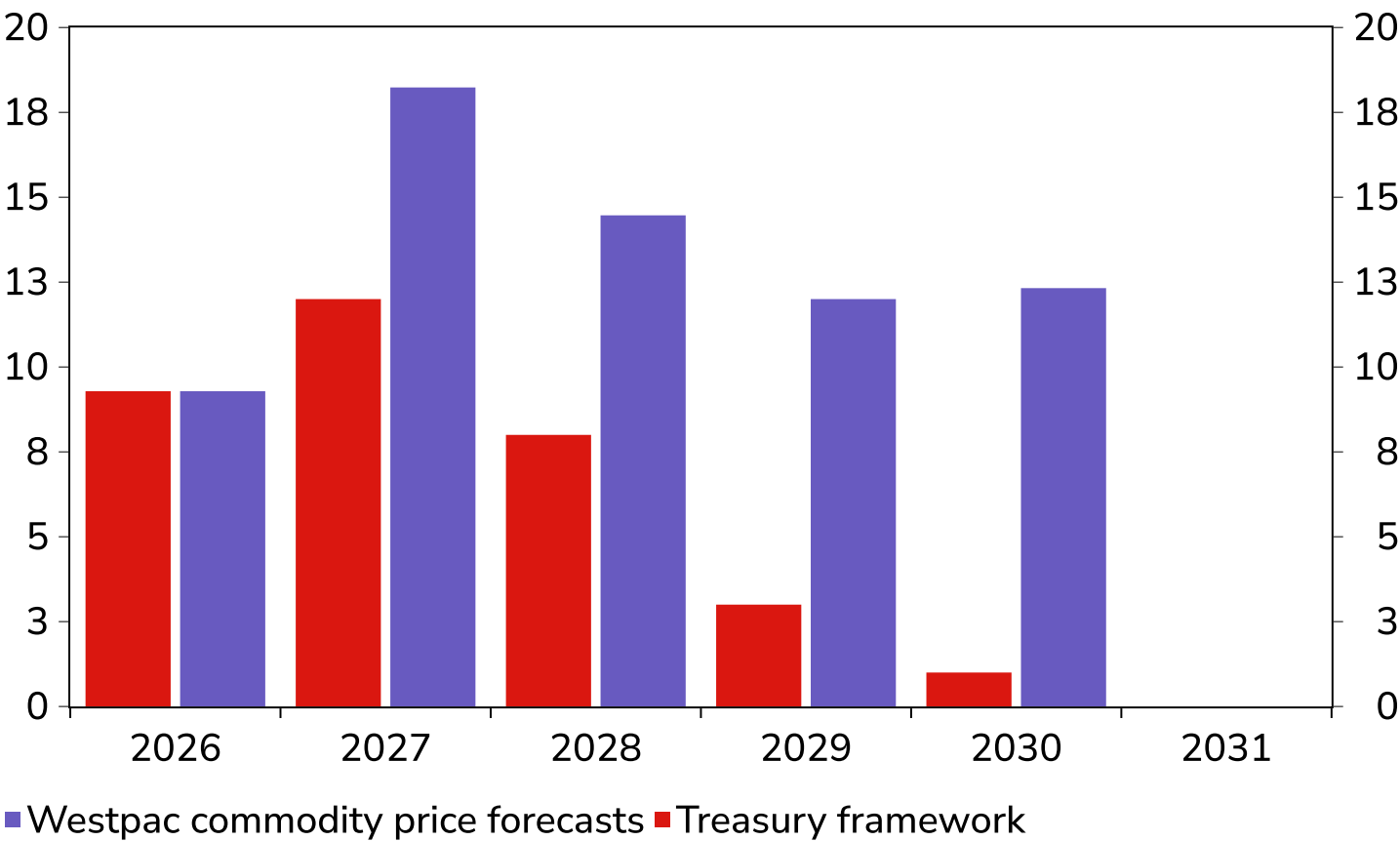
However, these costs are more than offset, at least initially, by higher tax collections. Higher gold prices, elevated inflation and direct spillovers from the Middle East conflict into global commodity markets are set to lift company tax receipts by around **\$60bn over the next five years, with roughly \$20bn attributable to conflict-driven commodity price gains.**

But much of that uplift is unlikely to appear in full in the 12 May Federal Budget. Treasury's standard approach assumes commodity export prices fall from current spot levels back toward long-run

fundamentals, typically over four quarters (and eight quarters for gold). On those more conservative assumptions, the implied windfall is lower at around \$29.5bn over five years, with the remainder only materialising in later budgets or final budget outcomes.

Tax upgrades driven by elevated commodity prices

Impact on the UCB, Financial years, \$billions.

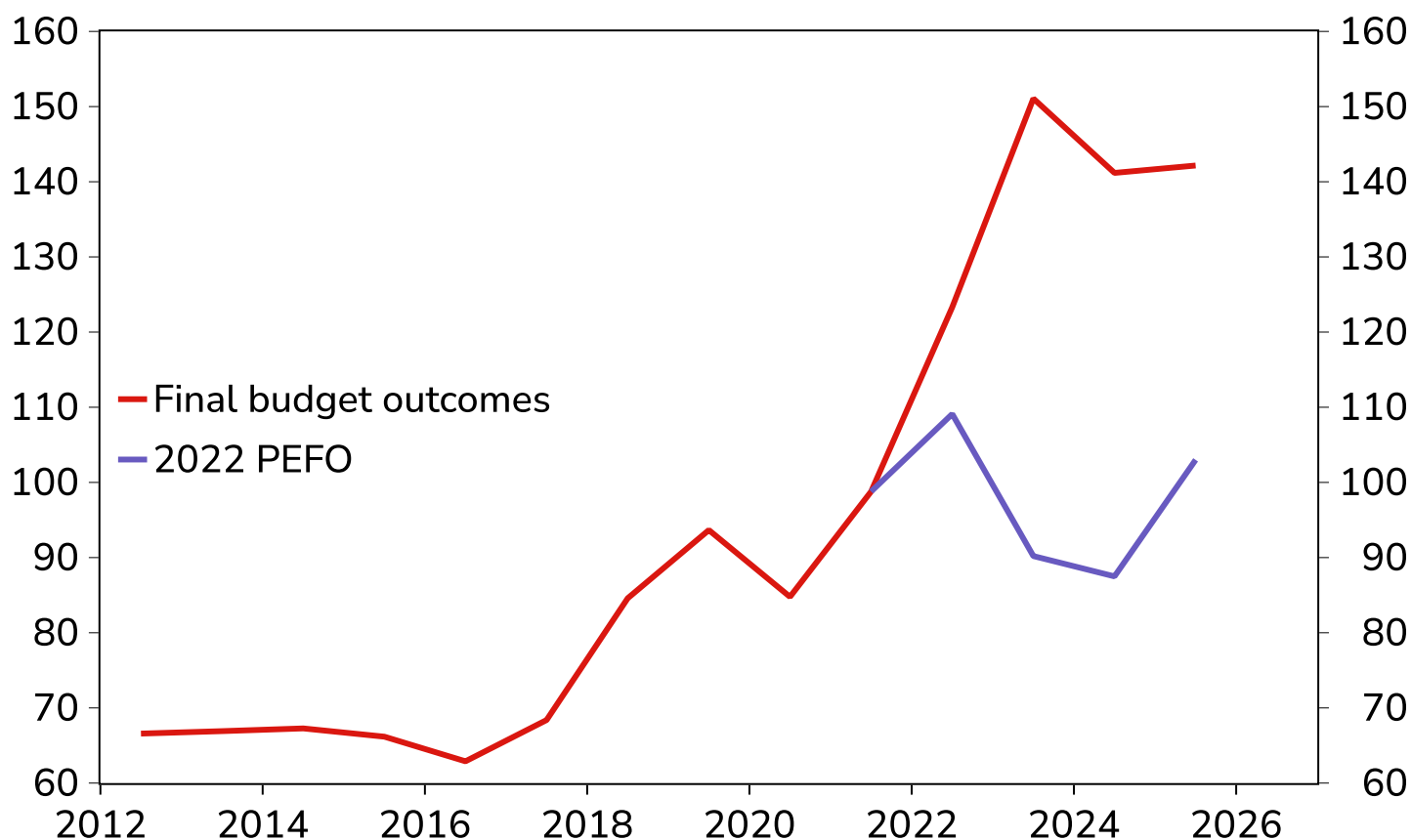


Source: Macrobond, Westpac Economics

This familiar pattern, conservative commodity price assumptions up front followed by stronger-than-expected company tax receipts down the track, has become a defining feature of Australia's recent fiscal narrative. **Over the four years to the end of FY2025, company tax receipts were a staggering \$168bn higher than projected in the 2022 Pre-Election Fiscal Outlook (or an average of \$42bn higher per year).**

Company tax forecast and outcomes

Financial years, \$billions.



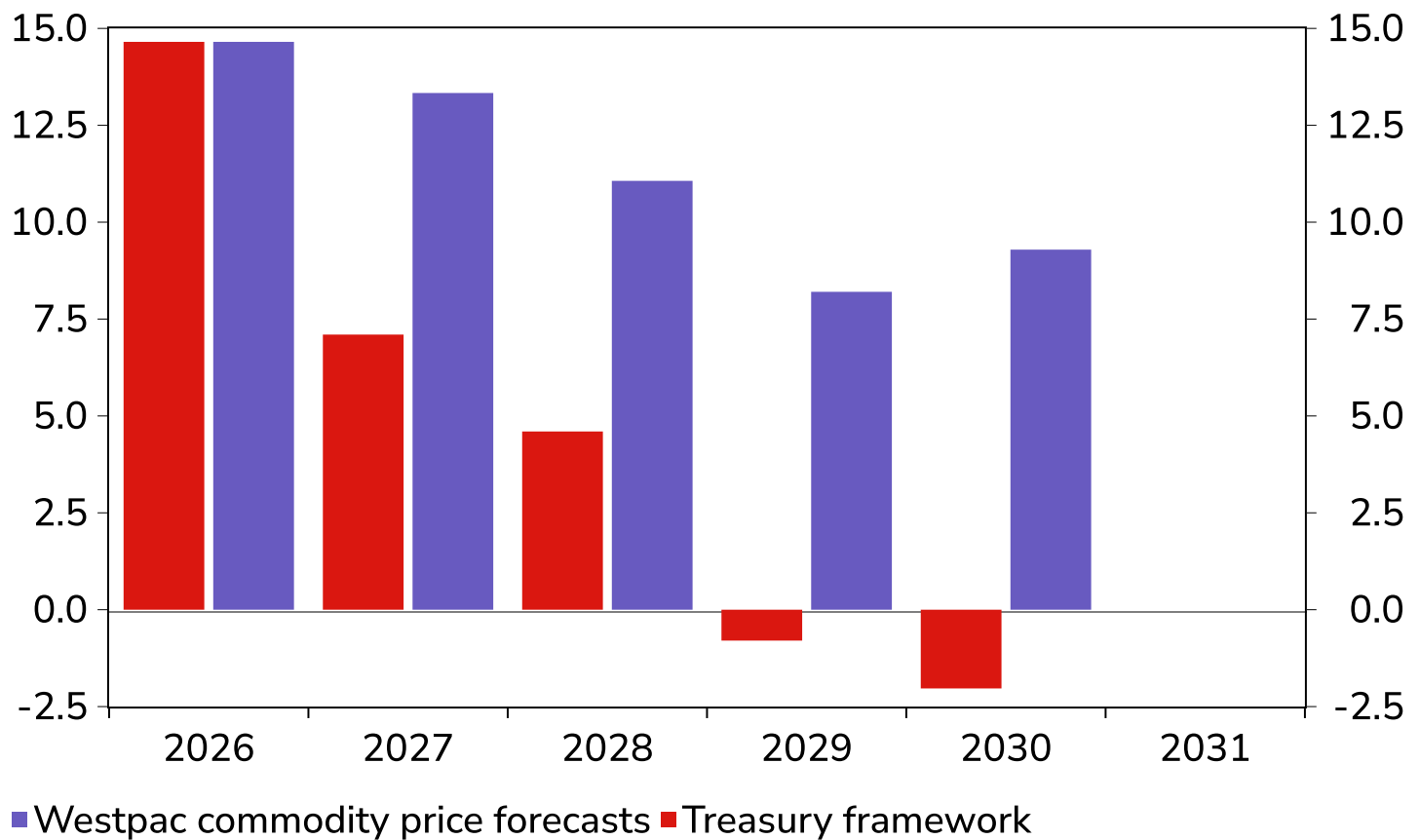
Source: Macrobond, Westpac Economics

Delivering the Budget a Temporary Windfall

Under Treasury's standard assumptions, what will be published on 12 May, the net gain to the Budget is closer to \$23bn over the next five years, with net gains frontloaded, shifting to negative over the final two years of the forward estimates. Under our less conservative commodity-price forecast, the windfall is materially larger, closer to \$55bn over the same period.

Net impact of changes to the economic outlook

Impact on the UCB, Financial years, \$billions.



Source: Macrobond, Westpac Economics

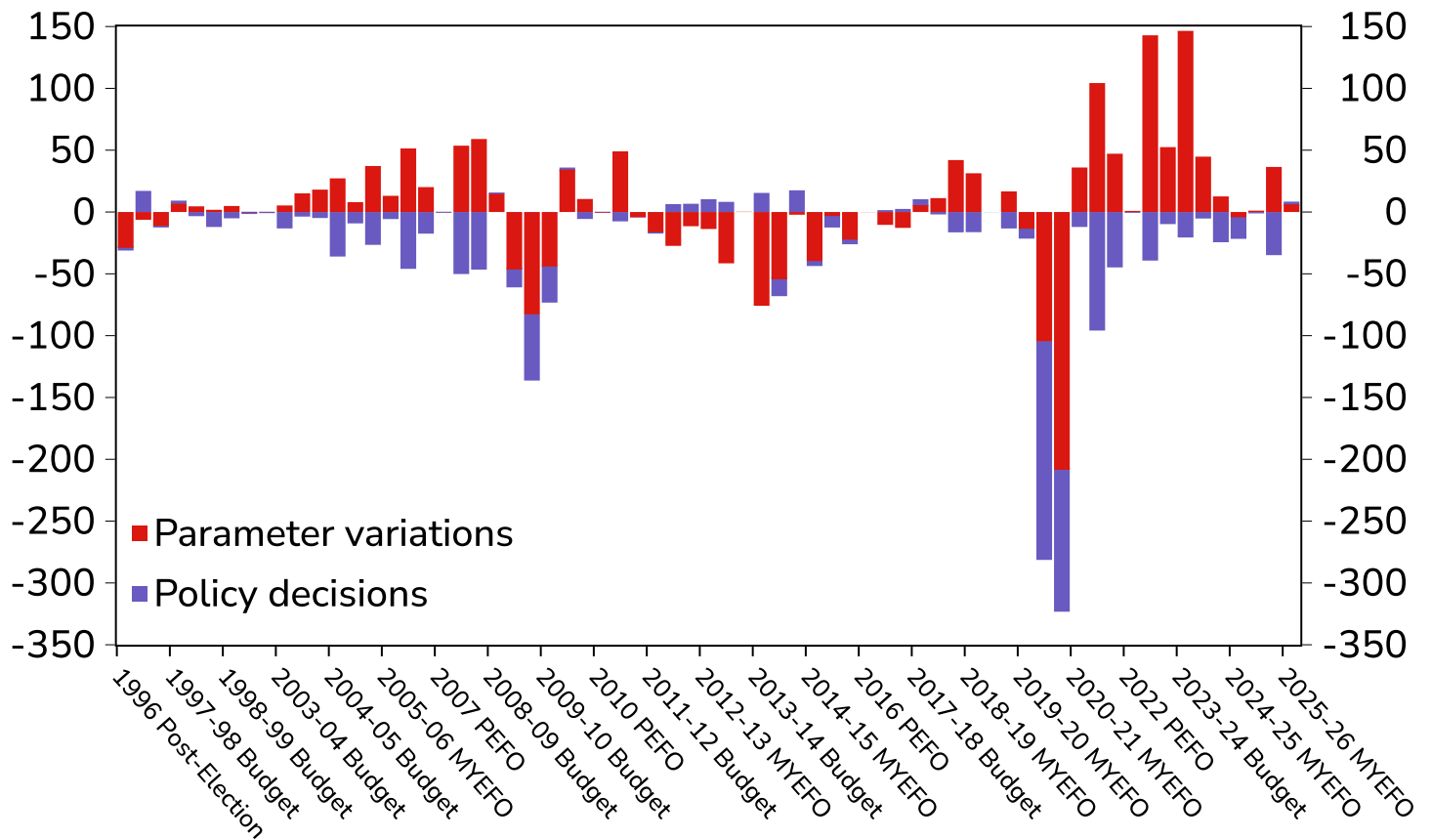
Discretionary Policy: The Key Swing Factor

The big unknown at this stage is how the government chooses to respond to the economic and social fallout from the conflict in the Middle East and how this is balanced against other reforms, most notably those aimed at reining in spending on the NDIS and promoting intergenerational equity. Given relatively small upgrades, **the Federal government will be navigating uncharted waters where policy decisions will determine whether the budget position ultimately improves or deteriorates.**

This is different from the historic norm where the impact of variations driven by changes to the economic outlook (red bars in the chart below) have been significantly larger than the impact of policy changes (purple bars).

Economic variations and discretionary policy by round

Impact on the UCB over relevant forwards, \$billions.



Source: PBO fiscal data, Macrobond, Westpac Economics

Looking at government behaviour over the past 30 years, several clear regularities emerge.

First, discretionary fiscal policy has generally been pro-cyclical. That is, discretionary government decisions add to the fiscal impulse when the nominal economy and commodity prices deliver a budget windfall and vice versa. This pattern was especially pronounced in the pre-pandemic decade and in the aftermath of COVID, with discretionary government policy adding materially to the overall fiscal impulse.

For example, immediately prior to the pandemic discretionary policy changes improved the budget while variations driven by the nominal economy were subtracting from the budget – in other words, the nominal economy was surprising on the downside. This combination of tighter policy when the economy and commodity prices underwhelm likely contributed to the period of sluggish growth and below RBA target underlying inflation recorded at the time.

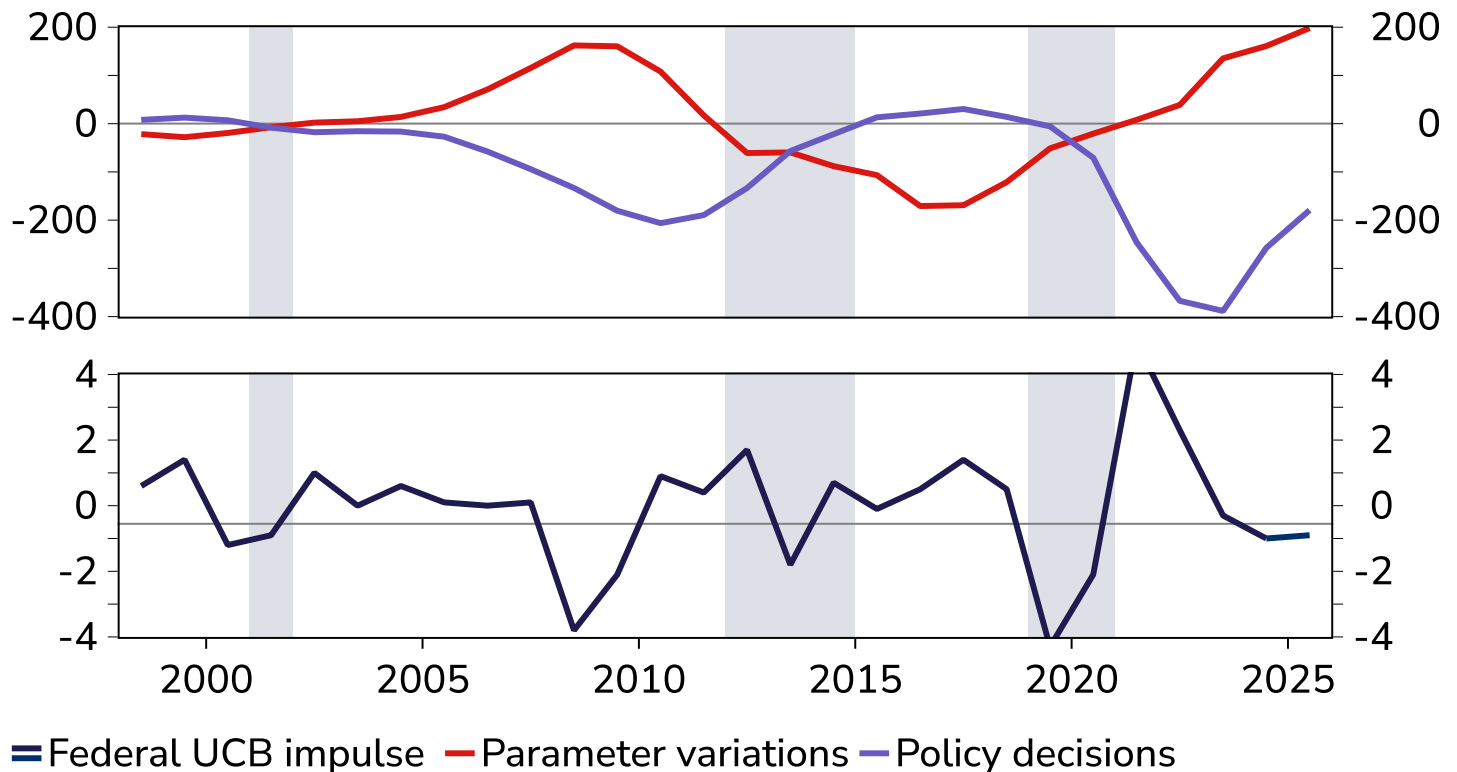
On average across the budget rounds since the 1996 post-election budget, around 75% of the budget windfalls have been spent.

Note that there are instances when the nominal economy could be growing more strongly than the real economy, such as when commodity prices are rising and inflation is elevated. In this world, “pro-cyclical” policy could be more justifiable, only where the real economy is softening.

Secondly, fiscal policy becomes counter-cyclical during crises, such as the GFC and COVID. Importantly, these episodes are typically characterised by a fiscal overshoot, with fiscal expansion persisting even as the shock dissipates and economic conditions improve. For example, peak policy impact around COVID was in the 2023FY, when a recovery was gaining traction and economic variations and nominal income growth were surprising to the upside.

Economic variations and discretionary policy*

Impact on the UCB, Rolling 3 year sum, \$billions.



Source: PBO fiscal data, Macrobond, Westpac Economics

*shaded periods denote counter-cyclical policy where variations and discretionary policy work in opposite direction.

Finally, discretionary spending has historically been highly responsive to labour market risks.

Our modelling of how fiscal policy responds to changes in economic conditions and forecasts shows that policy is particularly sensitive to expectations for employment growth and unemployment, and that this response is non-linear.

Using historical budget data, we find statistically significant threshold effects. When employment growth is downgraded by at least 0.35ppts in a single budget round, governments have tended to shift into a more activist fiscal regime. A downgrade closer to ½ppt (which is consistent with Westpac Economics' recent downgrades) has, in the past, been associated with discretionary fiscal packages of at least \$10bn over the forward estimates.

Taken together, this suggests that at least some of the windfall is likely to be spent, and possibly a large fraction of it. **The scale of any discretionary response will depend critically on Treasury's assessment of the labour-market implications of the conflict in the Middle East. While there is no sense of panic within government, policymakers are clearly alert to the downside risks.**

What next

Before the May 12 budget we will publish our final estimate of the bottom line including announced measures. As noted, unlike the most recent history, overall improvements will hinge on government policy rather than the economy. In addition, we will publish what this means for the national (federal and state) fiscal impulse going forward.

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It Depends on What You are Trying to Achieve

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By Luci Ellis

Chief Economist Westpac Group, Westpac

09:15 April 24 2026

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Speculation about tax reform in the upcoming federal budget abounds. That presumes a lot about the problems the budget should solve and whether the tax system is the right solution.



- Pre-budget speculation has tended to start from the presumption that more revenue is needed. The justification is sometimes the perceived need to fund spending priorities that are assumed – perhaps

erroneously – to be rising. In other quarters, minimising the deficit or government debt appears to be the objective. Whatever the objective, it should be scrutinised not assumed.

- Speculation about changes to the capital gains tax (CGT) regime highlight the potential to increase revenue, but there is no guarantee of this. For example, switching back to the pre-1999 regime or the simplified version of it we have previously suggested will only boost revenue if asset price growth exceeds 5%.
- There are many possible objectives that fiscal systems – tax and spending – can address, often different objectives in different parts of the system. “Boost revenue” is not the only possible goal, and tweaking the tax system is not the only solution to a policy objective.

Speculation is building as budget night approaches. While the government must deal with the immediate issues in front of it stemming from the Middle East conflict, many observers are focused on the maxim “never let a good crisis go to waste” and hoping for broader reforms – usually the same ones they were advocating before the conflict erupted. The question of what the budget should do rests, however, on the deeper question of what problems the government is trying to solve.

For example, recent discussion has been focused on an assumed need for extra revenue. Tax reforms are dissected for how much more they might raise, while revenue windfalls from higher commodity prices are downplayed. Underlying this view are other presumptions – seemingly widespread across different levels of government and the bureaucracy – that “people expect more from government nowadays” and that governments should strive to meet those expectations. Absent from these discussions are the questions of whether the government’s effort and resources are being deployed effectively, and whether it can stop doing some things altogether.

A related presumption underlying the search for more revenue is the belief that population ageing is shrinking the workforce, even though this is not true in Australia and most other advanced economies outside North America.

A separate pathway to the search for more revenue comes from a different premise: that the federal fiscal position is weak and large revenue measures (and/or spending cuts) must be found to reduce the deficit significantly. It is good to have strong public finances. It keeps government borrowing costs low and leaves plenty of space to spend in a crisis. Yet the presumption that government finances are parlous and in need of repair sits oddly with Australia’s actual federal fiscal position, which is stronger than many of its peers.

Take the recent speculation about removing the CGT discount. It has been touted as a revenue-raising measure, but there is no guarantee of this. One could consider moving back to the pre-1999 system of adjusting the gain for growth in CPI and applying the full marginal rate to the remainder. Alternatively, one could consider the simplified version we suggested in 2023, where the adjustment is 2.5% per year the asset is held – the midpoint of the RBA’s inflation target – regardless of actual inflation over the holding period.

Applying a full marginal rate to an adjusted return still taxes mobile capital more lightly than other income, as economic theory would suggest. It has an advantage over the current system of not privileging capital gains-producing assets over income-producing assets at the margin. Because assets that can be leveraged are especially advantaged by the current system, switching back to the pre-1999 system or our simplified alternative would also promote financial stability. It would increase the effective tax rate on capital gains during booms in real asset prices, and our simplified proposal would also lean against periods of high CPI inflation.

What it will not do, though, is necessarily boost revenue. If asset prices rise by less than 5% per year, revenue is lower. For example, a 4% rise, less 2.5% deduction, means tax is paid on 1½% of capital gains. The current system of half the marginal rate on the full gain would be the equivalent of taxing 2% of gains if asset prices rose 4%/yr. Revenue is only higher than the current scheme if asset prices rise by more than 5%. And even in that case, the increase in revenue might only be small once people have adjusted to the change and the other possible design decisions associated with it, such as grandfathering and limits on the number and type of assets eligible for the discount.

Absent from the current discourse is any discussion of the proper role and size of government, or the level of government that is best placed to take on the functions required. As Westpac Economics colleague Pat Bustamante has previously shown, the size of government in Australia has increased substantially over the past decade. When private demand indirectly induced by public spending is included (think legal work for construction companies working on public infrastructure projects), the footprint of public demand has risen from 27% to 35% of GDP over the past decade.

Much of this expansion is desirable. We should want to care for disabled and elderly Australians properly and have high-quality childcare available at an affordable price. That takes resources, and private markets alone are unlikely to deliver enough of these services. Likewise, with population growth running around 1½%, both pre-pandemic and currently, we will always need more public infrastructure. Both types of spending also have positive spillovers. Social care spending allows those who were providing informal care to enter paid employment. And done well, infrastructure spending can boost skills and productivity and open up new opportunities through better logistics.

The question of what should or will happen in the budget boils down to which of the many possible objectives government wants to prioritise. Is it addressing the growing income tax burden in a system of fixed tax brackets, or minimising the deficit, or making the tax system more responsive to the economic cycle, or providing more services to meet the public's expectations, or doing so more efficiently? What about national and economic security? The budget is a complex beast and different design decisions can address different objectives. This is not like monetary policy, where there is only one instrument and at most two objectives, inflation and full employment, which are in any case correlated at least some of the time.

Global economic and geopolitical developments pose challenges, while new technology and an expanding, ageing workforce create opportunities. We should not assume that tweaking the tax system

is the answer to every issue. Your fiscal priorities should relate to your public policy objectives.

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7 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets reacted favourably as President Trump signalled progress toward a potential agreement with Iran, including a staged reopening of the Strait of Hormuz, with further negotiations around Iran's nuclear programme to follow.

Equity markets strengthened on improved Middle East sentiment, with the ASX 200 recording its strongest performance in nearly a month.

US bond markets rallied as oil prices eased, while political uncertainty around UK local elections saw UK yields reverse lower on the day.

The USD weakened, with the AUD rising to a multi-year high of 0.7278 during the session.

Oil prices pulled back sharply on more constructive Middle East developments, while gold and base metals gained and iron ore rose on renewed demand following China's May Day holiday.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	67.1	1.2%
AUD/USD	0.7237	0.8%
AUD/JPY	113.15	-0.2%
AUD/GBP	0.5325	0.4%
AUD/NZD	1.2150	-0.4%
AUD/EUR	0.6161	0.3%
AUD/CNH	4.9311	0.6%
AUD/SGD	0.9178	0.2%
AUD/HKD	5.6711	0.7%
AUD/CAD	0.9864	0.9%
EUR/USD	1.1749	0.5%
USD/JPY	156.38	-0.9%
USD Index	98.05	-0.4%

Equities	Close	Change
S&P/ASX 200	8,794	1.3%
S&P 500	7,365	1.5%
Japan Nikkei	59,513	0.4%
Hang Seng	26,214	1.2%
Euro Stoxx 50	6,027	2.7%
UK FTSE100	10,439	2.1%
VIX Index	17.39	0.1%

Commodities	Current	Change
CRB Index	388.00	-2.6%
Gold	4691.94	3.0%
Copper	13392	2.0%
Oil (WTI futures)	96.11	-6.0%
Coal (coking)	237.00	0.9%
Coal (thermal)	136.30	-3.2%
Iron Ore	110.30	1.8%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.34	0.07
90 day BBSY	4.49	0.05
180 day BBSY	4.82	0.04
1 year swap	4.63	-0.03
2 year swap	4.62	-0.04
3 year swap	4.59	-0.04
4 year swap	4.58	-0.03
5 year swap	4.59	-0.04
6 year swap	4.62	-0.04
7 year swap	4.67	-0.04
8 year swap	4.71	-0.04
9 year swap	4.75	-0.04
10 year swap	5.00	-0.05

Government Bond Yields	Close	Change
Australia		
3 year bond	4.63	0.00
10 year bond	4.95	-0.02
United States		
3-month T Bill	3.60	0.00
2 year bond	3.87	-0.07
10 year bond	4.35	-0.08
Other (10 year yields)		
Germany	3.00	-0.06
Japan	2.52	0.00
UK	4.94	-0.12

Sydney Futures Exchange	Current	Change
10 yr bond	4.93	-0.05
3 yr bond	4.58	-0.06
3 mth bill rate	4.28	0.00
SPI 200	8,897	1.1%



Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

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2.0% and 1.9% respectively, while iron ore posted a day gain of 1.8% as China emerges from its May Day holiday period, supporting renewed buying interest.

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US ADP employment was marginally below expectations in April at 109k, but the result is a step up from March's 61k.

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Local Data

In New Zealand, **employment** rose 0.2%qtr in the March quarter, while the **participation rate** fell to 70.4%, resulting in the **unemployment rate** easing to 5.3% - the first decline since December 2021 (see [here](#)).



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

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7 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets reacted favourably as President Trump signalled progress toward a potential agreement with Iran, including a staged reopening of the Strait of Hormuz, with further negotiations around Iran's nuclear programme to follow.

Equity markets strengthened on improved Middle East sentiment, with the ASX 200 recording its strongest performance in nearly a month.

US bond markets rallied as oil prices eased, while political uncertainty around UK local elections saw UK yields reverse lower on the day.

The USD weakened, with the AUD rising to a multi-year high of 0.7278 during the session.

Oil prices pulled back sharply on more constructive Middle East developments, while gold and base metals gained and iron ore rose on renewed demand following China's May Day holiday.

Data snapshot

FX Last 24 hrs	Current	Change	AUS Interest Rate Swaps	Last	Change
TWI	67.1	1.2%	30 day BBSY	4.34	0.07
AUD/USD	0.7237	0.8%	90 day BBSY	4.49	0.05
AUD/JPY	113.15	-0.2%	180 day BBSY	4.82	0.04
AUD/GBP	0.5325	0.4%	1 year swap	4.63	-0.03
AUD/NZD	1.2150	-0.4%	2 year swap	4.62	-0.04
AUD/EUR	0.6161	0.3%	3 year swap	4.59	-0.04
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AUD/CAD	0.9864	0.9%	7 year swap	4.67	-0.04
EUR/USD	1.1749	0.5%	8 year swap	4.71	-0.04
USD/JPY	156.38	-0.9%	9 year swap	4.75	-0.04
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Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

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Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

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7 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets reacted favourably as President Trump signalled progress toward a potential agreement with Iran, including a staged reopening of the Strait of Hormuz, with further negotiations around Iran's nuclear programme to follow.

Equity markets strengthened on improved Middle East sentiment, with the ASX 200 recording its strongest performance in nearly a month.

US bond markets rallied as oil prices eased, while political uncertainty around UK local elections saw UK yields reverse lower on the day.

The USD weakened, with the AUD rising to a multi-year high of 0.7278 during the session.

Oil prices pulled back sharply on more constructive Middle East developments, while gold and base metals gained and iron ore rose on renewed demand following China's May Day holiday.

Data snapshot

FX Last 24 hrs	Current	Change	AUS Interest Rate Swaps	Last	Change
TWI	67.1	1.2%	30 day BBSY	4.34	0.07
AUD/USD	0.7237	0.8%	90 day BBSY	4.49	0.05
AUD/JPY	113.15	-0.2%	180 day BBSY	4.82	0.04
AUD/GBP	0.5325	0.4%	1 year swap	4.63	-0.03
AUD/NZD	1.2150	-0.4%	2 year swap	4.62	-0.04
AUD/EUR	0.6161	0.3%	3 year swap	4.59	-0.04
AUD/CNH	4.9311	0.6%	4 year swap	4.58	-0.03
AUD/SGD	0.9178	0.2%	5 year swap	4.59	-0.04
AUD/HKD	5.6711	0.7%	6 year swap	4.62	-0.04
AUD/CAD	0.9864	0.9%	7 year swap	4.67	-0.04
EUR/USD	1.1749	0.5%	8 year swap	4.71	-0.04
USD/JPY	156.38	-0.9%	9 year swap	4.75	-0.04
USD Index	98.05	-0.4%	10 year swap	5.00	-0.05

Equities	Close	Change	Government Bond Yields	Close	Change
S&P/ASX 200	8,794	1.3%	Australia		
S&P 500	7,365	1.5%	3 year bond	4.63	0.00
Japan Nikkei	59,513	0.4%	10 year bond	4.95	-0.02
Hang Seng	26,214	1.2%	United States		
Euro Stoxx 50	6,027	2.7%	3-month T Bill	3.60	0.00
UK FTSE100	10,439	2.1%	2 year bond	3.87	-0.07
VIX Index	17.39	0.1%	10 year bond	4.35	-0.08

Commodities	Current	Change	Other (10 year yields)		
CRB Index	388.00	-2.6%	Germany	3.00	-0.06
Gold	4691.94	3.0%	Japan	2.52	0.00
Copper	13392	2.0%	UK	4.94	-0.12

			Sydney Futures Exchange	Current	Change
Oil (WTI futures)	96.11	-6.0%	10 yr bond	4.93	-0.05
Coal (coking)	237.00	0.9%	3 yr bond	4.58	-0.06
Coal (thermal)	136.30	-3.2%	3 mth bill rate	4.28	0.00
Iron Ore	110.30	1.8%	SPI 200	8,897	1.1%
ACCU	36.13	-4.3%			

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets reacted favourably overnight as President Trump signalled progress toward a final agreement with Iran. The President said he would pause 'Project Freedom', with the US delivering Iran a one page memorandum of understanding that would gradually reopen the Strait of Hormuz and lift the naval blockade. Detailed negotiations over Iran's nuclear programme would follow, with Iran expected to respond via mediators within the next two days. This comes as China's Foreign Minister also called for a swift reopening of the Strait in discussions with his Iranian counterpart, while Presidents Trump and Xi are scheduled to meet in person mid month.

- Equity markets were stronger, with optimism around the Middle East driving sentiment. In the US, equities reached fresh highs, with the S&P 500 gaining 1.5%, the Dow Jones up 1.2%, and the NASDAQ 100 outperforming with a 2.0% rise. European equities also advanced, with the Euro Stoxx 50 up 2.7% and the FTSE 100 rising 2.1%.
- Asian markets rallied, led by Korea's KOSPI, up 6.5% on AI related enthusiasm, followed by the Hang Seng (+1.2%) and the Nikkei 225 (+0.4%). Locally, the ASX 200 recorded its strongest performance in nearly a month, rising 1.3%, led by the major banks.
- US bond markets rallied across the curve as oil prices eased, with the 2-year yield down 7bps, and the 10-year yield 8bps lower. Futures pricing was little changed, with no rate moves expected this year. Elsewhere, UK gilt yields reversed sharply amid political uncertainty related to the UK local elections, with the 10-year yield falling 12bps.
- Australian government bonds were broadly stable as markets reflected on the RBAs latest move. The 3-year yield held steady, while the 10-year declined 2bps. Swaps markets are wholly pricing in at least one additional rate hike this year, with the implied terminal cash rate for year-end at 4.64%.
- FX markets saw broad USD weakness, with the DXY down -0.4% on the session. The Australian dollar posted solid gains against the USD, reaching a multi year high of 0.7278 before paring some gains into the close to end the day up 0.8%. The New Zealand dollar outperformed against the Greenback, up 1.2%, with the Euro (+0.5%), and Sterling (+0.4%) also stronger.
- Commodity markets saw a continued pull back in oil as Middle East headlines turned more constructive. Brent fell -7.2% to US\$102/bbl, while WTI declined -6.0% to US\$96.1/bbl. Gold benefited from improved risk sentiment and USD weakness, posting its strongest gain since March, up 3.0%. Copper and aluminium also saw solid gains of

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Trade Balance Mar	\$4400m	\$5686m
19:00	EZ Retail Sales Mar	-0.3%	-0.2%
22:30	US Productivity Q1 Prel.	0.6%	1.8%
22:30	US Initial Jobless Claims 2/05/2026	205k	189k
-	CN Foreign Reserves Apr	US\$3366b	-

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

2.0% and 1.9% respectively, while iron ore posted a day gain of 1.8% as China emerges from its May Day holiday period, supporting renewed buying interest.

International Data

US ADP employment was marginally below expectations in April at 109k, but the result is a step up from March's 61k.

St Louis Fed President Musalem emphasised uncertainty, showing greater concern over inflation than employment.

Chicago Fed President Goolsbee warned against reflexively lowering interest rates in response to productivity gains, recognising that the income and wealth created by progress can accelerate inflation.

The **Euro Area PPI** printed as expected, a 3.4% gain in March leaving the annual change at 2.1%yr. Ex energy, prices were up just 0.5% in the month and 1.4%yr.

Local Data

In New Zealand, **employment** rose 0.2%qtr in the March quarter, while the **participation rate** fell to 70.4%, resulting in the **unemployment rate** easing to 5.3% - the first decline since December 2021 (see [here](#)).



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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7 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets reacted favourably as President Trump signalled progress toward a potential agreement with Iran, including a staged reopening of the Strait of Hormuz, with further negotiations around Iran's nuclear programme to follow.

Equity markets strengthened on improved Middle East sentiment, with the ASX 200 recording its strongest performance in nearly a month.

US bond markets rallied as oil prices eased, while political uncertainty around UK local elections saw UK yields reverse lower on the day.

The USD weakened, with the AUD rising to a multi-year high of 0.7278 during the session.

Oil prices pulled back sharply on more constructive Middle East developments, while gold and base metals gained and iron ore rose on renewed demand following China's May Day holiday.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	67.1	1.2%
AUD/USD	0.7237	0.8%
AUD/JPY	113.15	-0.2%
AUD/GBP	0.5325	0.4%
AUD/NZD	1.2150	-0.4%
AUD/EUR	0.6161	0.3%
AUD/CNH	4.9311	0.6%
AUD/SGD	0.9178	0.2%
AUD/HKD	5.6711	0.7%
AUD/CAD	0.9864	0.9%
EUR/USD	1.1749	0.5%
USD/JPY	156.38	-0.9%
USD Index	98.05	-0.4%

Equities	Close	Change
S&P/ASX 200	8,794	1.3%
S&P 500	7,365	1.5%
Japan Nikkei	59,513	0.4%
Hang Seng	26,214	1.2%
Euro Stoxx 50	6,027	2.7%
UK FTSE100	10,439	2.1%
VIX Index	17.39	0.1%

Commodities	Current	Change
CRB Index	388.00	-2.6%
Gold	4691.94	3.0%
Copper	13392	2.0%
Oil (WTI futures)	96.11	-6.0%
Coal (coking)	237.00	0.9%
Coal (thermal)	136.30	-3.2%
Iron Ore	110.30	1.8%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.34	0.07
90 day BBSY	4.49	0.05
180 day BBSY	4.82	0.04
1 year swap	4.63	-0.03
2 year swap	4.62	-0.04
3 year swap	4.59	-0.04
4 year swap	4.58	-0.03
5 year swap	4.59	-0.04
6 year swap	4.62	-0.04
7 year swap	4.67	-0.04
8 year swap	4.71	-0.04
9 year swap	4.75	-0.04
10 year swap	5.00	-0.05

Government Bond Yields	Close	Change
Australia		
3 year bond	4.63	0.00
10 year bond	4.95	-0.02
United States		
3-month T Bill	3.60	0.00
2 year bond	3.87	-0.07
10 year bond	4.35	-0.08
Other (10 year yields)		
Germany	3.00	-0.06
Japan	2.52	0.00
UK	4.94	-0.12

Sydney Futures Exchange	Current	Change
10 yr bond	4.93	-0.05
3 yr bond	4.58	-0.06
3 mth bill rate	4.28	0.00
SPI 200	8,897	1.1%



Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets reacted favourably overnight as President Trump signalled progress toward a final agreement with Iran. The President said he would pause 'Project Freedom', with the US delivering Iran a one page memorandum of understanding that would gradually reopen the Strait of Hormuz and lift the naval blockade. Detailed negotiations over Iran's nuclear programme would follow, with Iran expected to respond via mediators within the next two days. This comes as China's Foreign Minister also called for a swift reopening of the Strait in discussions with his Iranian counterpart, while Presidents Trump and Xi are scheduled to meet in person mid month.

- Equity markets were stronger, with optimism around the Middle East driving sentiment. In the US, equities reached fresh highs, with the S&P 500 gaining 1.5%, the Dow Jones up 1.2%, and the NASDAQ 100 outperforming with a 2.0% rise. European equities also advanced, with the Euro Stoxx 50 up 2.7% and the FTSE 100 rising 2.1%.
- Asian markets rallied, led by Korea's KOSPI, up 6.5% on AI related enthusiasm, followed by the Hang Seng (+1.2%) and the Nikkei 225 (+0.4%). Locally, the ASX 200 recorded its strongest performance in nearly a month, rising 1.3%, led by the major banks.
- US bond markets rallied across the curve as oil prices eased, with the 2-year yield down 7bps, and the 10-year yield 8bps lower. Futures pricing was little changed, with no rate moves expected this year. Elsewhere, UK gilt yields reversed sharply amid political uncertainty related to the UK local elections, with the 10-year yield falling 12bps.
- Australian government bonds were broadly stable as markets reflected on the RBAs latest move. The 3-year yield held steady, while the 10-year declined 2bps. Swaps markets are wholly pricing in at least one additional rate hike this year, with the implied terminal cash rate for year-end at 4.64%.
- FX markets saw broad USD weakness, with the DXY down -0.4% on the session. The Australian dollar posted solid gains against the USD, reaching a multi year high of 0.7278 before paring some gains into the close to end the day up 0.8%. The New Zealand dollar outperformed against the Greenback, up 1.2%, with the Euro (+0.5%), and Sterling (+0.4%) also stronger.
- Commodity markets saw a continued pull back in oil as Middle East headlines turned more constructive. Brent fell -7.2% to US\$102/bbl, while WTI declined -6.0% to US\$96.1/bbl. Gold benefited from improved risk sentiment and USD weakness, posting its strongest gain since March, up 3.0%. Copper and aluminium also saw solid gains of

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Trade Balance Mar	\$4400m	\$5686m
19:00	EZ Retail Sales Mar	-0.3%	-0.2%
22:30	US Productivity Q1 Prel.	0.6%	1.8%
22:30	US Initial Jobless Claims 2/05/2026	205k	189k
-	CN Foreign Reserves Apr	US\$3366b	-

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

2.0% and 1.9% respectively, while iron ore posted a day gain of 1.8% as China emerges from its May Day holiday period, supporting renewed buying interest.

International Data

US ADP employment was marginally below expectations in April at 109k, but the result is a step up from March's 61k.

St Louis Fed President Musalem emphasised uncertainty, showing greater concern over inflation than employment.

Chicago Fed President Goolsbee warned against reflexively lowering interest rates in response to productivity gains, recognising that the income and wealth created by progress can accelerate inflation.

The **Euro Area PPI** printed as expected, a 3.4% gain in March leaving the annual change at 2.1%yr. Ex energy, prices were up just 0.5% in the month and 1.4%yr.

Local Data

In New Zealand, **employment** rose 0.2%qtr in the March quarter, while the **participation rate** fell to 70.4%, resulting in the **unemployment rate** easing to 5.3% - the first decline since December 2021 (see [here](#)).



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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Expansionary impulse persists as states grapple with the shock

#fiscalpolicy

#australia

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By Pat Bustamante

Senior Economist, Westpac

11:30 May 07 2026

Share

State budgets to deteriorate, with limited scope for further stimulus given an already expansionary national fiscal impulse. Any redistribution of the positive income shock is best delivered within the existing fiscal envelope.

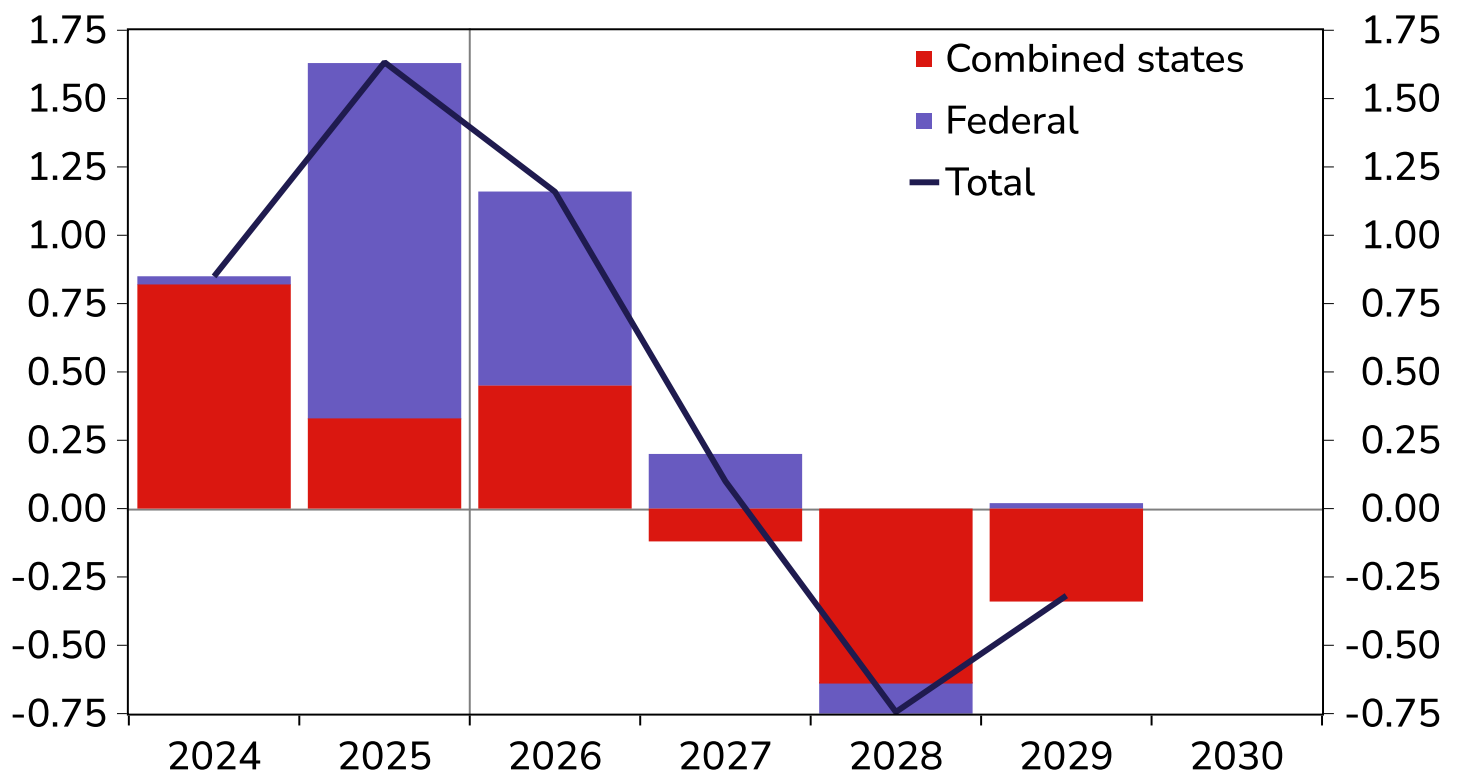


- The combined state budget position will deteriorate as the Middle East shock weighs on revenue while lifting expenses, delaying the expected fiscal recovery by two years.

- State capital spending is easing as major infrastructure projects unwind, but net interest costs are rising sharply. By FY2029, States are increasingly borrowing to service their interest bills, an outcome that is likely to sharpen the focus on the need for fiscal consolidation.
- The national fiscal impulse is slightly expansionary in FY2027, even before factoring in additional policy support expected in upcoming state and federal budgets. This follows a substantial fiscal expansion of around 3.5ppt of GDP over the three years to FY2026, comparable in scale to the GFC. However, unlike past cycles, states drove a disproportionate share of this expansion, especially early on.
- With the fiscal impulse to be slightly expansionary in FY2027, there is only limited scope for additional spending. As a net energy exporter, higher energy commodity prices will unambiguously boost national income. While there is a case for governments to redistribute some of these gains, a significant net addition to the fiscal impulse risks leaving policy more expansionary than is consistent with returning inflation to target.

Fiscal impulse

% of nominal GDP, Financial years.



Source: Macrobond, Westpac Economics

*Combined state balance is the cash balance for the non-financial public sector. The headline cash balance is used for the Federal balance.

Prior to the escalation of the conflict in the Middle East, state and territory governments (the 'states') were projecting a steadily improving fiscal outlook. This was underpinned by an expected recovery in private sector activity, continued strength in employment growth, and inflation easing back towards the RBA's 2.5% target.

The world has changed

For governments preparing upcoming budgets, the Middle East conflict could not have come at a worse time. Instead of a recovery in private sector activity, we now expect a sharp economic slowdown as the recent re-tightening in monetary conditions collides with a large global supply shock centred on energy.

We expect the RBA to deliver two additional 25bp rate hikes beyond the 25bp increase in May, aimed at preventing a sustained rise in inflation expectations. Against this backdrop, GDP growth is forecast to slow to just 1%yr in 2026, the unemployment rate is expected to lift toward 5%, and trimmed mean inflation is forecast to rise to around 4% by year-end.

Our updated state-based forecasts ([see here](#)) have economic activity, employment, and dwelling price growth slowing abruptly in the consumer-led states of NSW and Victoria, while conditions hold up relatively better in the mining-based economies of Queensland and WA. In NSW and Victoria, year-average growth in GSP is now expected to fall below 1% in FY2027, less than half the rate we were forecasting in December 2025 ([see here](#)), with smaller downgrades elsewhere.

As a result, employment growth is expected to slow below population growth in NSW, Victoria, and Tasmania, while remaining broadly in line with population growth in the mining states and SA. Dwelling prices in NSW and Victoria are now forecast to effectively stagnate through 2026, down from around 5% growth expected late last year. This adjustment is already underway, with prices falling over the quarter to April 2026 in both these states.

This shift in the outlook has significant implications for the states' largest tax bases, particularly payroll tax, stamp duty, and gambling taxes. While GST revenue is likely to receive a near-term boost from stronger nominal spending, this will only partially offset the broader revenue drag.

If this wasn't enough to deal with, the negative supply shock will increase the costs of delivering health, education, and infrastructure services. Based on actual and expected input price increases, we estimate infrastructure development costs of around 5% higher in FY2027 than expected prior to the conflict. While smaller than the roughly 8-10% increase in costs we estimate for dwelling construction, the impact remains material. We currently expect this to be a one-off level shift in prices, with construction cost growth expected to normalise by FY2028. However, the longer the conflict persists, the greater the risk that elevated cost growth extends beyond FY2027.

Higher inflation will also lift non-labour costs across health and education. This will feed into labour costs through cost-of-living adjustments embedded in enterprise agreements. In addition, there's a risk of further spillover as workers try to protect real wages.

The result is a clear deterioration in state fiscal positions: weaker revenue growth alongside rising expenses, even before governments consider new policy measures to support households and businesses through this adverse supply shock.

Importantly, state governments are unlikely to benefit materially from commodity price windfalls, in

contrast to the Commonwealth. Even in the mining states, stronger royalty revenues are expected to fall short of offsetting rising cost pressures. While higher energy prices will unambiguously lift national income, the distribution of these gains will be highly uneven.

State fiscal drift looks set to continue

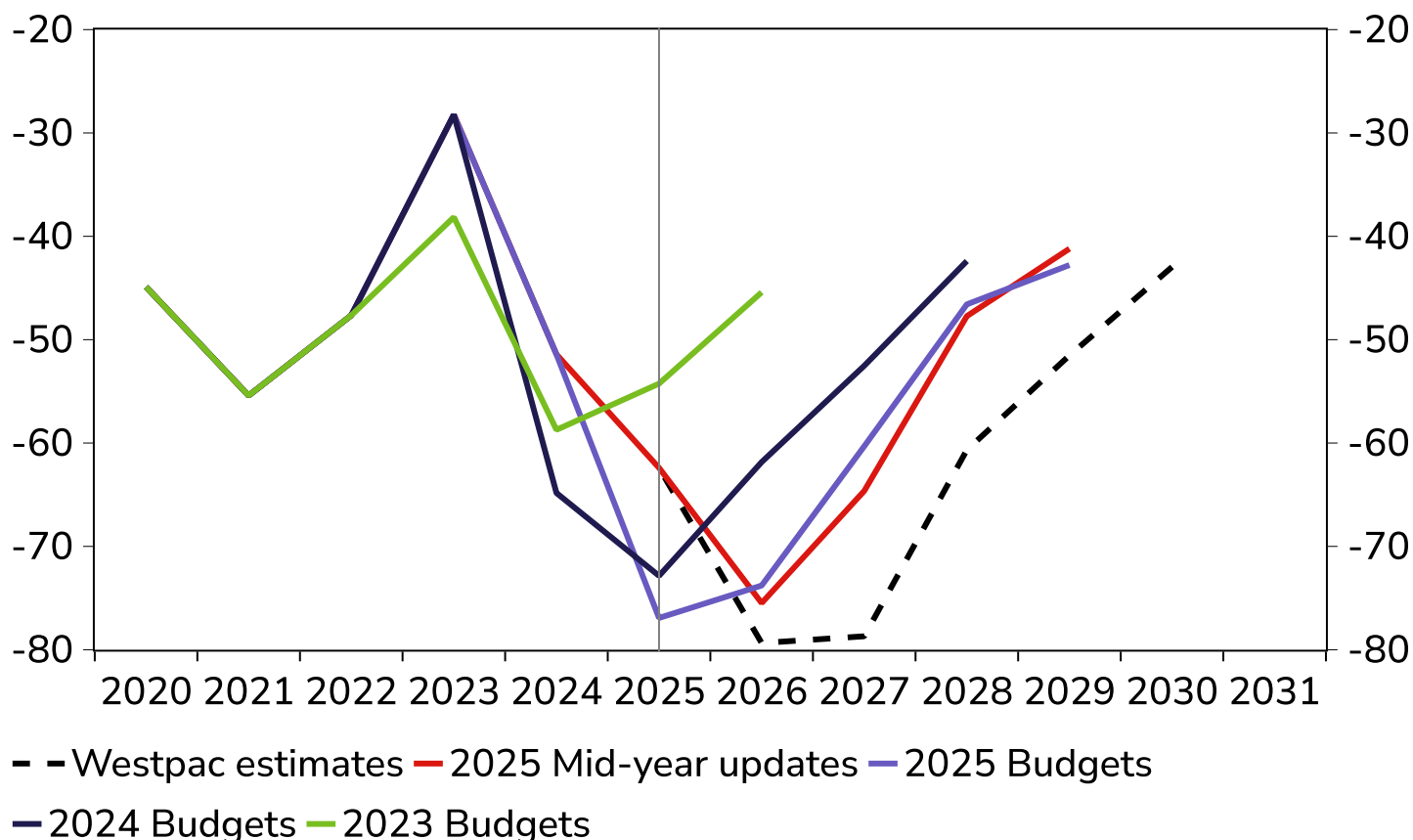
Based on Westpac Economics' outlook, and our mapping of macro parameters to fiscal outcomes, we estimate the combined state cash deficit will deteriorate by around \$50bn over the five years to FY2030.

The starting point for fiscal repair has also shifted. The turnaround in the combined cash balance is now expected from FY2028, two years later than the FY2026 timing embedded in last year's budget updates.

This excludes both recently announced and prospective policy support for households and businesses. Additional measures will place further pressure on fiscal positions. Victoria alone has announced around \$18bn in new policies, while the Federal Government has also provided support, including via the fuel excise cut.

Budget outlook across the states

Non-financial public sector, cash balance, \$billions



Source: State budget papers, Macrobond, Westpac Economics

Despite the expected deterioration, risks remain skewed to the downside.

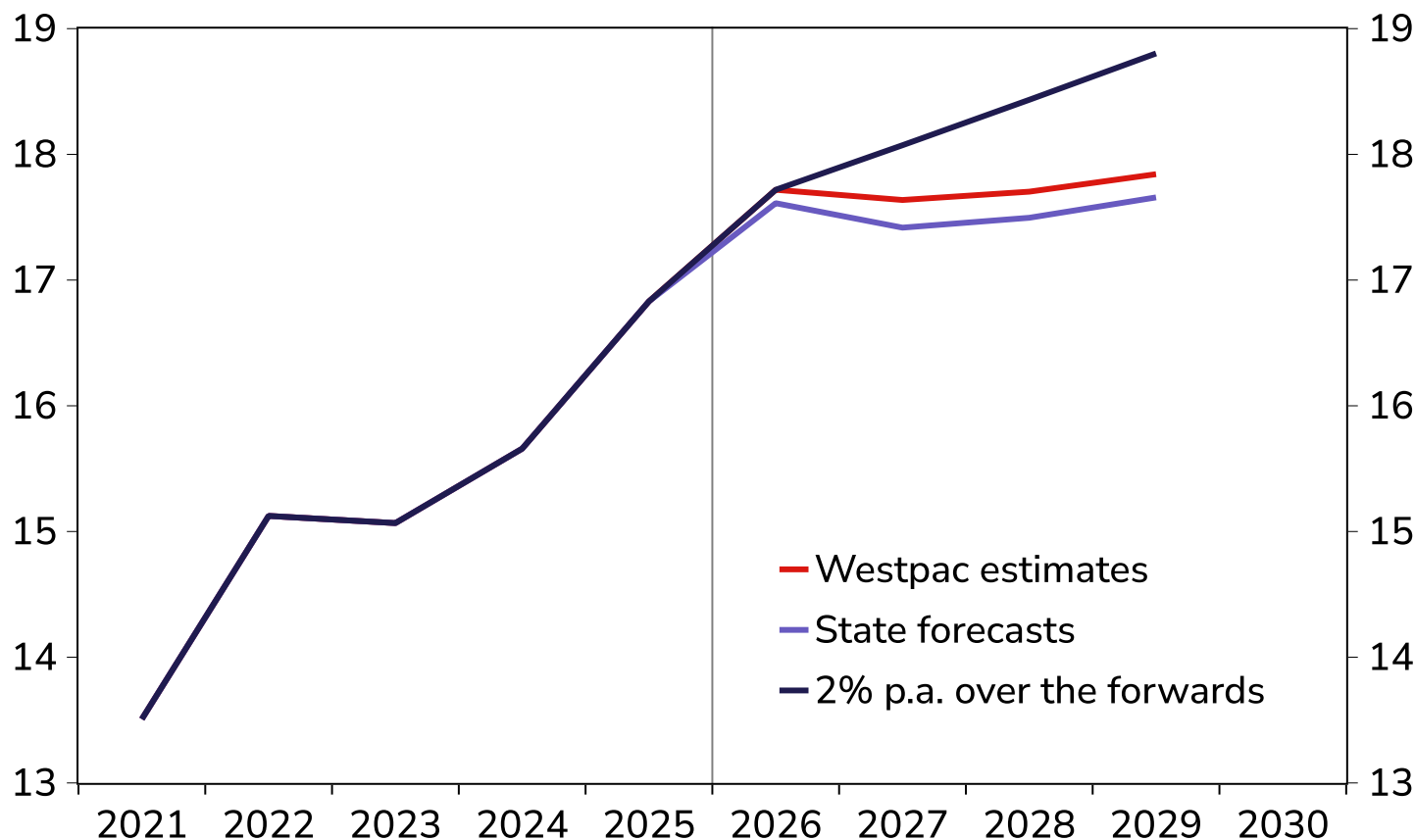
There is a degree of optimism embedded in these estimates. In part because we assume no change in

policy, recurrent spending per capita is assumed to stabilise over the forecast period, following a sharp 30% increase over the five years to FY2026. On current settings, this implies a decline in real services per capita, an outcome that appears unlikely given recent budgets have been focused on expanding public service delivery, particularly across housing, health and education.

If instead spending growth moderates only partially, to around 2.0% per annum from the 5% pace seen over the past five years, recurrent expenditure would be around \$35bn higher by FY2029. This would see the combined cash deficit widen materially, from around \$50bn to closer to \$85bn by FY2029.

Recurrent payments per capita across the states

Non-financial public sector, \$000s



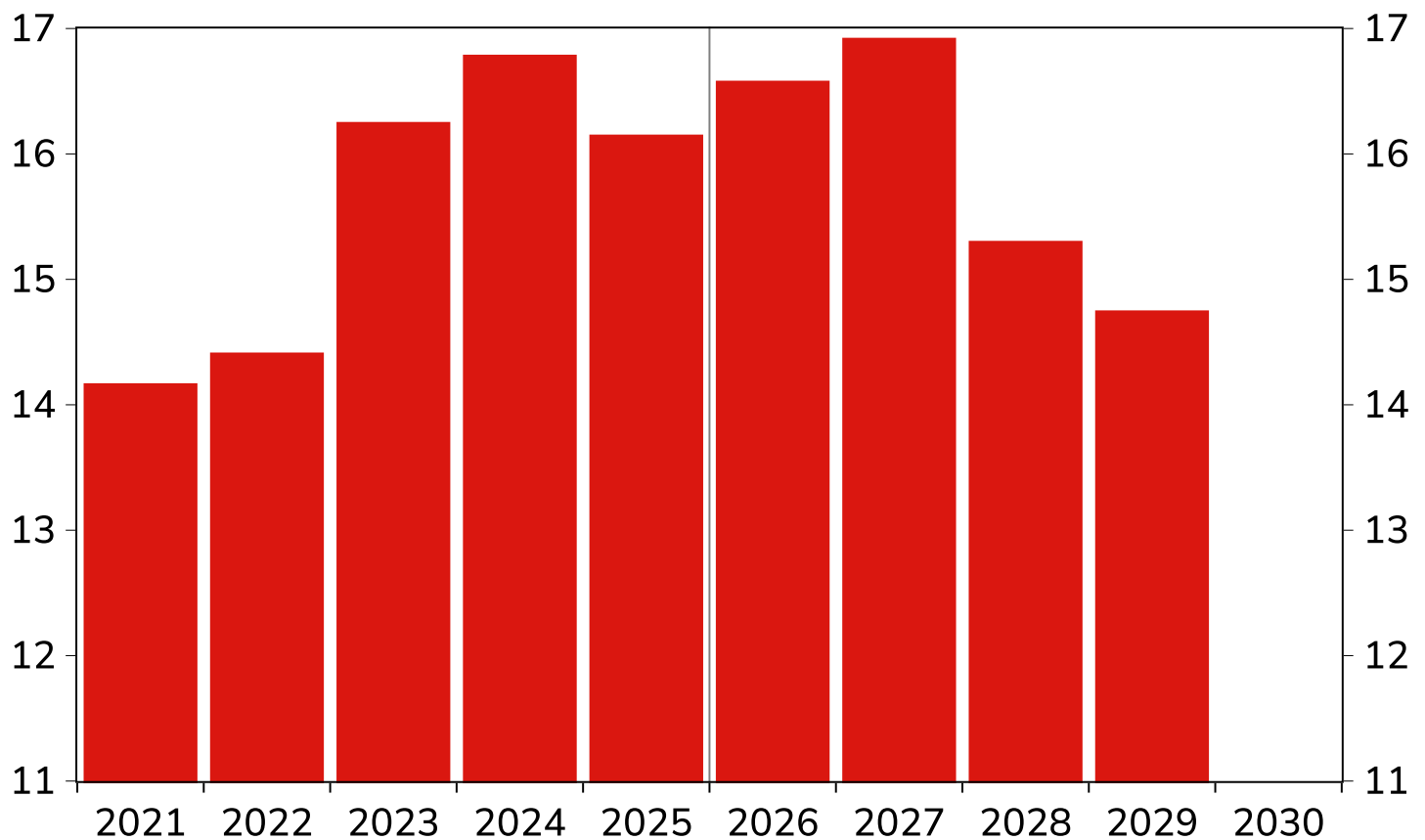
Source: State budget papers, Macrobond, Westpac Economics

The combined fiscal outlook is also shifting.

Capital spending has surged in recent years, rising from around 12% of total outflows (recurrent plus capital outlays) in FY2022 to a peak of almost 17% in FY2027. However, this share is expected to ease back to around 14.5% by FY2029 as the current pipeline of major projects rolls off.

Infrastructure investment

% share of total outlays



Source: State budget papers, Macrobond, Westpac Economics

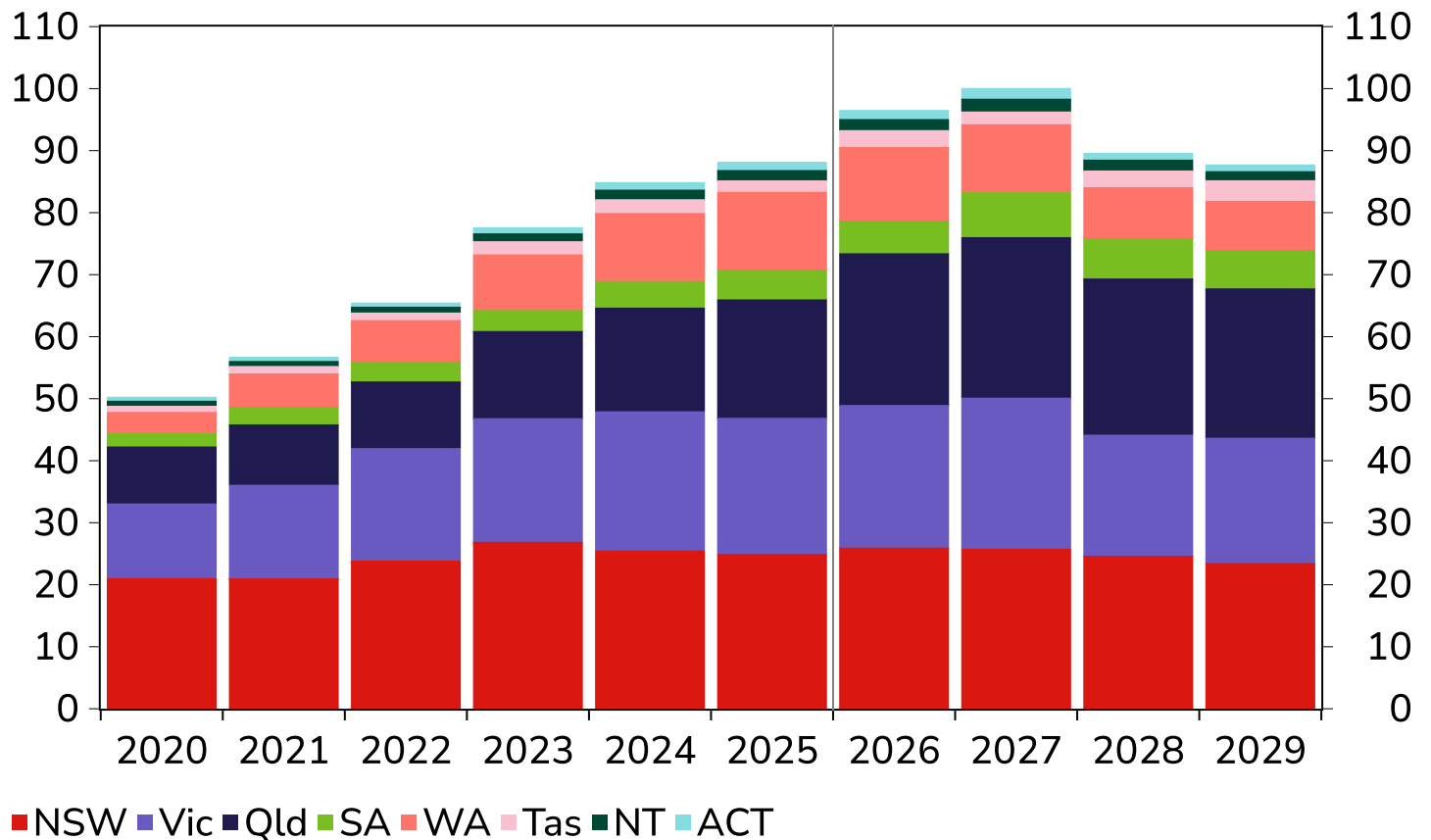
We are now at (or near) peak levels of public capital expenditure. A significant wave of transport 'mega-projects' is moving through completion. In Sydney, this includes WestConnex (largely complete), the Metro (with the Southwest line due to open in 2026 and the Western extension by 2032), and Western Sydney Airport (scheduled for completion in 2026).

In Melbourne, key projects include the Metro Tunnel (completed in late 2025) and the Airport Rail Link (targeted for 2029), alongside much longer-dated and more uncertain timelines for the Suburban Rail Loop and Geelong Fast Rail.

In contrast, Brisbane and south-east Queensland retain a more extended pipeline. Major projects, including Cross River Rail (2025–26) and Gold Coast Light Rail (2026), are complemented by a broader wave of infrastructure investment supporting activity through to the 2032 Brisbane Olympics.

Infrastructure pipeline

Non-financial public sector, \$billions



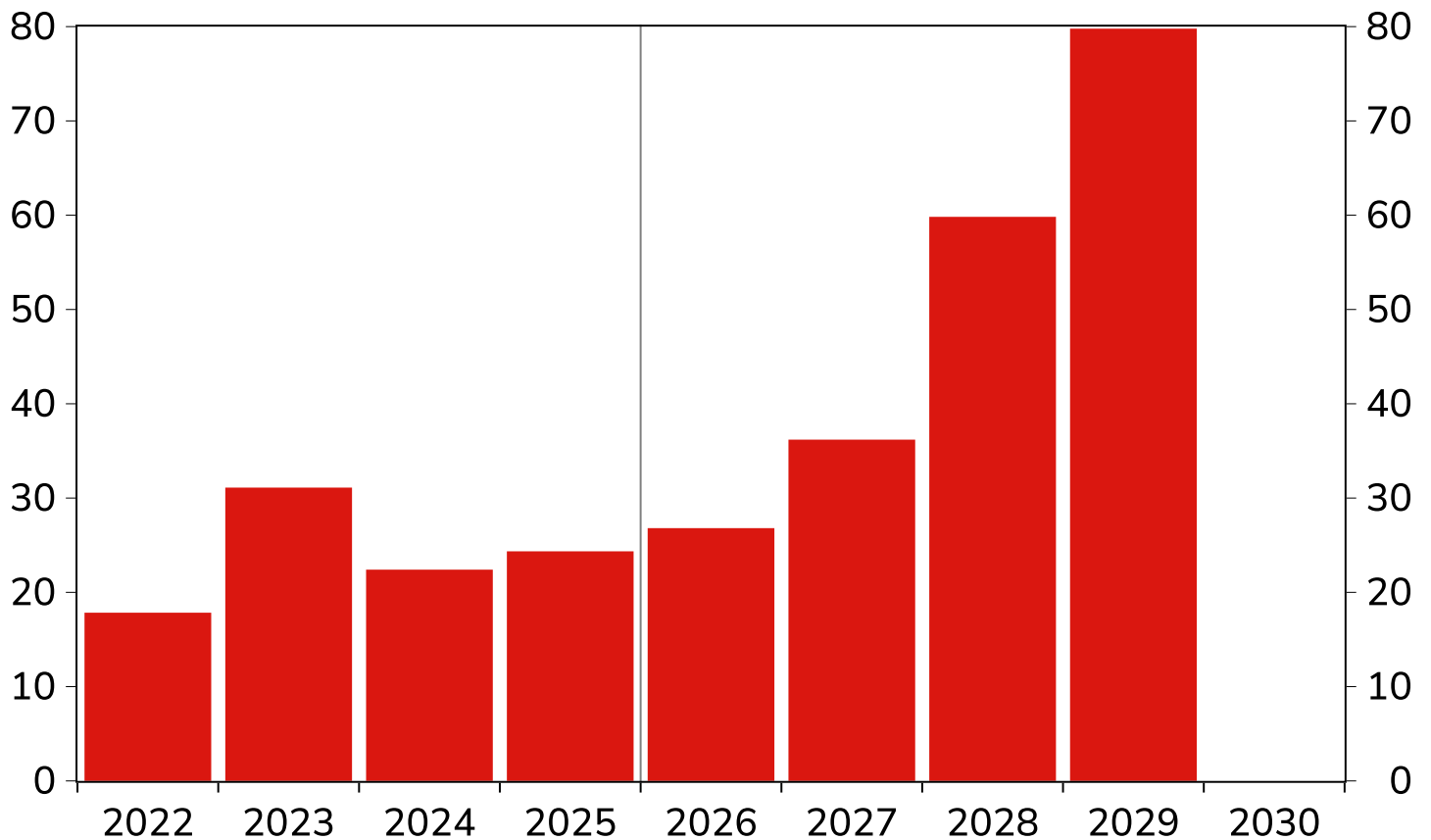
Source: State budget papers, Macrobond, Westpac Economics

At the same time, net interest costs are rising rapidly. By FY2029, we estimate that around 80% of state borrowing will be used to service interest payments, reflecting both a higher global cost of capital and a materially larger stock of debt. This is likely to sharpen the focus on the need for fiscal consolidation.

This dynamic is becoming increasingly important. A larger debt stock, combined with elevated borrowing costs, will constrain fiscal flexibility, particularly in an environment where global interest rates remain higher for longer.

Interest payments

% share of cash deficits



Source: State budget papers, Macrobond, Westpac Economics

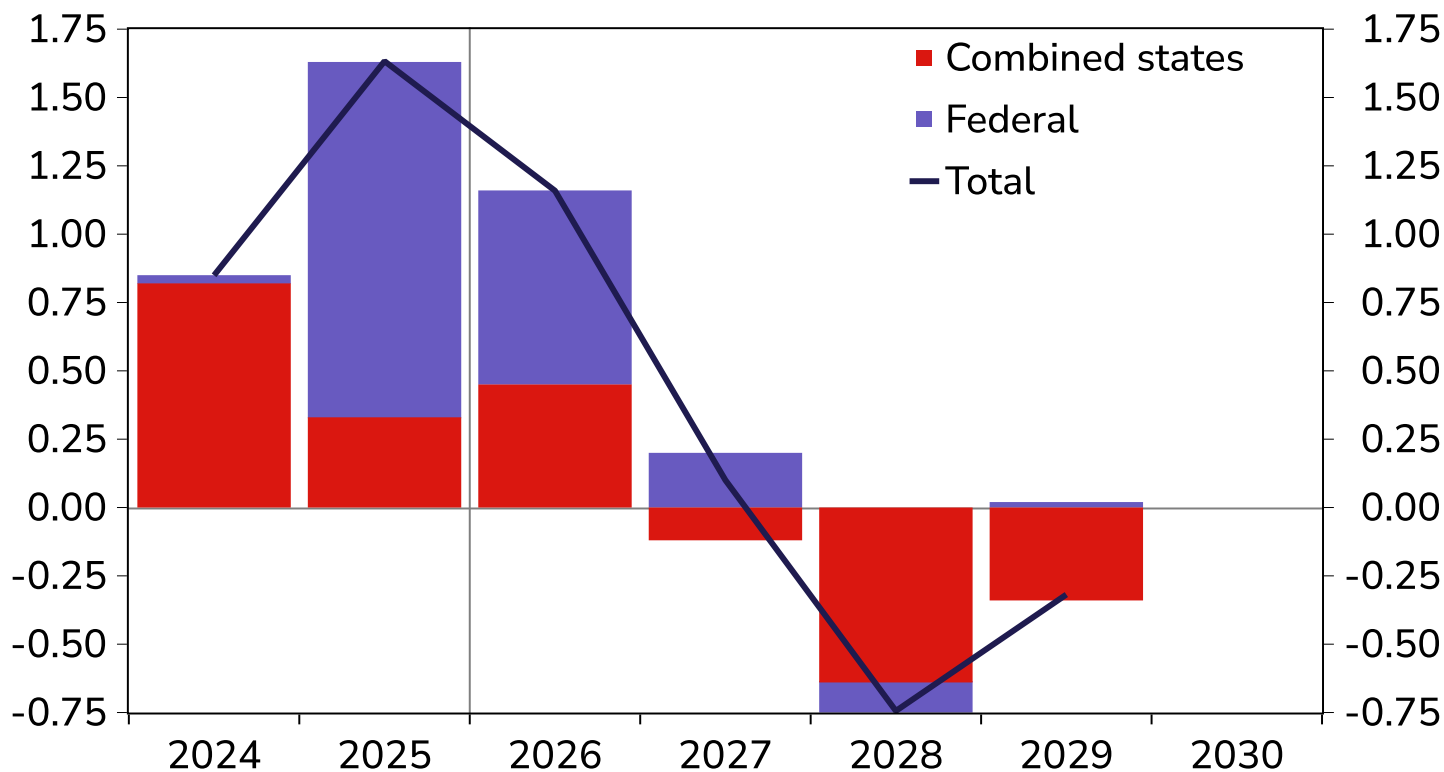
What about the national fiscal impulse? Limited room for further stimulus

The fiscal impulse measures the net contribution of government to aggregate demand. When governments are balancing their books and net outflows (consumption and investment) equals inflows (mainly tax revenue) the impulse will be flat or neutral. The change in the impulse is important when looking at the change in demand, activity, and inflationary pressures.

On our estimates, the combined fiscal impulse is slightly expansionary in FY2027. This follows an expansionary policy stance over the past three years where the national fiscal impulse was around 3.5ppts of nominal GDP, an increase comparable to the post-GFC stimulus in 2009–10.

Fiscal impulse

% of nominal GDP, Financial years.



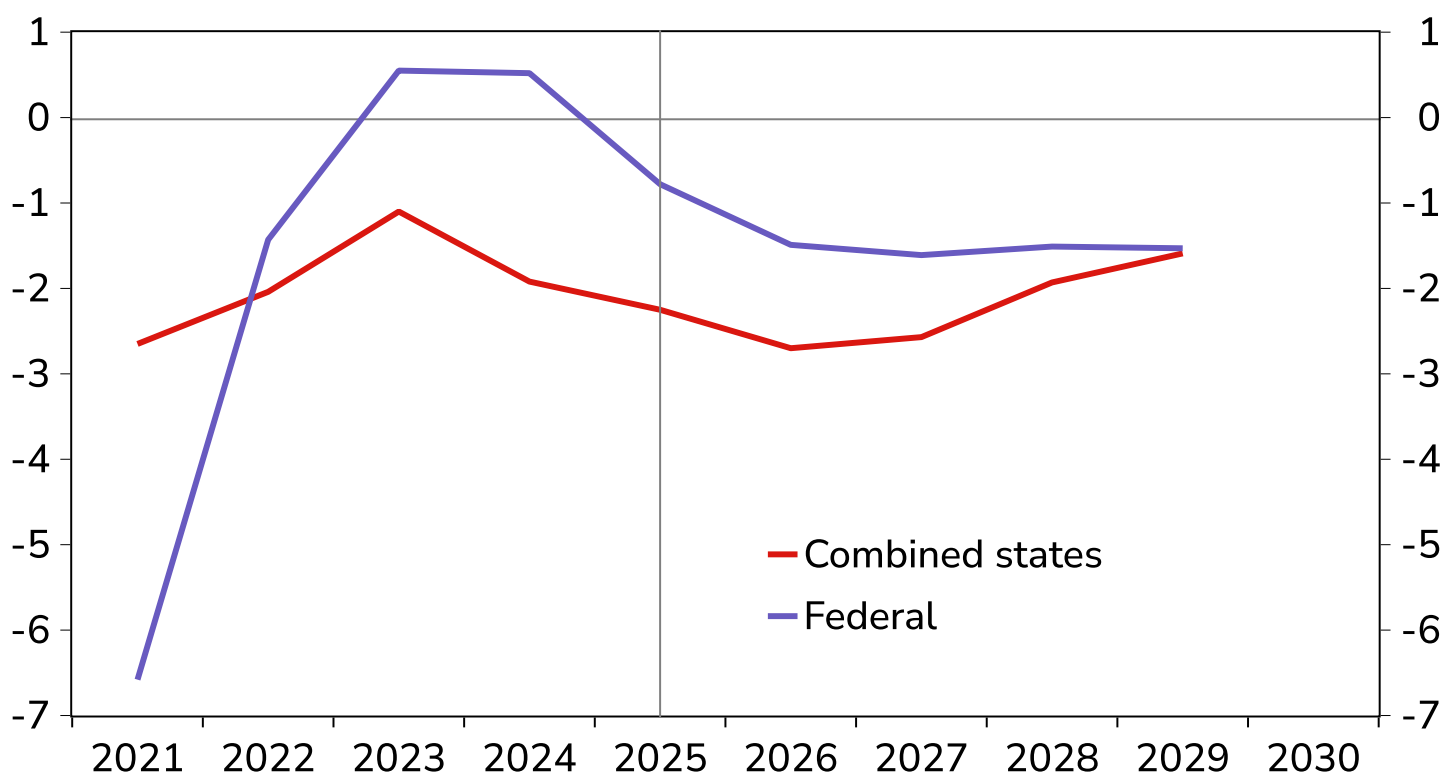
Source: Macrobond, Westpac Economics

*Combined state balance is the cash balance for the non-financial public sector. The headline cash balance is used for the Federal balance.

However, unlike the GFC, this recent expansion has been driven by the states with the combined cash deficits larger than the Federal headline cash deficit. This is unusual: historically, large fiscal expansions have typically been led by the Commonwealth, but in the current cycle it is state spending, particularly infrastructure, that has dominated the impulse.

Cash budget balances*

% of nominal GDP, Financial years.



Source: Macrobond, Westpac Economics

*Combined state balance is the cash balance for the non-financial public sector. The headline cash balance is used for the Federal balance.

Looking ahead, the slightly expansionary impulse suggests limited incremental support to demand from fiscal policy. In principle, this should help ease pressure on capacity and inflation. However, given the ongoing pipeline of policy measures and the political imperative to support households during this oil price shock, there is a clear risk that fiscal settings remain more expansionary than currently assumed.

Bottom line

The shift in the outlook leaves state budgets in a materially weaker position. A combination of softer revenue growth, rising cost pressures and an increasing interest burden is set to delay fiscal repair. With the fiscal impulse to be slightly expansionary in FY2027, there is only limited scope for additional spending. As a net energy exporter, higher energy commodity prices will unambiguously boost national income. While there is a case for governments to redistribute some of these gains, a significant net addition to the fiscal impulse risks leaving policy more expansionary than is consistent with returning inflation to target.

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7 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets reacted favourably as President Trump signalled progress toward a potential agreement with Iran, including a staged reopening of the Strait of Hormuz, with further negotiations around Iran's nuclear programme to follow.

Equity markets strengthened on improved Middle East sentiment, with the ASX 200 recording its strongest performance in nearly a month.

US bond markets rallied as oil prices eased, while political uncertainty around UK local elections saw UK yields reverse lower on the day.

The USD weakened, with the AUD rising to a multi-year high of 0.7278 during the session.

Oil prices pulled back sharply on more constructive Middle East developments, while gold and base metals gained and iron ore rose on renewed demand following China's May Day holiday.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	67.1	1.2%
AUD/USD	0.7237	0.8%
AUD/JPY	113.15	-0.2%
AUD/GBP	0.5325	0.4%
AUD/NZD	1.2150	-0.4%
AUD/EUR	0.6161	0.3%
AUD/CNH	4.9311	0.6%
AUD/SGD	0.9178	0.2%
AUD/HKD	5.6711	0.7%
AUD/CAD	0.9864	0.9%
EUR/USD	1.1749	0.5%
USD/JPY	156.38	-0.9%
USD Index	98.05	-0.4%

Equities	Close	Change
S&P/ASX 200	8,794	1.3%
S&P 500	7,365	1.5%
Japan Nikkei	59,513	0.4%
Hang Seng	26,214	1.2%
Euro Stoxx 50	6,027	2.7%
UK FTSE100	10,439	2.1%
VIX Index	17.39	0.1%

Commodities	Current	Change
CRB Index	388.00	-2.6%
Gold	4691.94	3.0%
Copper	13392	2.0%
Oil (WTI futures)	96.11	-6.0%
Coal (coking)	237.00	0.9%
Coal (thermal)	136.30	-3.2%
Iron Ore	110.30	1.8%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.34	0.07
90 day BBSY	4.49	0.05
180 day BBSY	4.82	0.04
1 year swap	4.63	-0.03
2 year swap	4.62	-0.04
3 year swap	4.59	-0.04
4 year swap	4.58	-0.03
5 year swap	4.59	-0.04
6 year swap	4.62	-0.04
7 year swap	4.67	-0.04
8 year swap	4.71	-0.04
9 year swap	4.75	-0.04
10 year swap	5.00	-0.05

Government Bond Yields	Close	Change
Australia		
3 year bond	4.63	0.00
10 year bond	4.95	-0.02
United States		
3-month T Bill	3.60	0.00
2 year bond	3.87	-0.07
10 year bond	4.35	-0.08
Other (10 year yields)		
Germany	3.00	-0.06
Japan	2.52	0.00
UK	4.94	-0.12

Sydney Futures Exchange	Current	Change
10 yr bond	4.93	-0.05
3 yr bond	4.58	-0.06
3 mth bill rate	4.28	0.00
SPI 200	8,897	1.1%



Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets reacted favourably overnight as President Trump signalled progress toward a final agreement with Iran. The President said he would pause 'Project Freedom', with the US delivering Iran a one page memorandum of understanding that would gradually reopen the Strait of Hormuz and lift the naval blockade. Detailed negotiations over Iran's nuclear programme would follow, with Iran expected to respond via mediators within the next two days. This comes as China's Foreign Minister also called for a swift reopening of the Strait in discussions with his Iranian counterpart, while Presidents Trump and Xi are scheduled to meet in person mid month.

- Equity markets were stronger, with optimism around the Middle East driving sentiment. In the US, equities reached fresh highs, with the S&P 500 gaining 1.5%, the Dow Jones up 1.2%, and the NASDAQ 100 outperforming with a 2.0% rise. European equities also advanced, with the Euro Stoxx 50 up 2.7% and the FTSE 100 rising 2.1%.
- Asian markets rallied, led by Korea's KOSPI, up 6.5% on AI related enthusiasm, followed by the Hang Seng (+1.2%) and the Nikkei 225 (+0.4%). Locally, the ASX 200 recorded its strongest performance in nearly a month, rising 1.3%, led by the major banks.
- US bond markets rallied across the curve as oil prices eased, with the 2-year yield down 7bps, and the 10-year yield 8bps lower. Futures pricing was little changed, with no rate moves expected this year. Elsewhere, UK gilt yields reversed sharply amid political uncertainty related to the UK local elections, with the 10-year yield falling 12bps.
- Australian government bonds were broadly stable as markets reflected on the RBAs latest move. The 3-year yield held steady, while the 10-year declined 2bps. Swaps markets are wholly pricing in at least one additional rate hike this year, with the implied terminal cash rate for year-end at 4.64%.
- FX markets saw broad USD weakness, with the DXY down -0.4% on the session. The Australian dollar posted solid gains against the USD, reaching a multi year high of 0.7278 before paring some gains into the close to end the day up 0.8%. The New Zealand dollar outperformed against the Greenback, up 1.2%, with the Euro (+0.5%), and Sterling (+0.4%) also stronger.
- Commodity markets saw a continued pull back in oil as Middle East headlines turned more constructive. Brent fell -7.2% to US\$102/bbl, while WTI declined -6.0% to US\$96.1/bbl. Gold benefited from improved risk sentiment and USD weakness, posting its strongest gain since March, up 3.0%. Copper and aluminium also saw solid gains of

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Trade Balance Mar	\$4400m	\$5686m
19:00	EZ Retail Sales Mar	-0.3%	-0.2%
22:30	US Productivity Q1 Prel.	0.6%	1.8%
22:30	US Initial Jobless Claims 2/05/2026	205k	189k
-	CN Foreign Reserves Apr	US\$3366b	-

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

2.0% and 1.9% respectively, while iron ore posted a day gain of 1.8% as China emerges from its May Day holiday period, supporting renewed buying interest.

International Data

US ADP employment was marginally below expectations in April at 109k, but the result is a step up from March's 61k.

St Louis Fed President Musalem emphasised uncertainty, showing greater concern over inflation than employment.

Chicago Fed President Goolsbee warned against reflexively lowering interest rates in response to productivity gains, recognising that the income and wealth created by progress can accelerate inflation.

The **Euro Area PPI** printed as expected, a 3.4% gain in March leaving the annual change at 2.1%yr. Ex energy, prices were up just 0.5% in the month and 1.4%yr.

Local Data

In New Zealand, **employment** rose 0.2%qtr in the March quarter, while the **participation rate** fell to 70.4%, resulting in the **unemployment rate** easing to 5.3% - the first decline since December 2021 (see [here](#)).



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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Cliff Notes: policy perspectives from across the globe

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By [Elliot Clarke](#), [Illiana Jain](#), [Ryan Wells](#) & [Mantas Vanagas](#)

09:42 May 01 2026

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Key insights from the week that was.



In Australia, the [Q1 CPI](#) report provided the first official estimate of the impact on local prices of the Middle East conflict. Headline inflation accelerated sharply to 1.4% (4.1%yr) in Q1 on the back of a 33% surge in auto fuel prices in March alone. Fortunately, a large portion of this spike has since unwound following the fuel excise cut, although fuel prices remain materially above the pre-conflict level.

While there were some signs of price pressures across home-building, vehicle repair and insurance, it is too early to detect, let alone accurately assess, evidence of pass-through. That said, underlying trimmed mean inflation still rose 0.8% in Q1, with annual growth at 3.5%yr, a full percentage point above the mid-point of the target. Notably, March's data pre-dates the wide range of price increases reported anecdotally for building products and other items which came into effect in April.

Following the CPI release, Chief Economist Luci Ellis reaffirmed our call for the RBA to increase the cash rate by 25bps to 4.35% at the May policy meeting. The combination of an elevated starting point for inflation and imminent risk of pass-through will compel the RBA to act pre-emptively to contain inflation expectations. Next week's voting split, updated staff forecasts and the tone of communications will be informative on the baseline policy outlook and risks. For now, we retain our base case of another two hikes beyond May, in June and August, taking the cash rate to a peak of 4.85%.

The combination of higher inflation, slower growth and rising unemployment is also fostering a complex macroeconomic backdrop for the 2026/27 Federal Budget, due May 12. A full preview will be published next week, but our preliminary note sets out our central expectation that commodity price windfalls are likely to more than offset spending pressures and result in a net improvement in the budget's bottom line over the forward estimates.

Offshore, at the beginning of the week the Bank of Japan held its policy rate at 0.75% in a 6-3 vote. Updated forecasts highlight the risk of stagflation, with FY26 growth revised sharply lower to 0.5% (from 1.5%) and core inflation now expected to remain above 2% through to FY28. With Japanese firms increasingly willing to pass on costs, the Middle East conflict risks amplifying domestic inflationary pressures.

The BoJ remains focused on restoring the policy rate as an effective policy lever. Further hikes were signalled, but the timing left open. With policy settings still considered accommodative and a weak yen threatening import inflation, we anticipate the next hike to occur in June, though there is a risk it is delayed to July. The Financial Statements Statistics update due on 1 June will be an important release to gauge firms' response to the crisis and the implications for both inflation and activity.

In the US, the FOMC then kept the stance of policy unchanged at its April meeting. The tone of the statement was balanced, with a sanguine view on GDP growth and the labour market and inflation simply characterised as "elevated". The statement also noted that "the Committee is attentive to the risks to both sides of its dual mandate", while Chair Powell remarked in the press conference that, in his view, policy is in a good place to take time to monitor conditions, being at the "high end of neutral, perhaps mildly restrictive". Governors Hammack, Kashkari and Logan also showed greater concern over inflation than the labour market at this meeting, wanting to maintain the target range for the federal funds rate and signal that a hike was as likely as a cut on current information.

The Bank of Canada also kept its policy stance unchanged. The conflict in the Middle East and US trade policy were called out as sources of uncertainty for the global economy. But overall, the outlook for Canada's economy was viewed as little changed from January. Assuming a protracted resolution to the Middle East conflict into 2027, GDP growth is expected to strengthen through 2027-2028 and

inflation to turn back towards the 2%yr target from 3%yr in the near term, allowing the Bank of Canada to remain on hold.

Thereafter in Europe, the ECB Governing Council opted to maintain its current policy stance. The ECB acknowledged that “upside risks to inflation and downside risks to growth have intensified” and the merits of a rate hike were discussed, but developments to date were not sufficient to convince the Governing Council to take immediate action – the decision to hold was unanimous. At its previous meeting in March, the ECB presented two downside scenarios alongside its baseline. In the April press conference, President Lagarde was reluctant to discuss the details of those scenarios, noting simply that conditions are diverging from March’s baseline and the upcoming six weeks “will be the right time” to assess the economy “in order to make an informed decision”. Her comments appeared carefully chosen to signal openness to a rate increase in June. Therefore, barring any major changes in the dynamics of the Middle East conflict, we continue to believe that a 25bp policy rate hike is the most probable outcome at the next meeting.

The Bank of England’s April meeting also unfolded broadly as expected, the MPC voting 8-1 to keep the policy rate at 3.75%. Chief Economist Hew Pill was the sole dissenter, preferring “a prompt but modest hike in Bank Rate” to contain the risk of second-round inflationary effects. The policy statement maintained a hawkish bias, however, emphasising the potential impact of the energy price shock – its scale and duration – on UK inflation and the committee’s readiness to act to ensure inflation returns to the 2% target. Policy makers also showed concern over economic growth and the labour market, with slack increasing prior to the conflict.

Risks to the economic outlook were illustrated using three alternative scenarios, differentiated by oil and gas price assumptions and the persistence of second-round inflation effects. In the first two scenarios, the Brent oil price averages \$108 in Q2 2026 then decreases at different speeds. Both scenarios showed headline inflation peaking above 3.5%yr this year before easing in 2027. Importantly, the Governor emphasised that, if the economy evolves in line with these scenarios, further policy tightening may not be required – the removal of the circa 50bp of easing priced before the conflict potentially sufficient to bring inflation back to the 2% target. The committee judged that the most severe scenario – where Brent averages \$127 this quarter and remains above \$100 well into 2028 – would likely require “a forceful tightening in monetary policy”, however. The Governor declined to specify what interest rate changes this would entail, but noted the need to act quickly to minimise second-round effects. Bank Rate hikes this year are therefore not guaranteed, but with Brent Oil surging as much as 20% this week to a peak around USD126 (now USD114) as the US and Iran remained at an impasse, conditions may eventually become too close to the BoE’s most severe scenario for the MPC to ignore. We continue to expect a Bank Rate hike at the next policy meeting in June, with further tightening possible, but dependent on evolving circumstances.

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7 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets reacted favourably as President Trump signalled progress toward a potential agreement with Iran, including a staged reopening of the Strait of Hormuz, with further negotiations around Iran's nuclear programme to follow.

Equity markets strengthened on improved Middle East sentiment, with the ASX 200 recording its strongest performance in nearly a month.

US bond markets rallied as oil prices eased, while political uncertainty around UK local elections saw UK yields reverse lower on the day.

The USD weakened, with the AUD rising to a multi-year high of 0.7278 during the session.

Oil prices pulled back sharply on more constructive Middle East developments, while gold and base metals gained and iron ore rose on renewed demand following China's May Day holiday.

Data snapshot

FX Last 24 hrs	Current	Change	AUS Interest Rate Swaps	Last	Change
TWI	67.1	1.2%	30 day BBSY	4.34	0.07
AUD/USD	0.7237	0.8%	90 day BBSY	4.49	0.05
AUD/JPY	113.15	-0.2%	180 day BBSY	4.82	0.04
AUD/GBP	0.5325	0.4%	1 year swap	4.63	-0.03
AUD/NZD	1.2150	-0.4%	2 year swap	4.62	-0.04
AUD/EUR	0.6161	0.3%	3 year swap	4.59	-0.04
AUD/CNH	4.9311	0.6%	4 year swap	4.58	-0.03
AUD/SGD	0.9178	0.2%	5 year swap	4.59	-0.04
AUD/HKD	5.6711	0.7%	6 year swap	4.62	-0.04
AUD/CAD	0.9864	0.9%	7 year swap	4.67	-0.04
EUR/USD	1.1749	0.5%	8 year swap	4.71	-0.04
USD/JPY	156.38	-0.9%	9 year swap	4.75	-0.04
USD Index	98.05	-0.4%	10 year swap	5.00	-0.05
Equities	Close	Change	Government Bond Yields	Close	Change
S&P/ASX 200	8,794	1.3%	Australia		
S&P 500	7,365	1.5%	3 year bond	4.63	0.00
Japan Nikkei	59,513	0.4%	10 year bond	4.95	-0.02
Hang Seng	26,214	1.2%	United States		
Euro Stoxx 50	6,027	2.7%	3-month T Bill	3.60	0.00
UK FTSE100	10,439	2.1%	2 year bond	3.87	-0.07
VIX Index	17.39	0.1%	10 year bond	4.35	-0.08
Commodities	Current	Change	Other (10 year yields)		
CRB Index	388.00	-2.6%	Germany	3.00	-0.06
Gold	4691.94	3.0%	Japan	2.52	0.00
Copper	13392	2.0%	UK	4.94	-0.12
Oil (WTI futures)	96.11	-6.0%	Sydney Futures Exchange	Current	Change
Coal (coking)	237.00	0.9%	10 yr bond	4.93	-0.05
Coal (thermal)	136.30	-3.2%	3 yr bond	4.58	-0.06
Iron Ore	110.30	1.8%	3 mth bill rate	4.28	0.00
ACCU	36.13	-4.3%	SPI 200	8,897	1.1%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets reacted favourably overnight as President Trump signalled progress toward a final agreement with Iran. The President said he would pause 'Project Freedom', with the US delivering Iran a one page memorandum of understanding that would gradually reopen the Strait of Hormuz and lift the naval blockade. Detailed negotiations over Iran's nuclear programme would follow, with Iran expected to respond via mediators within the next two days. This comes as China's Foreign Minister also called for a swift reopening of the Strait in discussions with his Iranian counterpart, while Presidents Trump and Xi are scheduled to meet in person mid month.

- Equity markets were stronger, with optimism around the Middle East driving sentiment. In the US, equities reached fresh highs, with the S&P 500 gaining 1.5%, the Dow Jones up 1.2%, and the NASDAQ 100 outperforming with a 2.0% rise. European equities also advanced, with the Euro Stoxx 50 up 2.7% and the FTSE 100 rising 2.1%.
- Asian markets rallied, led by Korea's KOSPI, up 6.5% on AI related enthusiasm, followed by the Hang Seng (+1.2%) and the Nikkei 225 (+0.4%). Locally, the ASX 200 recorded its strongest performance in nearly a month, rising 1.3%, led by the major banks.
- US bond markets rallied across the curve as oil prices eased, with the 2-year yield down 7bps, and the 10-year yield 8bps lower. Futures pricing was little changed, with no rate moves expected this year. Elsewhere, UK gilt yields reversed sharply amid political uncertainty related to the UK local elections, with the 10-year yield falling 12bps.
- Australian government bonds were broadly stable as markets reflected on the RBAs latest move. The 3-year yield held steady, while the 10-year declined 2bps. Swaps markets are wholly pricing in at least one additional rate hike this year, with the implied terminal cash rate for year-end at 4.64%.
- FX markets saw broad USD weakness, with the DXY down -0.4% on the session. The Australian dollar posted solid gains against the USD, reaching a multi year high of 0.7278 before paring some gains into the close to end the day up 0.8%. The New Zealand dollar outperformed against the Greenback, up 1.2%, with the Euro (+0.5%), and Sterling (+0.4%) also stronger.
- Commodity markets saw a continued pull back in oil as Middle East headlines turned more constructive. Brent fell -7.2% to US\$102/bbl, while WTI declined -6.0% to US\$96.1/bbl. Gold benefited from improved risk sentiment and USD weakness, posting its strongest gain since March, up 3.0%. Copper and aluminium also saw solid gains of

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Trade Balance Mar	\$4400m	\$5686m
19:00	EZ Retail Sales Mar	-0.3%	-0.2%
22:30	US Productivity Q1 Prel.	0.6%	1.8%
22:30	US Initial Jobless Claims 2/05/2026	205k	189k
-	CN Foreign Reserves Apr	US\$3366b	-

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

2.0% and 1.9% respectively, while iron ore posted a day gain of 1.8% as China emerges from its May Day holiday period, supporting renewed buying interest.

International Data

US ADP employment was marginally below expectations in April at 109k, but the result is a step up from March's 61k.

St Louis Fed President Musalem emphasised uncertainty, showing greater concern over inflation than employment.

Chicago Fed President Goolsbee warned against reflexively lowering interest rates in response to productivity gains, recognising that the income and wealth created by progress can accelerate inflation.

The **Euro Area PPI** printed as expected, a 3.4% gain in March leaving the annual change at 2.1%yr. Ex energy, prices were up just 0.5% in the month and 1.4%yr.

Local Data

In New Zealand, **employment** rose 0.2%qtr in the March quarter, while the **participation rate** fell to 70.4%, resulting in the **unemployment rate** easing to 5.3% - the first decline since December 2021 (see [here](#)).



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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10 April 2026

HORMUZ HIT CPI & CORE INFLATION

The magnitude of the shock has significant implications

Key points

- The Iran conflict is the largest energy shock since the oil crises of the 1970s/80s. For more details on the scenario underpinning these projections please refer to [Middle East Crisis Update](#).
- Westpac is forecasting a 1.5%qtr/4.2%yr gain in the March quarter CPI. The Trimmed Mean is forecast to lift 0.9%qtr/3.5%yr.
- Headline inflation is now peaking at 5.4%yr in the June quarter before easing back to 4.6%yr by end 2026.
- Core inflation peaks around 4%yr in the second half of 2026 and does not return to 3%yr till the end of 2027.
- The monthly CPI to rise 1.3% in March and April with the annual pace peaking at 5.8%yr in May.
- The Trimmed Mean is set to rise 0.2% in March followed by 0.5% increase in April; the annual pace peaks around 4%yr in June and holds this pace till year end.

Breakdown of near term inflation forecasts

	Mar-26	Mar-26	Apr-26	May-26
	Qtr fcs	Mth fcs	Mth fcs	Mth fcs
Item	% qtr	% mth	% mth	% mth
Food	1.0	0.6	0.9	0.5
of which, bread & cereals	0.6	0.9	-0.1	-0.2
of which, meat & seafood	1.2	0.3	0.0	0.9
of which, dairy prod.	0.3	0.9	0.3	-0.1
of which, fruit & vegetables	1.9	2.8	4.1	0.5
of which, food products	1.0	0.0	0.8	0.3
of which, non-alcohol bev.	1.1	0.5	-0.5	1.8
Alcohol & tobacco	1.1	0.3	0.2	0.8
of which, alcohol	1.1	0.4	-0.2	1.2
of which, tobacco	1.2	1.4	1.0	-0.2
Clothing & footwear	1.6	-4.2	4.8	-1.9
of which, garments	1.3	-3.7	5.5	-1.7
Housing	3.0	0.2	0.2	0.1
of which, rents	1.0	0.4	0.3	0.3
of which, house purchases	0.8	0.2	0.3	0.3
of which, electricity	21.9	0.0	0.0	0.0
of which, gas & other fuels	1.0	-0.1	-0.6	-2.0
H/hold contents & services	-0.3	-1.2	0.4	-0.3
Health	2.3	-0.1	2.1	-0.3
Transportation	2.2	9.7	1.1	2.0
of which, auto fuel	5.9	34.9	1.8	5.6
Communication	-0.2	-0.1	0.6	0.3
Recreation	-1.0	0.2	4.0	-2.3
of which, holiday travel	-3.2	0.7	7.3	-5.2
Education	4.3	0.0	0.0	0.0
Financial & insurance	0.9	0.4	0.2	0.1
CPI: All groups	1.5	1.3	1.3	0.0

Sources: ABS, Westpac Banking Corporation

- Pass-through to construction inputs has been reported by Tradelinks to be greater than usual.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

A crude shock, surcharges may change expectations



Justin Smirk
Senior Economist

A materially bigger and more persistent shock ...

As noted in our [Middle East Crisis Update](#), a prolonged disruption in the Gulf is sustaining higher energy prices. We now have Brent averaging around US\$120/bbl in the June quarter. This is based on our assessment of unfolding infrastructure damage and a slow recovery in shipping traffic through the Strait of Hormuz.

So despite the announced cut in fuel excise, we expect CPI inflation to peak at 5.4%yr in the June quarter, while the monthly measure, which the ABS highlights as the main indicator and can be significantly more volatile than the quarterly series, may peak close to 6%yr in May.

Westpac expects core inflation, as measured by the quarterly Trimmed Mean, peaking around 4% in the second half of year; food, household services and even new dwelling prices, alongside broader non-energy pass-through, are key risks to our estimates. We also note that the monthly TM spikes a bit faster hitting a 4.0%yr pace by June.

In response, the RBA is now expected to deliver three rate hikes (May, June, August), taking the cash rate to a peak of 4.85%. As the combined supply shock and tighter policy weigh on demand, GDP growth is expected to trough at 1%yr in 2027 while unemployment peaks around 5% at end 2026. A deeper dive into these issues are summarised in the video by the Westpac Economics Team led by Luci Ellis "[Longer conflict, higher inflation and cash rate](#)"

This was, of course, before the announcement of a two-week ceasefire on the 8th of April (Asian time). This is obviously welcome and a positive risk scenario relative to the baseline we outlined last week and underpins our current inflation forecasts. Should the ceasefire hold – and that is a big if – a faster opening up of the Strait of Hormuz would result in energy prices tracking between the profile we currently have and the one underpinning the forecasts in the [March](#).

Monthly inflation profile

		Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	Sep-26	Oct-26	Nov-26	Dec-26
CPI	Index	102.6	103.9	103.9	104.0	104.8	104.9	105.1	105.1	104.8	105.7
	(%mth)	1.3	1.3	0.0	0.1	0.8	0.1	0.2	0.0	-0.3	0.8
	(%yr)	4.7	5.3	5.8	5.7	5.2	5.4	5.1	5.1	4.8	4.7
Trimmed mean	(%mth)	0.2	0.5	0.4	0.3	0.4	0.4	0.2	0.4	0.2	0.3
	(%yr)	3.3	3.6	3.8	4.0	3.9	4.0	3.9	4.0	3.9	3.9
	(6mth ann'd)	3.2	3.7	4.1	4.1	4.3	4.6	4.6	4.4	3.8	3.7

Source: ABS, Westpac Economics.

Revision to the March quarter CPI estimate

	Feb 24, 2026		Apr 10, 2026	
Item	% qtr	contrib	% qtr	contrib
Food	1.2	0.21	1.0	0.17
of which, Fruit & vegetables	4.2	0.09	1.9	0.04
Alcohol & tobacco	1.2	0.08	1.1	0.08
of which, Tobacco	1.9	0.04	1.2	0.02
Clothing & footwear	-1.0	-0.03	1.6	0.05
Housing	2.7	0.58	3.0	0.64
of which, Rents	1.1	0.07	1.0	0.07
of which, House purchases	1.2	0.09	0.8	0.06
of which, Utilities	9.6	0.42	12.2	0.55
H/hold contents & services	0.3	0.02	-0.3	-0.02
Health	2.9	0.20	2.3	0.15
of which, Pharmaceuticals	5.8	0.06	2.9	0.03
Transportation	-1.3	-0.15	2.2	0.25
of which, Car prices	-0.2	-0.01	0.9	0.03
of which, Auto fuel	-5.1	-0.16	5.9	0.20
Communication	-0.1	0.00	-0.2	0.00
Recreation	-1.1	-0.14	-1.0	-0.13
of which, Audio visual & comp.	0.1	0.00	1.6	0.03
of which, Holiday travel	-2.8	-0.17	-3.2	-0.19
Education	5.2	0.25	4.3	0.21
Financial & insurance services	0.9	0.05	0.9	0.05
CPI: All groups	1.1	-	1.5	-
CPI: All groups % year	3.8	-	4.2	-

Sources: ABS, Westpac Economics.

Quarterly inflation profile

		Mar-26	Jun-26	Sep-26	Dec-26
CPI	Index	101.8	103.8	104.7	105.0
	(%qtr)	1.5	1.9	0.9	0.3
	(%yr)	4.2	5.4	5.0	4.6
Trimmed mean	(%qtr)	0.9	1.0	1.0	0.9
	(%yr)	3.5	3.9	4.0	4.0
	(6mth ann'd)	3.7	4.0	4.2	4.0

Source: ABS, Westpac Economics.

[Market Outlook](#) (which was based on a one-month closure of the Strait with little infrastructure damage). For further background on the unfolding risks to our current scenario see Luci Ellis's note "[On hoping you are wrong](#)".

In this bulletin we also release a forward profile of the Monthly CPI. This process is still at a preliminary stage but given the extreme surge we expect to see in the Monthly CPI, we thought it would be timely to provide some guidance out to December 2026.

March and April headline CPI set to surge

The Israel/US assault on Iran began in the morning of the 28th of February. We expect the resulting surge in oil prices to have the largest hit to the CPI in the months of March and April before flattening out in May and June. Auto fuel is set to increase again in July but this is due to the expiration of the recent temporary reduction in fuel excise.

Westpac is forecasting a 1.3% increase in March on the back of a 35% increase in auto fuel. At two decimal points the increase is 1.26% but we warn that given the current volatility in prices, there is a greater than usual degree of uncertainty so these finer estimates should be used with even more caution than usual.

The annual pace lifts from 3.7%yr to 4.7%yr in March.

Our current scenario has auto fuel lifting a further 2% and 6% respectively in April and May. The April CPI will also be boosted by a seasonal bounce in clothing & footwear and holiday travel & accommodation plus the annual increase in health insurance premiums. The annual pace of CPI inflation is expected to peak at 5.8%yr in May (so there is a risk it could peak as high as 6%yr) and then slowly moderate to 4.7%yr by December 2026.

Core inflation is higher for longer

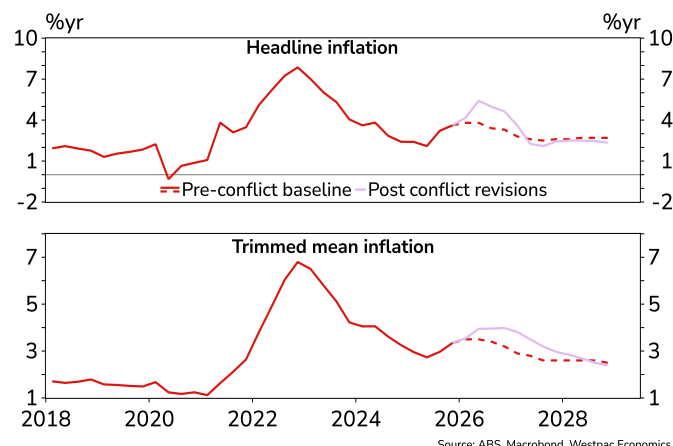
We estimate a 0.23%*mth* rise in the Monthly Trimmed Mean (TM) in March holding the annual pace steady at 3.3%yr. The six-month annualised pace is also steady at 3.3%yr which down from a 3.7%yr pace in December. We were expecting the pace of core inflation to moderate from here but with the conflict in Iran disrupting shipping out of the Gulf, and the resulting surge in fuel prices, we now see fuel prices remaining higher for longer resulting in a greater degree of pass-through to core inflation.

The TM is set to lift 0.5%*mth*/3.6%yr in April, 0.4%*mth*/3.8%yr in May and 0.3%*mth*/4.0%yr in June. The forecast peak in the annual TM inflation is 4.0%yr in June then holding between 3.9%yr and 4.0%yr to year end; in six-month annualised terms the peak pace is 4.6%yr in September.

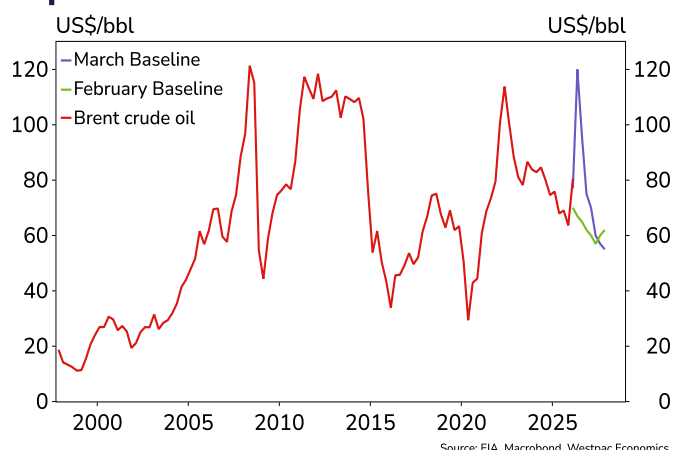
Quarterly inflation less volatile

The Monthly CPI is the focus of the ABS CPI release, and as such, it gains the most media attention. However, at least for now given the short history of the complete Monthly CPI, the quarterly measures of inflation will remain the focus of both the RBA and the Australian government when setting both monetary and fiscal policy, particularly when it comes to core inflation as measured by the Trimmed Mean.

Middle East conflict forecast revisions

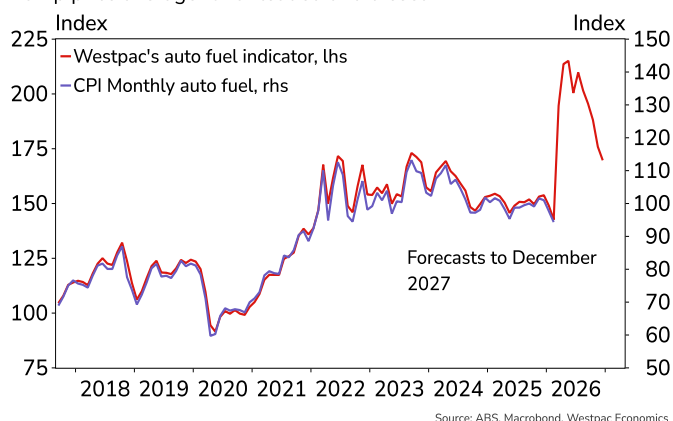


Oil price scenarios



Auto fuel prices

Pump price average for unleaded and diesel



As the current conflict started in the last week of February, we have only see one month of higher fuel prices so the auto fuel is expected to rise just 5.9% in the March quarter. However, starting from a high base in the June quarter means fuel prices to continue to rise solidly and we estimate a 24% surge in the fuel prices component in the June quarter.

Overall, we estimate a 1.5% increase in the March quarter taking the annual pace from 3.6%yr to 4.7%yr. As noted earlier, we expect this momentum to continue into the June quarter with a further 1.9% surge in the CPI taking the annual pace to 5.4%yr. While we think this should be the peak in the annual pace, it is nevertheless the fastest pace since June 2023 when it was reported to be 6.0%.

Core inflation is not immune to this boost as we are forecasting a 0.93% increase in the March quarter, matching the 0.9% increase in the December quarter and it is a prelude to the step up to a 1.0% increase in both the June and September quarters. This will see the annual pace peak at 4.0%yr in the second half of the year.

The Trimmed Mean estimate starts from a low of 0.2% to a high of 2.2%. Significant expenditure items trimmed off the bottom includes vegetables (–1.2%), international travel & accommodation (–0.7%) and other non-durable household products (–0.7%). Trimmed off the top are secondary education (2.3%), tobacco (2.4%), furniture (3.3%), women's garments (3.5%), auto fuel (5.9%), electricity (118.3%).

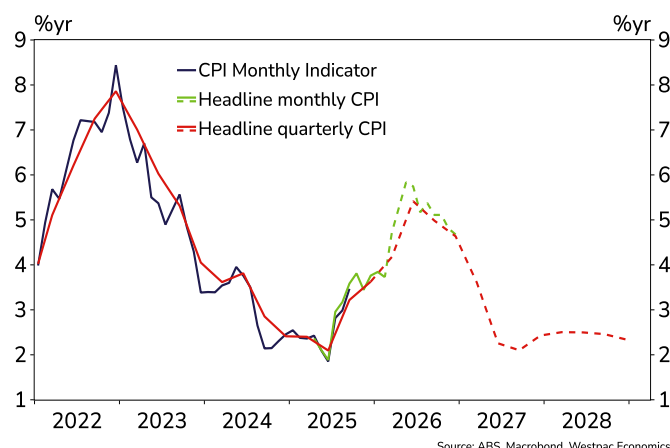
As we have noted in earlier bulletins, until the ABS has a better understanding of the seasonality of the new monthly CPI, they [will continue publishing](#) quarterly underlying inflation measures in a manner consistent with the history of price collection frequency. We have replicated this process and found it represents a small downside risk to our March quarter estimate but it still rounds to 0.9%qtr. As such we just note the risk and do not adjust our overall forecast.

Signs of faster pass-through

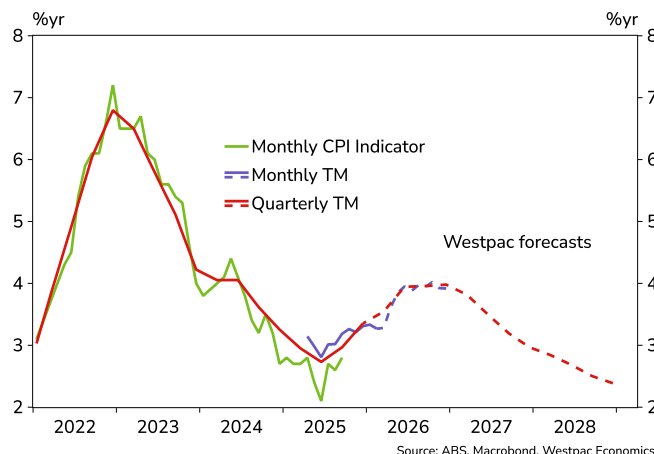
We have received many anecdotal reports of increases in input costs, often as a fuel surcharge or levy. Some of these were adjusted downwards when the Australian government cut the fuel excise but remain significant. We have also heard of restaurants, cafés and even hairdressers adding a fuel levy to prices but these are yet to be confirmed.

It has also been reported that rising input costs could add as much as 10%, or \$50,000, to the cost of building an average detached home. Using input price increases as reported by Tradelink this estimate seems fair. Tradelink data suggests an average increase of 16% in April, the largest increase in the data we have back to January 2020; not all products will see price increases in any given month, but the number of notifications of price increases on the Tradelink website has also risen. The proposed average increase for May increases to 17% before easing back to around 7% in June and July so it will be interesting to see how these estimates are adjusted as actual prices are posted.

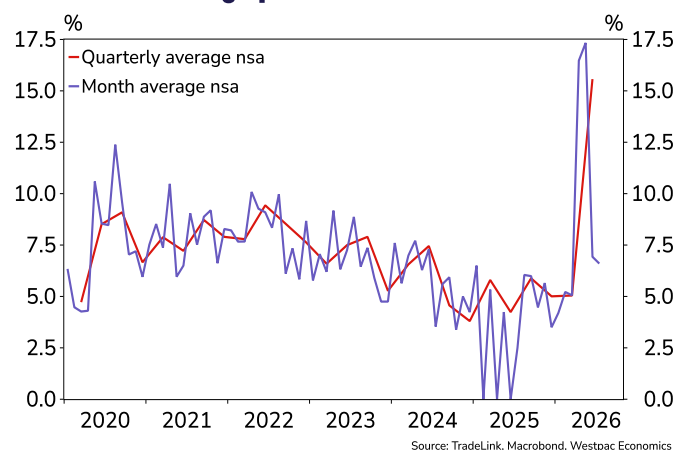
Headline inflation in three series



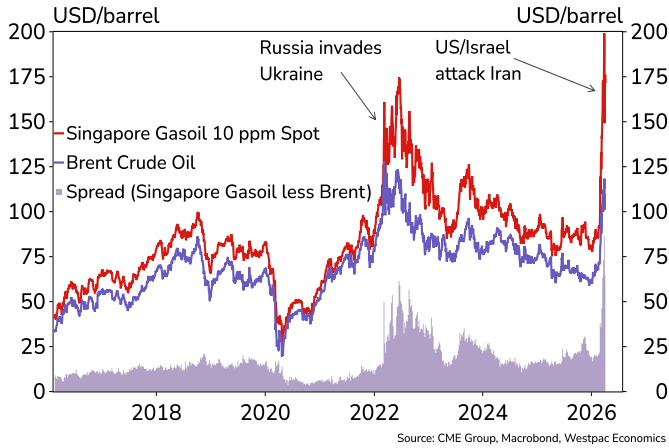
Trimmed Mean inflation in three series



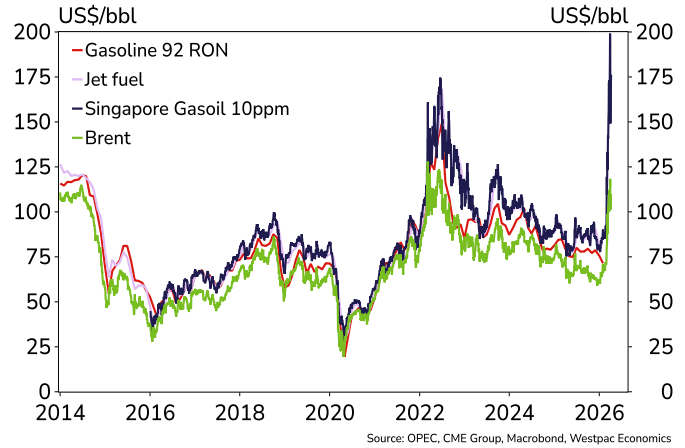
Tradelink - average price increase



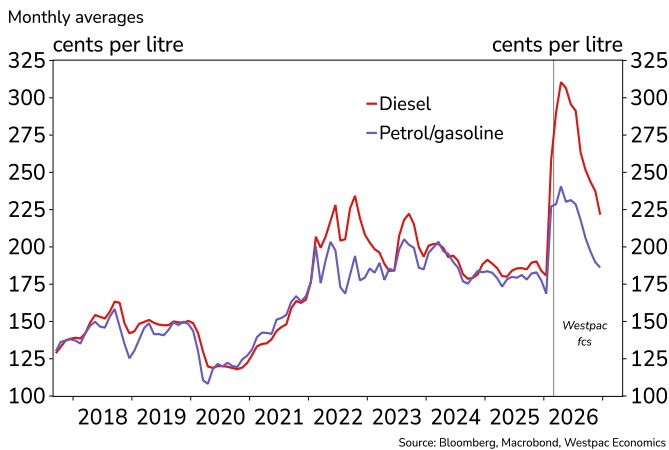
Brent Crude vs Singapore Gasoil 10ppm



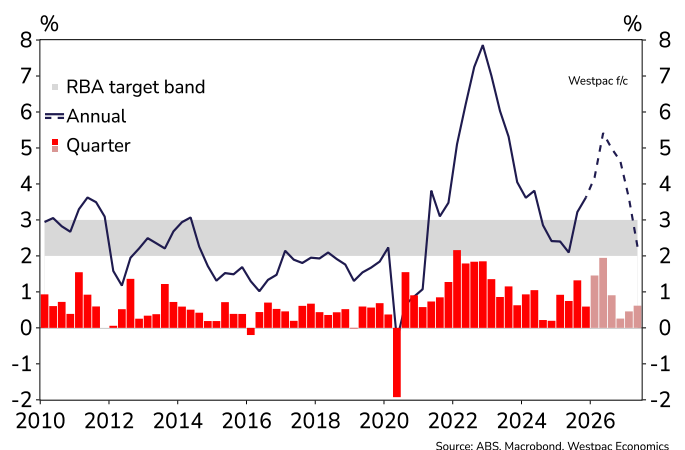
Singapore refined fuel prices



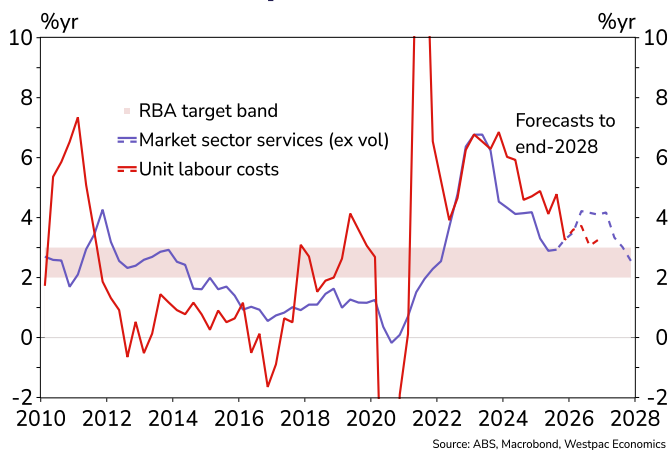
Australian pump prices for auto fuel



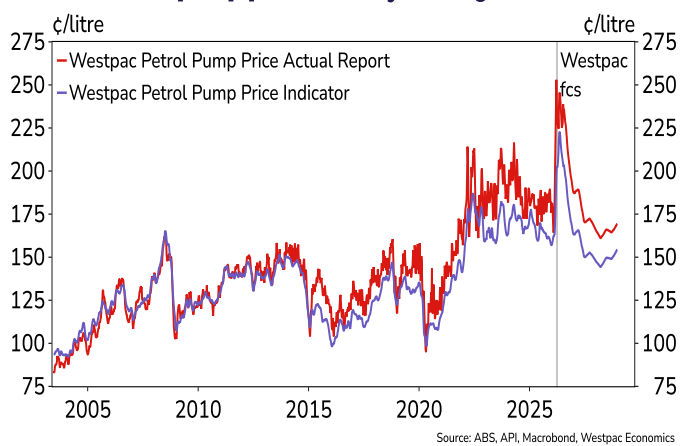
Headline CPI Inflation



Market sector underpins rise in core inflation



Unleaded fuel pump price weekly average





Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

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7 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets reacted favourably as President Trump signalled progress toward a potential agreement with Iran, including a staged reopening of the Strait of Hormuz, with further negotiations around Iran's nuclear programme to follow.

Equity markets strengthened on improved Middle East sentiment, with the ASX 200 recording its strongest performance in nearly a month.

US bond markets rallied as oil prices eased, while political uncertainty around UK local elections saw UK yields reverse lower on the day.

The USD weakened, with the AUD rising to a multi-year high of 0.7278 during the session.

Oil prices pulled back sharply on more constructive Middle East developments, while gold and base metals gained and iron ore rose on renewed demand following China's May Day holiday.

Data snapshot

FX Last 24 hrs	Current	Change	AUS Interest Rate Swaps	Last	Change
TWI	67.1	1.2%	30 day BBSY	4.34	0.07
AUD/USD	0.7237	0.8%	90 day BBSY	4.49	0.05
AUD/JPY	113.15	-0.2%	180 day BBSY	4.82	0.04
AUD/GBP	0.5325	0.4%	1 year swap	4.63	-0.03
AUD/NZD	1.2150	-0.4%	2 year swap	4.62	-0.04
AUD/EUR	0.6161	0.3%	3 year swap	4.59	-0.04
AUD/CNH	4.9311	0.6%	4 year swap	4.58	-0.03
AUD/SGD	0.9178	0.2%	5 year swap	4.59	-0.04
AUD/HKD	5.6711	0.7%	6 year swap	4.62	-0.04
AUD/CAD	0.9864	0.9%	7 year swap	4.67	-0.04
EUR/USD	1.1749	0.5%	8 year swap	4.71	-0.04
USD/JPY	156.38	-0.9%	9 year swap	4.75	-0.04
USD Index	98.05	-0.4%	10 year swap	5.00	-0.05

Equities	Close	Change	Government Bond Yields	Close	Change
S&P/ASX 200	8,794	1.3%	Australia		
S&P 500	7,365	1.5%	3 year bond	4.63	0.00
Japan Nikkei	59,513	0.4%	10 year bond	4.95	-0.02
Hang Seng	26,214	1.2%	United States		
Euro Stoxx 50	6,027	2.7%	3-month T Bill	3.60	0.00
UK FTSE100	10,439	2.1%	2 year bond	3.87	-0.07
VIX Index	17.39	0.1%	10 year bond	4.35	-0.08

Commodities	Current	Change	Other (10 year yields)		
CRB Index	388.00	-2.6%	Germany	3.00	-0.06
Gold	4691.94	3.0%	Japan	2.52	0.00
Copper	13392	2.0%	UK	4.94	-0.12

			Sydney Futures Exchange	Current	Change
Oil (WTI futures)	96.11	-6.0%	10 yr bond	4.93	-0.05
Coal (coking)	237.00	0.9%	3 yr bond	4.58	-0.06
Coal (thermal)	136.30	-3.2%	3 mth bill rate	4.28	0.00
Iron Ore	110.30	1.8%	SPI 200	8,897	1.1%
ACCU	36.13	-4.3%			

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets reacted favourably overnight as President Trump signalled progress toward a final agreement with Iran. The President said he would pause 'Project Freedom', with the US delivering Iran a one page memorandum of understanding that would gradually reopen the Strait of Hormuz and lift the naval blockade. Detailed negotiations over Iran's nuclear programme would follow, with Iran expected to respond via mediators within the next two days. This comes as China's Foreign Minister also called for a swift reopening of the Strait in discussions with his Iranian counterpart, while Presidents Trump and Xi are scheduled to meet in person mid month.

- Equity markets were stronger, with optimism around the Middle East driving sentiment. In the US, equities reached fresh highs, with the S&P 500 gaining 1.5%, the Dow Jones up 1.2%, and the NASDAQ 100 outperforming with a 2.0% rise. European equities also advanced, with the Euro Stoxx 50 up 2.7% and the FTSE 100 rising 2.1%.
- Asian markets rallied, led by Korea's KOSPI, up 6.5% on AI related enthusiasm, followed by the Hang Seng (+1.2%) and the Nikkei 225 (+0.4%). Locally, the ASX 200 recorded its strongest performance in nearly a month, rising 1.3%, led by the major banks.
- US bond markets rallied across the curve as oil prices eased, with the 2-year yield down 7bps, and the 10-year yield 8bps lower. Futures pricing was little changed, with no rate moves expected this year. Elsewhere, UK gilt yields reversed sharply amid political uncertainty related to the UK local elections, with the 10-year yield falling 12bps.
- Australian government bonds were broadly stable as markets reflected on the RBAs latest move. The 3-year yield held steady, while the 10-year declined 2bps. Swaps markets are wholly pricing in at least one additional rate hike this year, with the implied terminal cash rate for year-end at 4.64%.
- FX markets saw broad USD weakness, with the DXY down -0.4% on the session. The Australian dollar posted solid gains against the USD, reaching a multi year high of 0.7278 before paring some gains into the close to end the day up 0.8%. The New Zealand dollar outperformed against the Greenback, up 1.2%, with the Euro (+0.5%), and Sterling (+0.4%) also stronger.
- Commodity markets saw a continued pull back in oil as Middle East headlines turned more constructive. Brent fell -7.2% to US\$102/bbl, while WTI declined -6.0% to US\$96.1/bbl. Gold benefited from improved risk sentiment and USD weakness, posting its strongest gain since March, up 3.0%. Copper and aluminium also saw solid gains of

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Trade Balance Mar	\$4400m	\$5686m
19:00	EZ Retail Sales Mar	-0.3%	-0.2%
22:30	US Productivity Q1 Prel.	0.6%	1.8%
22:30	US Initial Jobless Claims 2/05/2026	205k	189k
-	CN Foreign Reserves Apr	US\$3366b	-

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

2.0% and 1.9% respectively, while iron ore posted a day gain of 1.8% as China emerges from its May Day holiday period, supporting renewed buying interest.

International Data

US ADP employment was marginally below expectations in April at 109k, but the result is a step up from March's 61k.

St Louis Fed President Musalem emphasised uncertainty, showing greater concern over inflation than employment.

Chicago Fed President Goolsbee warned against reflexively lowering interest rates in response to productivity gains, recognising that the income and wealth created by progress can accelerate inflation.

The **Euro Area PPI** printed as expected, a 3.4% gain in March leaving the annual change at 2.1%yr. Ex energy, prices were up just 0.5% in the month and 1.4%yr.

Local Data

In New Zealand, **employment** rose 0.2%qtr in the March quarter, while the **participation rate** fell to 70.4%, resulting in the **unemployment rate** easing to 5.3% - the first decline since December 2021 (see [here](#)).



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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22 April 2026

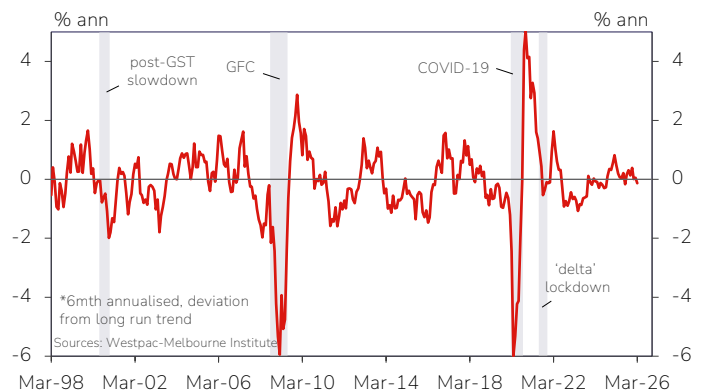
WESTPAC-MI LEADING INDEX BULLETIN

Latest insights into economic momentum

Key points

- Leading Index growth rate declines to -0.13% in March.
- First below-trend pace since August last year.
- Interest rates and global energy shock clearly impacting.

Westpac-MI Leading Index



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Leading Index momentum dips back below trend



Matthew Hassan
Head of Australian Macro-Forecasting

The six-month annualised growth rate in the Westpac–Melbourne Institute Leading Index, which indicates the likely pace of economic activity relative to trend three to nine months into the future, declined to -0.13% in March from $+0.05\%$ in February.

The Australian economy has lost momentum over the first few months of the year with more weakness likely to emerge in the months ahead. The March Index already points to a period of below-trend growth over the remainder of 2026. While the growth pulse is not overly weak, it is the first below-trend read since August last year and, prior to that, since the extended period of weakness during the 'cost-of-living' crisis of 2022–2024.

The Leading Index growth rate has now swung from $+0.31\%$ in October last year to -0.15% currently, a 0.44ppt deterioration. The detail shows clear drags from the shifting interest rate backdrop and the global energy shock associated with the conflict in the Middle East.

Component-wise, the biggest negative shifts have come from: the Westpac–Melbourne Institute Consumer Expectations Index (a 20% drop over the last six months effectively taking 0.27ppts off the headline growth rate); a sharp sell-off in the Australian sharemarket in the March month (-0.24 ppts); and a flattening yield spread as short-term interest rates have moved higher (-0.15 ppts). Some of these declines may not be sustained though, with a notable recovery in sharemarket in the first three weeks of April. If it sustains, the move will be reflected in next month's index.

Roughly speaking, about 60% of the drag on the six month growth rate coming from these three components looks to be due to the conflict in the Middle East. All of sharemarket fall and about half of the sentiment decline since October has occurred after the conflict began. Most of the yield gap shift however can be attributed to monetary policy developments prior to the war.

Other components have provided partial offsets. Most notably, higher commodity prices (up 11.9% in Australian dollar terms over the last six months) have added 0.09ppts to the Index growth rate over the same period. Dwelling approvals have added a further 0.11ppts although this is likely being exaggerated by a very choppy monthly profile (approvals jumped 30% in February after dropping 20% through December–January). The contribution from the remaining three components has seen no net change since October.

The Westpac–Melbourne Institute Leading Index of Economic Activity is designed to assist in identifying turning points in the economy. The index combines variables that reflect different aspects of the economy into a single index that generally produces a more reliable cyclical indicator than any single component taken individually. The Leading Index of Economic Activity provides advance information on the state of the economy and gives early warnings of cyclical turning points.

The Reserve Bank Monetary Policy Board (MPB) next meets on May 4–5. The latest Leading Index update confirms that higher interest rates and the spike in fuel prices associated with the conflict in the Middle East are starting to weigh on growth momentum, albeit fairly mildly. However, the MPB's main concerns are likely to be around inflation with underlying measures already above the RBA's 2–3% target range and set to move higher as the effects of energy price rises come through. On balance we expect the risk of this feeding into a lift in inflation expectations will over-ride the downside risks to growth. As such, we expect the MPB to raise the cash rate by another 25bps in May with further moves likely in subsequent months.



Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au



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Australia's Trade in Goods Account, March

#trade

#australia



By Ryan Wells

Economist, Westpac

15:15 May 07 2026

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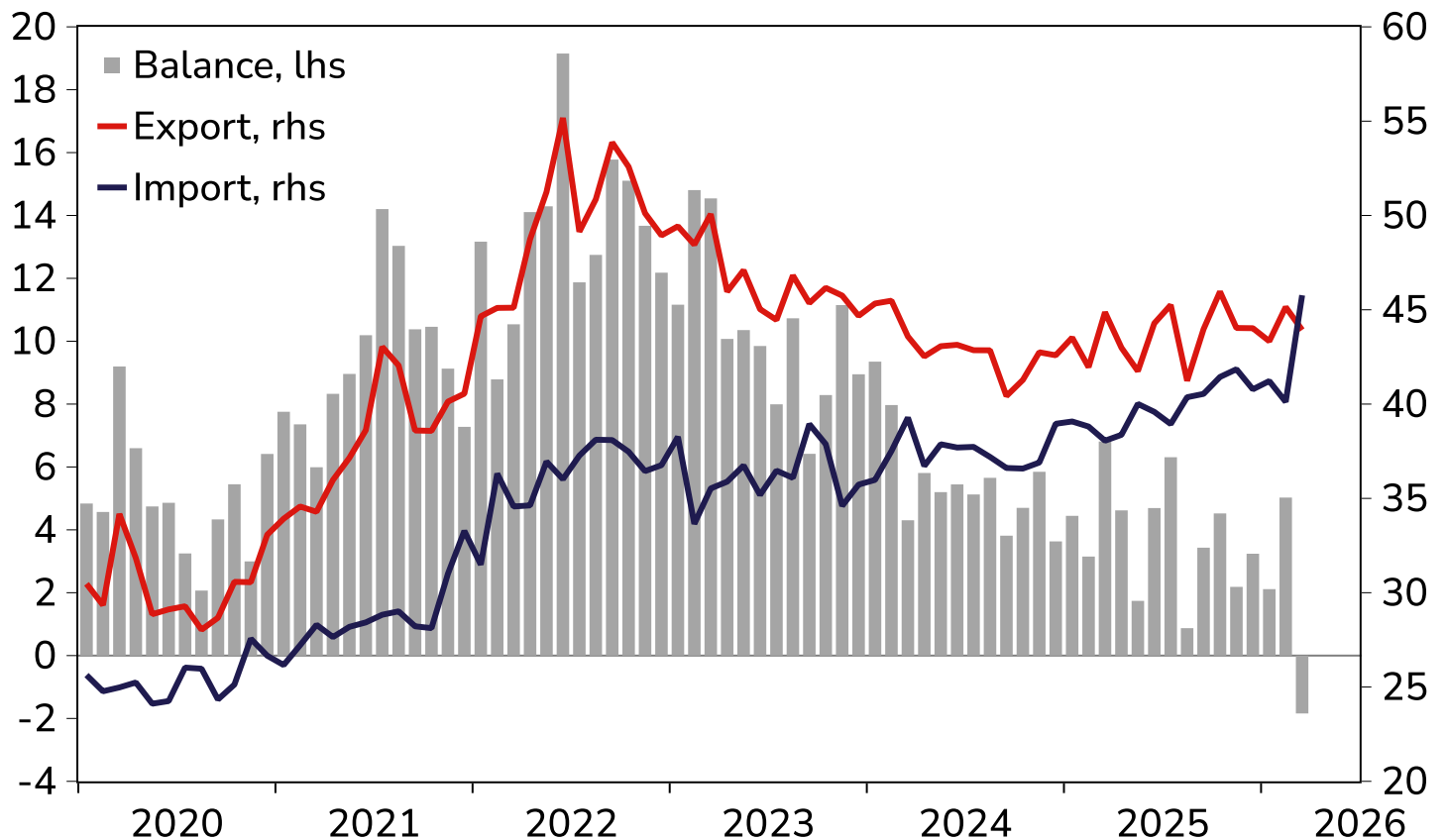
Australia's monthly goods trade balance fell into a deficit for the first time since 2017, driven by a combination of higher costs for fuel imports, continued volatility in gold trade, and most surprisingly, a truly remarkable surge in imports for data processing machines associated with AI. Trade balance: $-\$1.8\text{bn}$. Export values: $-2.7\%\text{mth}$. Import values: $+14.1\%\text{mth}$.



March's goods trade data surprised on many fronts. The headline balance collapsed from a surplus of \$5.0bn in February to a deficit of –\$1.8bn March, marking the first monthly goods trade deficit since December 2017. Higher fuel costs stemming from the Middle East conflict was an important driver, but it was not the only factor at play. Most surprisingly, there was a truly remarkable surge in imports for data processing machines, often associated with the AI. Continued volatility in gold on both sides of the ledger were also a factor, alongside lower export earnings.

Goods Trade Balance

Value, \$bn



Source: ABS, Macrobond, Westpac Economics

Exports

Export earnings disappointed in March, falling –2.7%. An important driver of this was a broad-based pull-back in rural goods exports (–11.6%) from a solid showing in February. This latest move looks to be largely volume-driven based on other sources of price data. Rural goods exports have been more volatile month-to-month, but it is operating around a solid trend that has broadly supported export earnings of late.

However, the fact that non-rural goods did not provide any material offset to this was surprising, barely eking out a gain in the month (0.3%). Across our 'Big 3' commodity exports: coal dropped –1.8%, metal ores and minerals (i.e. iron ore) fell –1.4%, while the lift in other mineral fuels (i.e. LNG) was underwhelming (+4.6%).

Additional data provided by the ABS on prices and volumes for these commodities revealed some

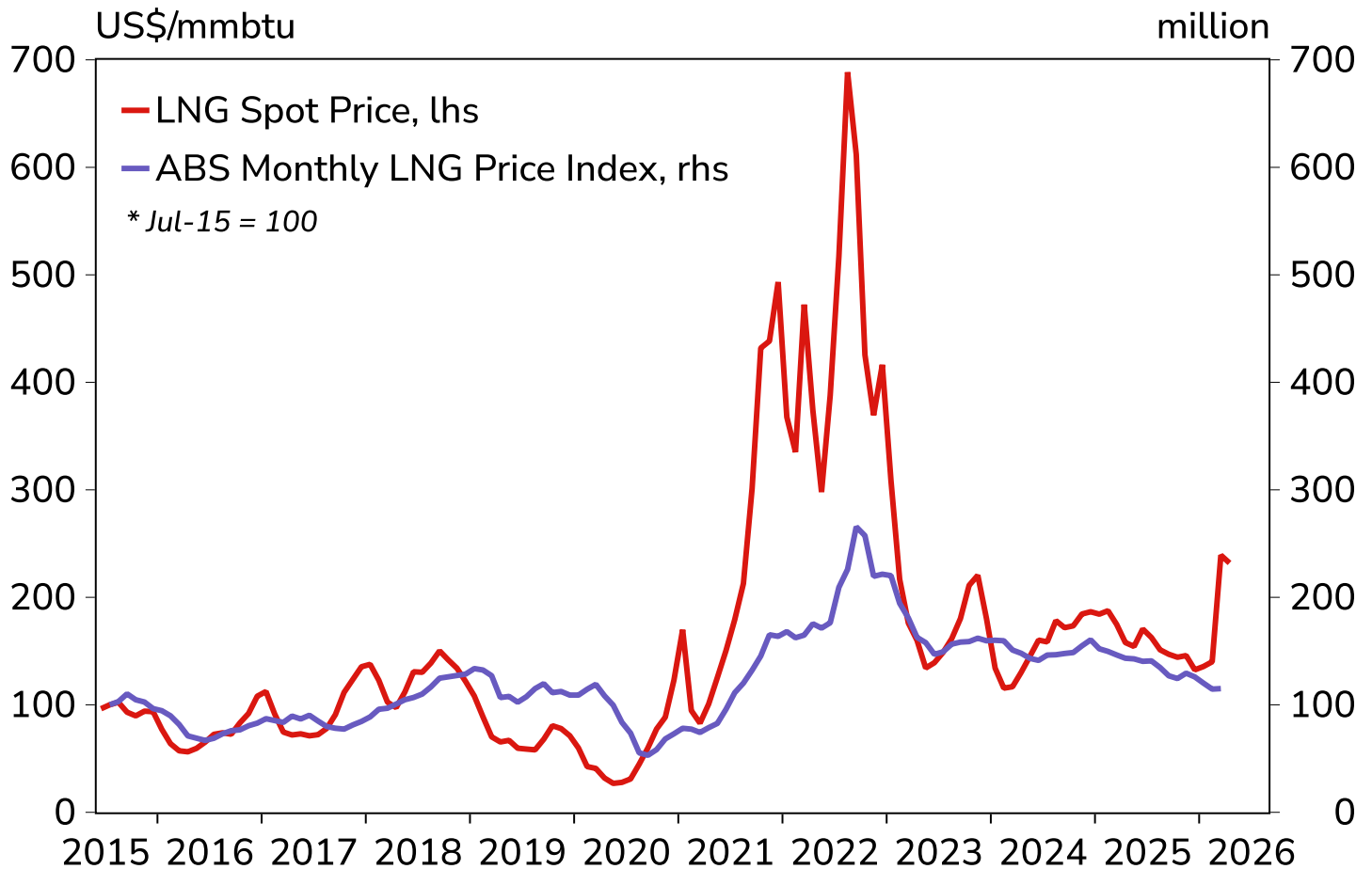
important nuances.

For LNG, export volumes lifted broadly in line with seasonal patterns in March, and interestingly, prices received was virtually flat in the month (+0.3%). Compared to this time last year, this export price index is –18.7% lower, given the broad decline in prices over 2025. This is a stark contrast to what we are observing in the LNG spot market, where prices have lifted notably since the onset of the Middle East shock.

That said, it is important to note that it typically takes a couple of months for changes in spot prices to feed through to the reported export prices in ABS trade data. The rate at which this can occur also depends on some extent to the scale of the move in prices. For example, while LNG spot prices lifted notably in March, it is nowhere near the extent of the 2022 Russia-Ukraine shock, which saw a relatively faster pass-through into export prices. Ultimately, while a significant lift to export earnings from LNG was not immediately apparent in the March data, it is reasonable to assume that we will see some increase over the coming months.

Meanwhile for iron ore, there was a seasonal lift in both export volumes and prices but it was fairly underwhelming compared to previous years. It was a similar story for coal export volumes too, although prices had a stronger showing in the month. Big swings in gold exports continue to add a layer of volatility – this time, contributing to the decline in export earnings with a –6.1% fall this month. This follow an extraordinary 42% surge over January and February, however.

LNG Prices



Source: ABS, Macrobond, Westpac Economics

Imports

The drop in export earnings was compounded by a surge in the import bill, climbing 14.1% in March, the largest monthly gain in over three years. Before discussing the story around fuel imports, though, it is important to mention that the bulk of this move came down to one line item: automatic data processing machines (ADP), which exploded a whopping \$2.9bn in March alone, a 300% increase. This likely captures many of the hardware components associated with AI, such as NVIDIA chips that can fetch US\$30-50k each. We had been consistently highlighting the strong uptrend in ADP imports over 2025 for this reason, but we are still puzzled at the sheer scale of the surge in March. This may well be a robust signal of the AI investment drive taking place on Australian shores, even if there is some noise in the mix.

Meanwhile, there was also 37.4% surge in petroleum product imports in March, reflecting higher global prices since the onset of the Middle East conflict. The ABS provided additional detail on the prices and volumes of refined petroleum imports in March:

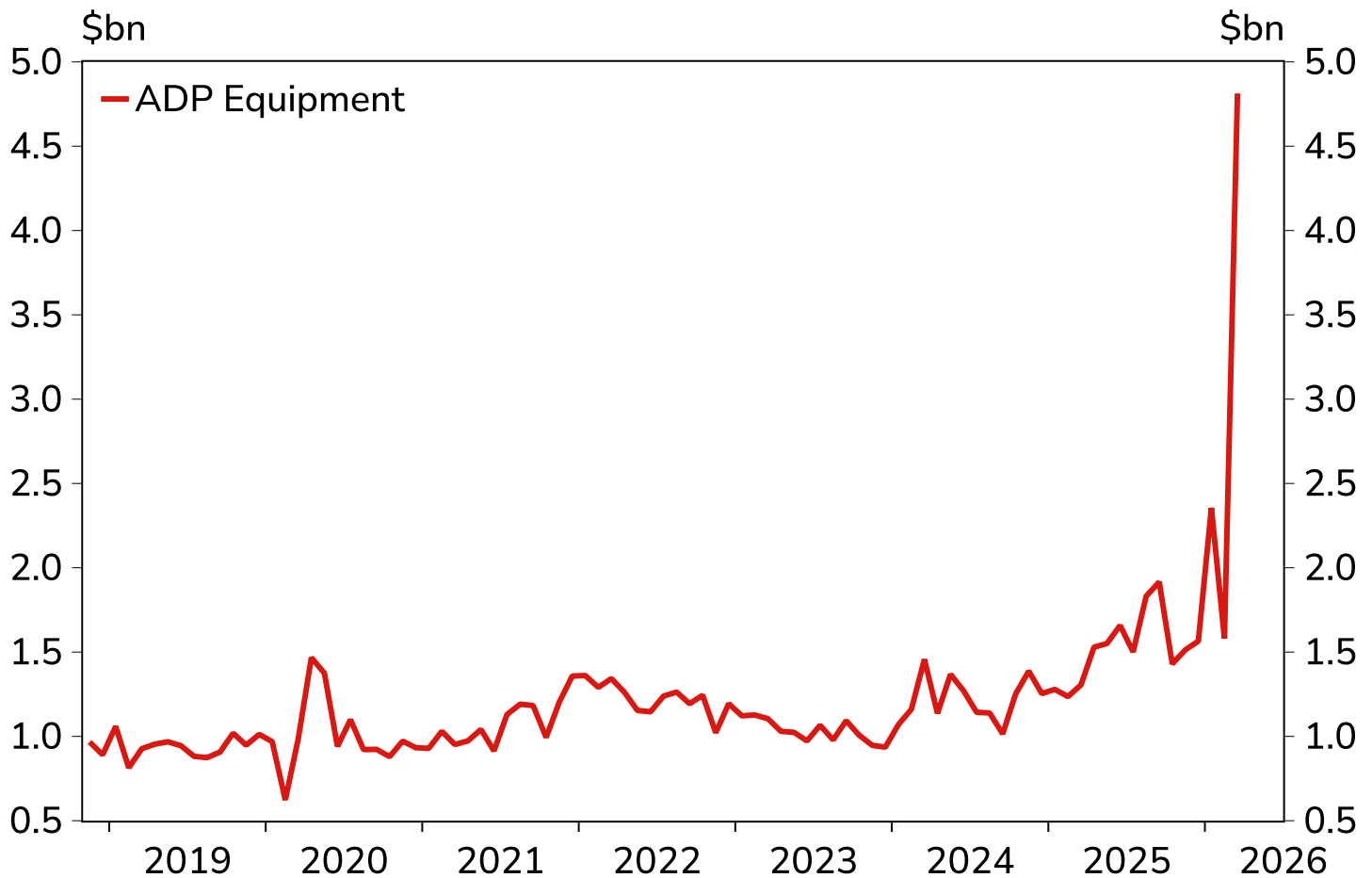
- Gasoline import prices rose 20.6%, and volumes imported rose 18.8%.
- Diesel import prices rose 42.2% and volumes imported fell -11.6%.

- Jet fuel import prices rose 42.7, and volumes imported fell –6.9%.

We are likely to continue seeing extreme volatility on this front over the coming months, as both prices fluctuate due to the conflict and volumes shift as authorities aimed to secure inventory. There is likely some lag in this data too.

Prices of and volumes for crude (unrefined) petroleum imports also bounced higher in the month but given its much smaller share in the energy import mix, it didn't have as much of an impact in aggregate, given we mostly import already refined fuel products. Extreme volatility in gold remains an important driver too, with import values for this commodity jumping 35% higher in March adding to the import bill. Consumption goods imports rose 1.2% in March, building on February's lift.

ADP Equipment Imports



Source: ABS, Macrobond, Westpac Economics

Overall, monthly data suggests that the nominal goods trade balance has narrowed by around \$4.6bn, from \$9.9bn in Q4 to \$5.3bn in Q1, driven predominately by a surge in imports, but also a weaker showing in exports. This provides a gauge on what to expect for the official reading on Australia's current account balance as far as the goods side is concerned – the main uncertainty, though, is the services balance, for which there are fewer current indicators to draw from. Additionally, large monthly swings has also made it difficult to pin-point just how much of the nominal goods trade data is simply due to price effects rather than real volumes.

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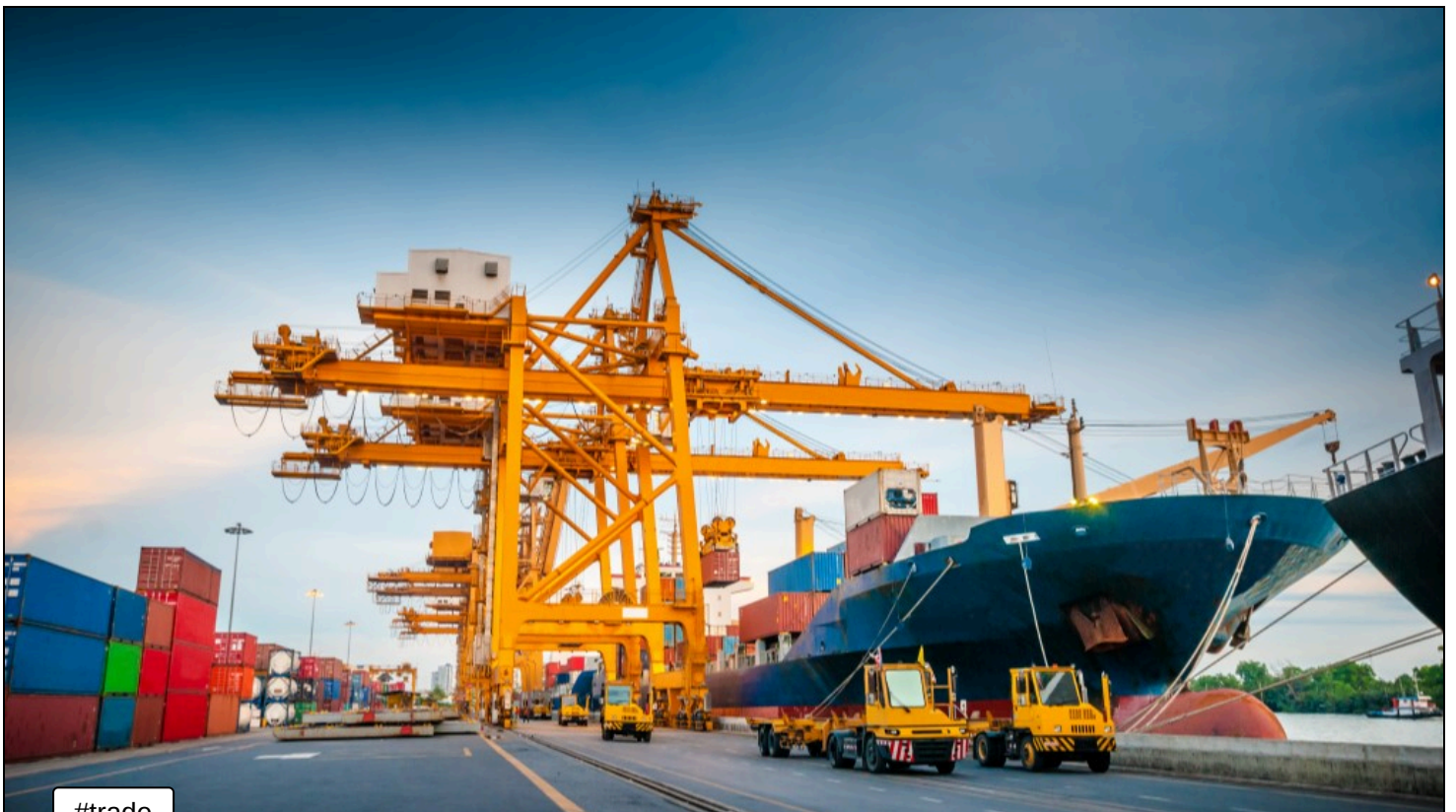


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7 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets reacted favourably as President Trump signalled progress toward a potential agreement with Iran, including a staged reopening of the Strait of Hormuz, with further negotiations around Iran's nuclear programme to follow.

Equity markets strengthened on improved Middle East sentiment, with the ASX 200 recording its strongest performance in nearly a month.

US bond markets rallied as oil prices eased, while political uncertainty around UK local elections saw UK yields reverse lower on the day.

The USD weakened, with the AUD rising to a multi-year high of 0.7278 during the session.

Oil prices pulled back sharply on more constructive Middle East developments, while gold and base metals gained and iron ore rose on renewed demand following China's May Day holiday.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	67.1	1.2%
AUD/USD	0.7237	0.8%
AUD/JPY	113.15	-0.2%
AUD/GBP	0.5325	0.4%
AUD/NZD	1.2150	-0.4%
AUD/EUR	0.6161	0.3%
AUD/CNH	4.9311	0.6%
AUD/SGD	0.9178	0.2%
AUD/HKD	5.6711	0.7%
AUD/CAD	0.9864	0.9%
EUR/USD	1.1749	0.5%
USD/JPY	156.38	-0.9%
USD Index	98.05	-0.4%

Equities	Close	Change
S&P/ASX 200	8,794	1.3%
S&P 500	7,365	1.5%
Japan Nikkei	59,513	0.4%
Hang Seng	26,214	1.2%
Euro Stoxx 50	6,027	2.7%
UK FTSE100	10,439	2.1%
VIX Index	17.39	0.1%

Commodities	Current	Change
CRB Index	388.00	-2.6%
Gold	4691.94	3.0%
Copper	13392	2.0%
Oil (WTI futures)	96.11	-6.0%
Coal (coking)	237.00	0.9%
Coal (thermal)	136.30	-3.2%
Iron Ore	110.30	1.8%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.34	0.07
90 day BBSY	4.49	0.05
180 day BBSY	4.82	0.04
1 year swap	4.63	-0.03
2 year swap	4.62	-0.04
3 year swap	4.59	-0.04
4 year swap	4.58	-0.03
5 year swap	4.59	-0.04
6 year swap	4.62	-0.04
7 year swap	4.67	-0.04
8 year swap	4.71	-0.04
9 year swap	4.75	-0.04
10 year swap	5.00	-0.05

Government Bond Yields	Close	Change
Australia		
3 year bond	4.63	0.00
10 year bond	4.95	-0.02
United States		
3-month T Bill	3.60	0.00
2 year bond	3.87	-0.07
10 year bond	4.35	-0.08
Other (10 year yields)		
Germany	3.00	-0.06
Japan	2.52	0.00
UK	4.94	-0.12

Sydney Futures Exchange	Current	Change
10 yr bond	4.93	-0.05
3 yr bond	4.58	-0.06
3 mth bill rate	4.28	0.00
SPI 200	8,897	1.1%



Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets reacted favourably overnight as President Trump signalled progress toward a final agreement with Iran. The President said he would pause 'Project Freedom', with the US delivering Iran a one page memorandum of understanding that would gradually reopen the Strait of Hormuz and lift the naval blockade. Detailed negotiations over Iran's nuclear programme would follow, with Iran expected to respond via mediators within the next two days. This comes as China's Foreign Minister also called for a swift reopening of the Strait in discussions with his Iranian counterpart, while Presidents Trump and Xi are scheduled to meet in person mid month.

- Equity markets were stronger, with optimism around the Middle East driving sentiment. In the US, equities reached fresh highs, with the S&P 500 gaining 1.5%, the Dow Jones up 1.2%, and the NASDAQ 100 outperforming with a 2.0% rise. European equities also advanced, with the Euro Stoxx 50 up 2.7% and the FTSE 100 rising 2.1%.
- Asian markets rallied, led by Korea's KOSPI, up 6.5% on AI related enthusiasm, followed by the Hang Seng (+1.2%) and the Nikkei 225 (+0.4%). Locally, the ASX 200 recorded its strongest performance in nearly a month, rising 1.3%, led by the major banks.
- US bond markets rallied across the curve as oil prices eased, with the 2-year yield down 7bps, and the 10-year yield 8bps lower. Futures pricing was little changed, with no rate moves expected this year. Elsewhere, UK gilt yields reversed sharply amid political uncertainty related to the UK local elections, with the 10-year yield falling 12bps.
- Australian government bonds were broadly stable as markets reflected on the RBAs latest move. The 3-year yield held steady, while the 10-year declined 2bps. Swaps markets are wholly pricing in at least one additional rate hike this year, with the implied terminal cash rate for year-end at 4.64%.
- FX markets saw broad USD weakness, with the DXY down -0.4% on the session. The Australian dollar posted solid gains against the USD, reaching a multi year high of 0.7278 before paring some gains into the close to end the day up 0.8%. The New Zealand dollar outperformed against the Greenback, up 1.2%, with the Euro (+0.5%), and Sterling (+0.4%) also stronger.
- Commodity markets saw a continued pull back in oil as Middle East headlines turned more constructive. Brent fell -7.2% to US\$102/bbl, while WTI declined -6.0% to US\$96.1/bbl. Gold benefited from improved risk sentiment and USD weakness, posting its strongest gain since March, up 3.0%. Copper and aluminium also saw solid gains of

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Trade Balance Mar	\$4400m	\$5686m
19:00	EZ Retail Sales Mar	-0.3%	-0.2%
22:30	US Productivity Q1 Prel.	0.6%	1.8%
22:30	US Initial Jobless Claims 2/05/2026	205k	189k
-	CN Foreign Reserves Apr	US\$3366b	-

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

2.0% and 1.9% respectively, while iron ore posted a day gain of 1.8% as China emerges from its May Day holiday period, supporting renewed buying interest.

International Data

US ADP employment was marginally below expectations in April at 109k, but the result is a step up from March's 61k.

St Louis Fed President Musalem emphasised uncertainty, showing greater concern over inflation than employment.

Chicago Fed President Goolsbee warned against reflexively lowering interest rates in response to productivity gains, recognising that the income and wealth created by progress can accelerate inflation.

The **Euro Area PPI** printed as expected, a 3.4% gain in March leaving the annual change at 2.1%yr. Ex energy, prices were up just 0.5% in the month and 1.4%yr.

Local Data

In New Zealand, **employment** rose 0.2%qtr in the March quarter, while the **participation rate** fell to 70.4%, resulting in the **unemployment rate** easing to 5.3% - the first decline since December 2021 (see [here](#)).



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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7 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets reacted favourably as President Trump signalled progress toward a potential agreement with Iran, including a staged reopening of the Strait of Hormuz, with further negotiations around Iran's nuclear programme to follow.

Equity markets strengthened on improved Middle East sentiment, with the ASX 200 recording its strongest performance in nearly a month.

US bond markets rallied as oil prices eased, while political uncertainty around UK local elections saw UK yields reverse lower on the day.

The USD weakened, with the AUD rising to a multi-year high of 0.7278 during the session.

Oil prices pulled back sharply on more constructive Middle East developments, while gold and base metals gained and iron ore rose on renewed demand following China's May Day holiday.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	67.1	1.2%
AUD/USD	0.7237	0.8%
AUD/JPY	113.15	-0.2%
AUD/GBP	0.5325	0.4%
AUD/NZD	1.2150	-0.4%
AUD/EUR	0.6161	0.3%
AUD/CNH	4.9311	0.6%
AUD/SGD	0.9178	0.2%
AUD/HKD	5.6711	0.7%
AUD/CAD	0.9864	0.9%
EUR/USD	1.1749	0.5%
USD/JPY	156.38	-0.9%
USD Index	98.05	-0.4%

Equities	Close	Change
S&P/ASX 200	8,794	1.3%
S&P 500	7,365	1.5%
Japan Nikkei	59,513	0.4%
Hang Seng	26,214	1.2%
Euro Stoxx 50	6,027	2.7%
UK FTSE100	10,439	2.1%
VIX Index	17.39	0.1%

Commodities	Current	Change
CRB Index	388.00	-2.6%
Gold	4691.94	3.0%
Copper	13392	2.0%
Oil (WTI futures)	96.11	-6.0%
Coal (coking)	237.00	0.9%
Coal (thermal)	136.30	-3.2%
Iron Ore	110.30	1.8%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.34	0.07
90 day BBSY	4.49	0.05
180 day BBSY	4.82	0.04
1 year swap	4.63	-0.03
2 year swap	4.62	-0.04
3 year swap	4.59	-0.04
4 year swap	4.58	-0.03
5 year swap	4.59	-0.04
6 year swap	4.62	-0.04
7 year swap	4.67	-0.04
8 year swap	4.71	-0.04
9 year swap	4.75	-0.04
10 year swap	5.00	-0.05

Government Bond Yields	Close	Change
Australia		
3 year bond	4.63	0.00
10 year bond	4.95	-0.02
United States		
3-month T Bill	3.60	0.00
2 year bond	3.87	-0.07
10 year bond	4.35	-0.08
Other (10 year yields)		
Germany	3.00	-0.06
Japan	2.52	0.00
UK	4.94	-0.12

Sydney Futures Exchange	Current	Change
10 yr bond	4.93	-0.05
3 yr bond	4.58	-0.06
3 mth bill rate	4.28	0.00
SPI 200	8,897	1.1%



Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets reacted favourably overnight as President Trump signalled progress toward a final agreement with Iran. The President said he would pause 'Project Freedom', with the US delivering Iran a one page memorandum of understanding that would gradually reopen the Strait of Hormuz and lift the naval blockade. Detailed negotiations over Iran's nuclear programme would follow, with Iran expected to respond via mediators within the next two days. This comes as China's Foreign Minister also called for a swift reopening of the Strait in discussions with his Iranian counterpart, while Presidents Trump and Xi are scheduled to meet in person mid month.

- Equity markets were stronger, with optimism around the Middle East driving sentiment. In the US, equities reached fresh highs, with the S&P 500 gaining 1.5%, the Dow Jones up 1.2%, and the NASDAQ 100 outperforming with a 2.0% rise. European equities also advanced, with the Euro Stoxx 50 up 2.7% and the FTSE 100 rising 2.1%.
- Asian markets rallied, led by Korea's KOSPI, up 6.5% on AI related enthusiasm, followed by the Hang Seng (+1.2%) and the Nikkei 225 (+0.4%). Locally, the ASX 200 recorded its strongest performance in nearly a month, rising 1.3%, led by the major banks.
- US bond markets rallied across the curve as oil prices eased, with the 2-year yield down 7bps, and the 10-year yield 8bps lower. Futures pricing was little changed, with no rate moves expected this year. Elsewhere, UK gilt yields reversed sharply amid political uncertainty related to the UK local elections, with the 10-year yield falling 12bps.
- Australian government bonds were broadly stable as markets reflected on the RBAs latest move. The 3-year yield held steady, while the 10-year declined 2bps. Swaps markets are wholly pricing in at least one additional rate hike this year, with the implied terminal cash rate for year-end at 4.64%.
- FX markets saw broad USD weakness, with the DXY down -0.4% on the session. The Australian dollar posted solid gains against the USD, reaching a multi year high of 0.7278 before paring some gains into the close to end the day up 0.8%. The New Zealand dollar outperformed against the Greenback, up 1.2%, with the Euro (+0.5%), and Sterling (+0.4%) also stronger.
- Commodity markets saw a continued pull back in oil as Middle East headlines turned more constructive. Brent fell -7.2% to US\$102/bbl, while WTI declined -6.0% to US\$96.1/bbl. Gold benefited from improved risk sentiment and USD weakness, posting its strongest gain since March, up 3.0%. Copper and aluminium also saw solid gains of

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Trade Balance Mar	\$4400m	\$5686m
19:00	EZ Retail Sales Mar	-0.3%	-0.2%
22:30	US Productivity Q1 Prel.	0.6%	1.8%
22:30	US Initial Jobless Claims 2/05/2026	205k	189k
-	CN Foreign Reserves Apr	US\$3366b	-

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

2.0% and 1.9% respectively, while iron ore posted a day gain of 1.8% as China emerges from its May Day holiday period, supporting renewed buying interest.

International Data

US ADP employment was marginally below expectations in April at 109k, but the result is a step up from March's 61k.

St Louis Fed President Musalem emphasised uncertainty, showing greater concern over inflation than employment.

Chicago Fed President Goolsbee warned against reflexively lowering interest rates in response to productivity gains, recognising that the income and wealth created by progress can accelerate inflation.

The **Euro Area PPI** printed as expected, a 3.4% gain in March leaving the annual change at 2.1%yr. Ex energy, prices were up just 0.5% in the month and 1.4%yr.

Local Data

In New Zealand, **employment** rose 0.2%qtr in the March quarter, while the **participation rate** fell to 70.4%, resulting in the **unemployment rate** easing to 5.3% - the first decline since December 2021 (see [here](#)).



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

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March CPI – all about fuel, too early for pass through

#inflation

#australia

#rba

#economicbulletinsaustralia



By Justin Smirk

Senior Economist, Westpac

15:30 April 29 2026

Share

Headline March Quarter CPI 1.4%qtr/4.1%yr; Trimmed Mean 0.8%qtr/3.5%yr. Monthly March CPI 1.1%moth/4.6%yr, Trimmed Mean 0.3%moth/3.3%yr.



- Headline inflation being boosted by surging fuel prices.
- Core inflation was moderating before the Gulf Crisis and, at this stage, there is very limited sign of any passthrough to from higher fuel costs to broader price pressures.

- Today's inflation update locks in a May rate increase and while we expect to see two more after this, a lot will depend on just how much demand destruction we see because of higher prices.

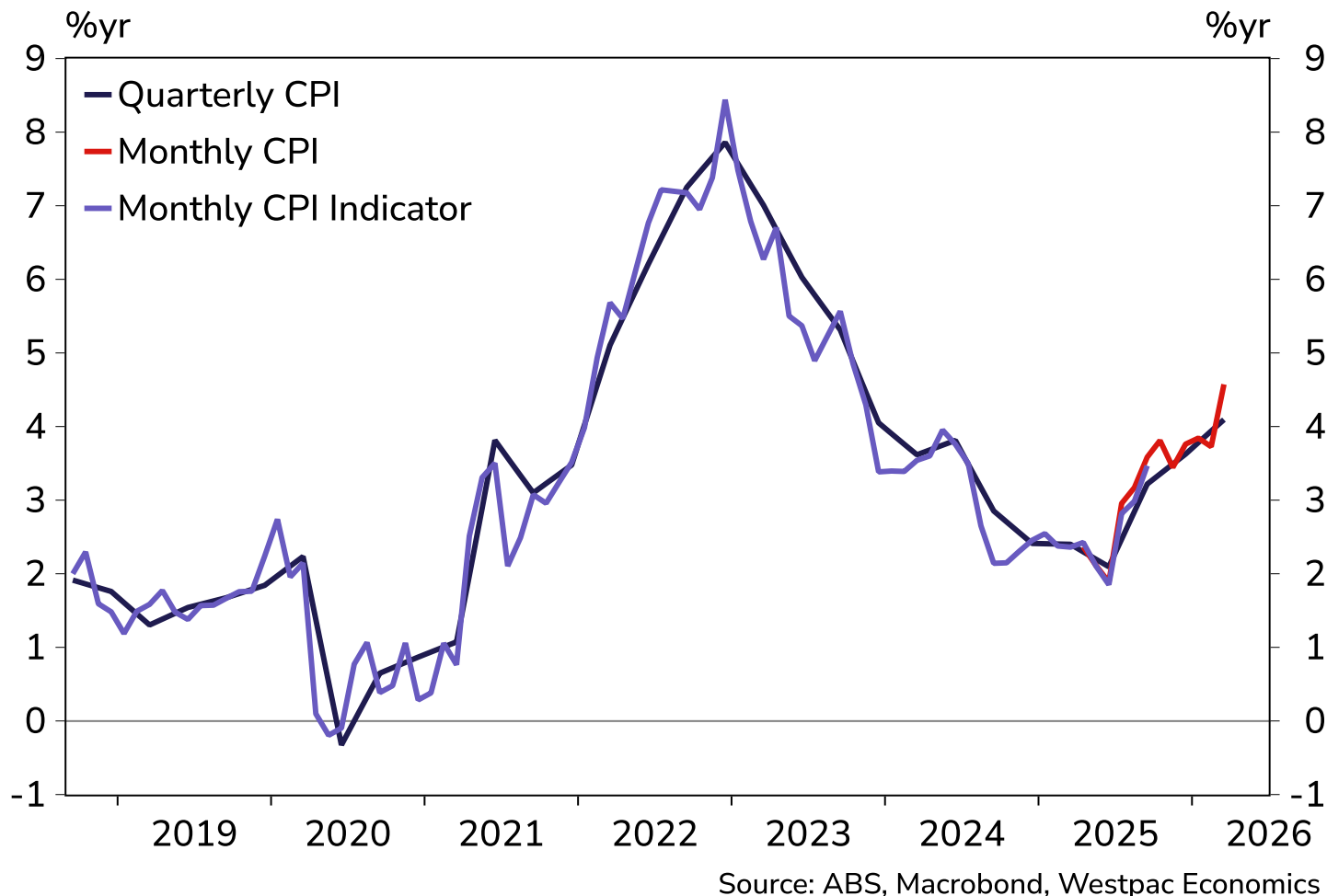
The CPI gained 1.4% in the March quarter, on par with market consensus and close to Westpac's expectation of 1.46%. The annual pace of headline inflation, at 4.1%yr, is accelerating again; it was 2.1%yr in mid-2025 lifting to 3.6%yr in December. The acceleration through 2025 was mainly the unwinding of energy rebates but in early 2026 it is the crisis in the Gulf, and resulting surge in auto fuel prices, that is driving the acceleration. However, the cost-of-living assistance and surge in auto fuel has a limited impact on core inflation and so these measures take on more critical role in assessing the current pace of inflation.

The Trimmed Mean (TM) lifted 0.8% in the March quarter. Westpac and the market expected 0.9% (Westpac 0.93%). However, in our preview we highlighted that calculating the quarterly TM based on historical survey timing, which the ABS is doing given the short history for a number of series, pointed to a small downside risk to our estimate. The annual pace lifted very modestly from 3.4%yr to 3.5%yr.

The monthly trimmed mean increased 0.3%moth, which held the annual pace flat at 3.3%yr for the fourth consecutive month; the six-month annualised pace eased back a touch to 3.5%yr from 3.9%yr in December. It is worth noting that at this point in time the annual pace of the monthly CPI is tracking under that of the quarterly CPI.

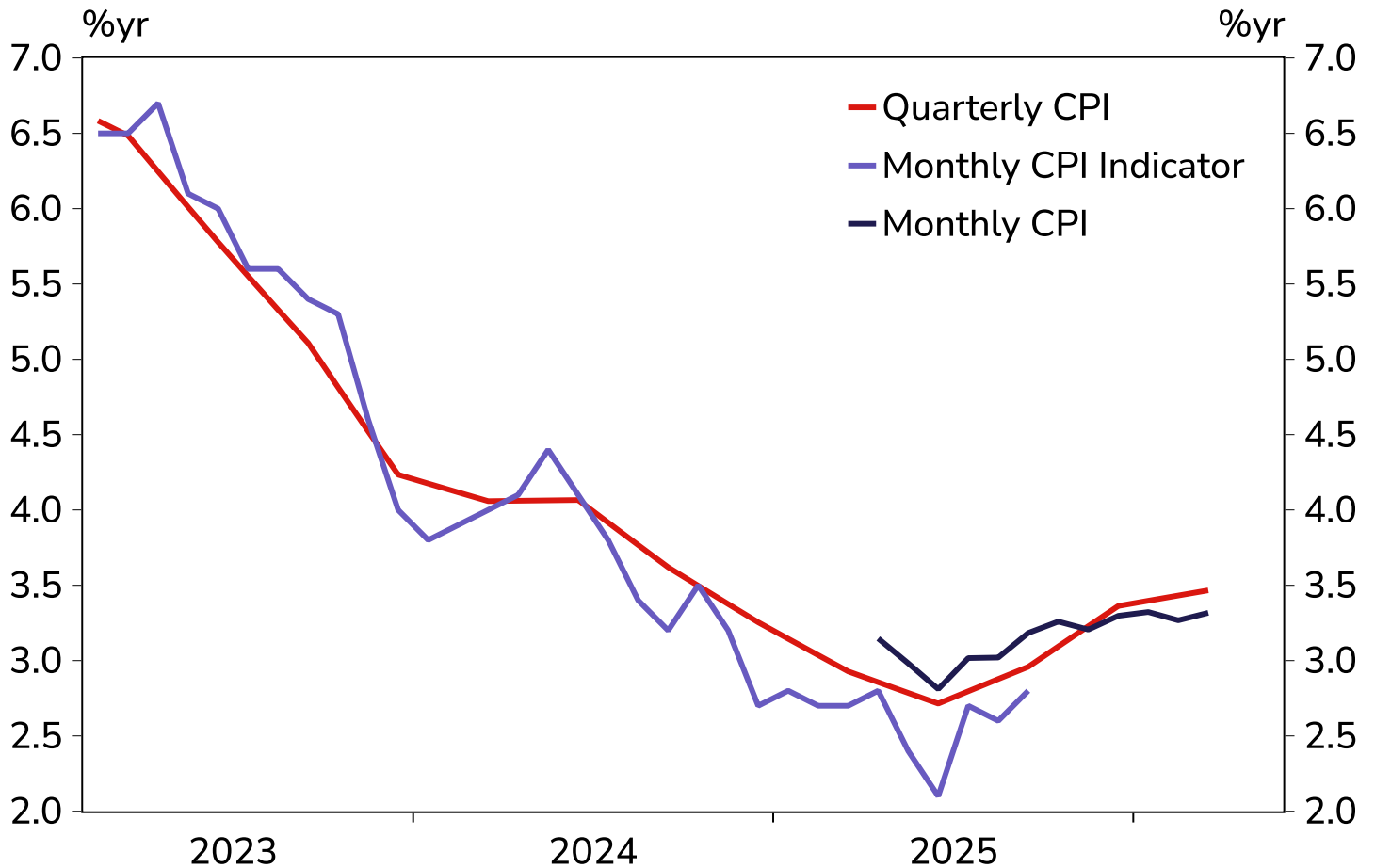
Prior to the Gulf Crisis, the momentum in core inflation had been moderating.

Headline Inflation



The headline Monthly CPI lifted 1.1% in March to be up 4.6% in the year. This was quite a bit softer than our estimate of 1.3%_{mt}/4.7%_{yr}. Worthy of note was that auto fuel was softer than expected, lifting 32.8% vs. 36.4% expected. More concerning to the outlook for core inflation was that dwelling prices lifted 0.5% in the month compared to our expectation for a more modest 0.2% increase. The ABS did note this increase in the annual pace was due to project home builders raising base prices to pass through higher labour and materials costs over the year but made no comment on the monthly increase.

Trimmed Mean Inflation

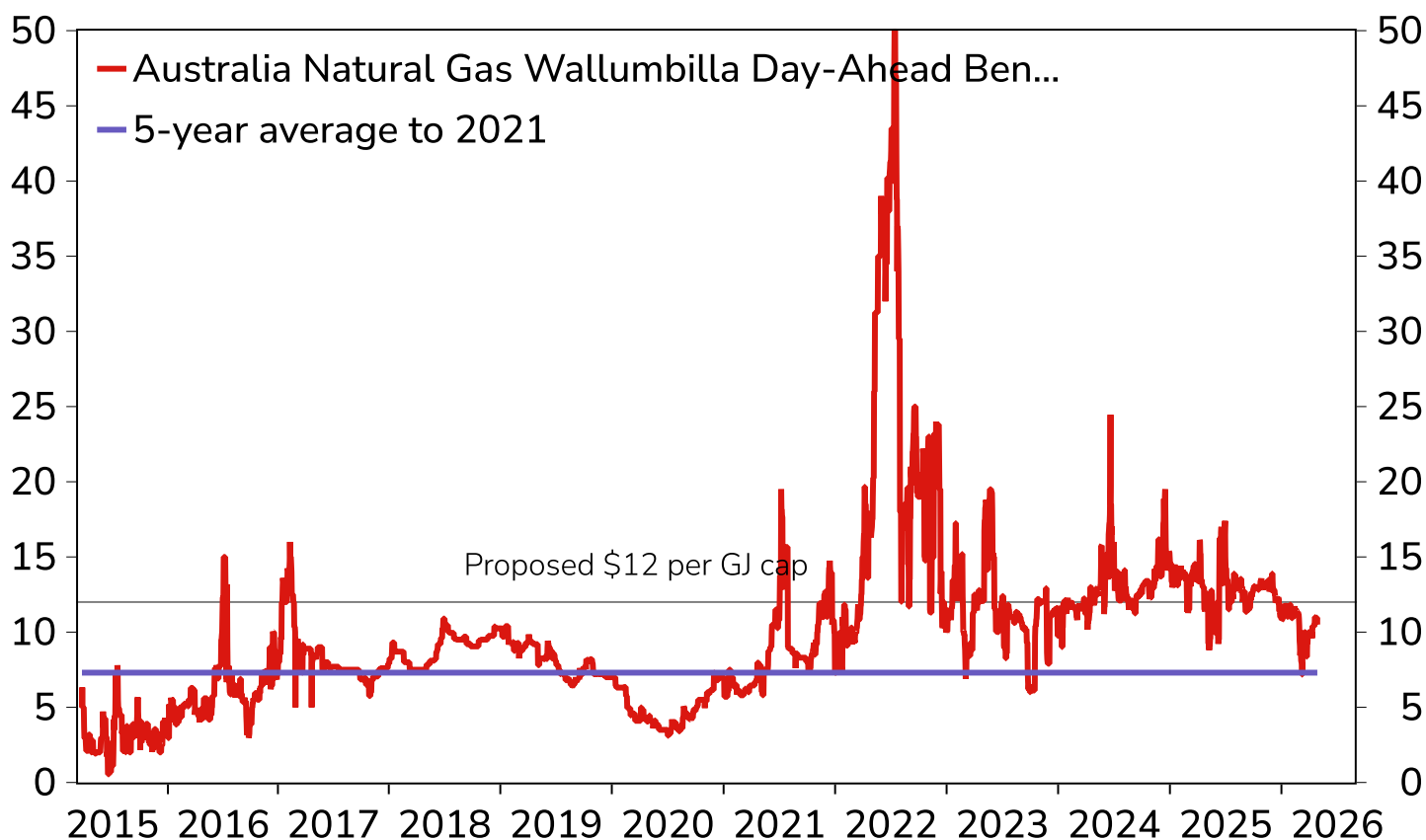


Source: ABS, Macrobond, Westpac Economics

For the RBA, as noted by Westpac's Chief Economist Luci Ellis in "**RBA May hike locked in**", there was some scattered signs of pass-through to other prices, even though March was very early days for this to be evident and most likely it is business taking the opportunity to raise prices in front of looming cost increases. However, it was not widespread and as we covered before, electricity prices have benefited from Australian local gas prices separating themselves from global LNG prices (the local price is currently around \$10/GJ so under the government's proposed \$12/GJ cap) and the rising share of renewables supported by storage which has seen lower than average summer electricity prices.

Wholesale Natural Gas

Wallumbilla Benchmark Price, \$/GJ



Source: , Macrobond, Westpac Economics

Nevertheless, we still expect the RBA to raise the cash rate at their May meeting. Given recent communication from the Bank has characterised the supply shock as 'further exacerbating existing capacity pressures' with future demand destruction just a possibility, we see two further interest rate hikes after May. It is true that the Trimmed Mean for the March quarter was on the RBA forecast of 3.5%yr but to achieve their estimate of 3.7%yr for the June quarter we will have to see a step down in the quarterly pace of 0.8%, a bridge too far we think given the current shock we are experiencing. Our current forecast for the June quarter Trimmed Mean is 1.0%qtr.

We are preparing a more detailed bulletin outlining any revisions to our inflation profile once we have processed all the quarterly and monthly data. But we can note that for the March quarter market services ex volatile inflation surprised with a flat print in the quarter with only a very modest lift in the annual pace to 3.4%yr from 3.3%yr. We are expecting it to pick up from here but due to modest wage outcomes, and better productivity in the market sector, we see this acceleration being capped around 4%yr in the second half of 2026, tracking the lift in Trimmed Mean inflation.

Below is the table comparing the quarterly details with our published estimates. We will cover the reasons for the small variations in our review of the monthly CPI as that is where the differences lie.

CPI forecasts		Mar-26		Mar-26	
Item		Actual	contrib	forecast	contrib
		% qtr		% qtr	
Food		1.0	0.18	1.0	0.17
of which, fruit & vegetables		1.7	0.03	1.9	0.04
Alcohol & tobacco		1.3	0.09	1.1	0.08
of which, Tobacco		1.1	0.02	1.2	0.02
Clothing & footwear		2.3	0.07	1.6	0.05
Housing		2.9	0.65	3.0	0.64
of which, Rents		0.9	0.06	1.0	0.07
of which, House purchases		0.9	0.07	0.8	0.06
of which, Utilities		12.1	0.55	12.2	0.55
H/hold contents & services		-0.3	-0.02	-0.3	-0.02
Health		2.2	0.15	2.3	0.15
of which, Pharmaceuticals		3.6	0.03	2.9	0.03
Transportation		2.0	0.23	2.2	0.25
of which , car prices		1.0	0.03	0.9	0.03
of which, auto fuel		5.2	0.18	5.9	0.20
Communication		0.0	0.00	-0.2	0.00
Recreation		-1.3	-0.16	-1.0	-0.13
of which, audio visual & computing		1.1	0.02	1.6	0.03
of which, holiday travel		-3.8	-0.23	-3.2	-0.19
Education		3.0	0.14	4.3	0.21
Financial & insurance services		1.0	0.06	0.9	0.05
CPI: All groups		1.4	–	1.5	–
CPI: All groups % year		4.1	–	4.2	–

Monthly March CPI in more detail.

The Israel/US assault on Iran began in the morning of the 28th of February with most of the price and the resulting jump in auto fuel prices above \$2/l occurred in the week ending the 8th of March. As such the March CPI would have been very early days for much pass-through to be evident. As noted in earlier bulletins we have recorded price increases for building products, but these did not take effect until 1st April.

Nevertheless, the March CPI did show some scattered signs of pass-through to other prices. Home building and vehicle repair costs, along with downstream insurance inflation, all picked up in the month. Services related to audio-visual, computing and telecommunications also increased in the month,

which for telecommunications went against the run we have seen in recent months. There were some promising signs in softer monthly prices of appliances and some other household goods which we will be closely watching to see if they are reversed in the months ahead.

CPI Item	Qtr CPI	Monthly CPI Indicator			WBC fcs
	Mar-26 % qtr	Jan-26 % mth	Feb-26 % mth	Mar-26 % mth	Mar-26 % mth
Food	1.0	0.5	-0.1	0.7	0.6
of which, bread & cereals	0.4	0.2	-1.2	0.3	0.9
of which, meat & seafood	1.3	0.2	0.5	0.5	0.3
of which, dairy & related products	0.3	-0.4	-0.6	0.8	0.9
of which, fruit & vegetables	1.7	0.8	0.0	2.6	2.8
of which, food products nec	1.1	1.1	-1.1	0.1	0.0
of which, non-alcohol beverages	1.3	0.6	0.7	1.1	0.5
Alcohol & tobacco	1.3	0.9	0.2	0.8	0.3
of which, Alcohol	1.4	1.3	0.1	0.7	-0.2
of which, Tobacco	1.1	-0.1	0.4	1.1	1.4
Clothing & footwear	2.3	2.9	2.6	-1.9	-4.2
of which, garments	1.6	2.2	2.9	-2.5	-3.7
Housing	2.9	2.2	0.3	0.2	0.2
of which, Rents	0.9	0.3	0.4	0.2	0.4
of which, House purchases	0.9	0.4	0.1	0.5	0.2
of which, Electricity	21.9	18.5	1.0	0.0	0.0
of which, Gas & other fuels	1.0	0.0	-0.1	0.0	-0.1
H/hold contents & services	-0.3	-3.6	3.9	-0.2	-0.3
Health	2.2	2.7	0.1	-0.2	-0.1
Transportation	2.0	-0.7	-0.7	9.2	9.7
of which, auto fuel	5.2	-3.2	-3.4	32.8	36.4
Communication	0.0	-0.1	0.2	0.5	-0.1
Recreation	-1.3	-3.4	-3.0	-0.7	0.2
of which, holiday travel	-3.8	-7.6	-6.3	-1.4	0.7
Education	3.0	0.0	4.5	0.0	0.0
Financial & insurance services	1.0	0.3	0.1	0.8	0.4
CPI: All groups %qtr/%mth	1.4	0.4	0.0	1.1	1.3

In terms of downside surprises in March, the largest was for auto fuel at 32.8% vs 36.4% expected. We expect fuel to be flat in April with prices falling through May due to the delayed impact of the excise cut and lower crude oil prices in monthly averages. If the excise cut is reversed on July 1, as currently planned, then auto fuel is set to surge 17% through the month of July.

Also, holiday travel was softer, -1.4% vs. 0.7% expected, on the back of a -2.2% decline in domestic travel.

Most other item outcomes were either close to our estimates or stronger. Housing overall was on par with our 0.2% estimate with a more modest than expected 0.2% increase in rents being offset by a 0.5% increase in dwelling costs. With rising inputs cost for construction this may be an earlier sign we should be expecting a stronger lift in dwelling prices in the months ahead.

Clothing & footwear (−1.9%) did not fall as much as expected (−4.2%) with garments having a smaller than expected seasonal fall (−2.5%) while footwear fell −1.9% and accessories & clothing services fell −0.6%. It does appear that the gold boost to accessories through jewellery may have come to an end with a reported −0.6% in March.

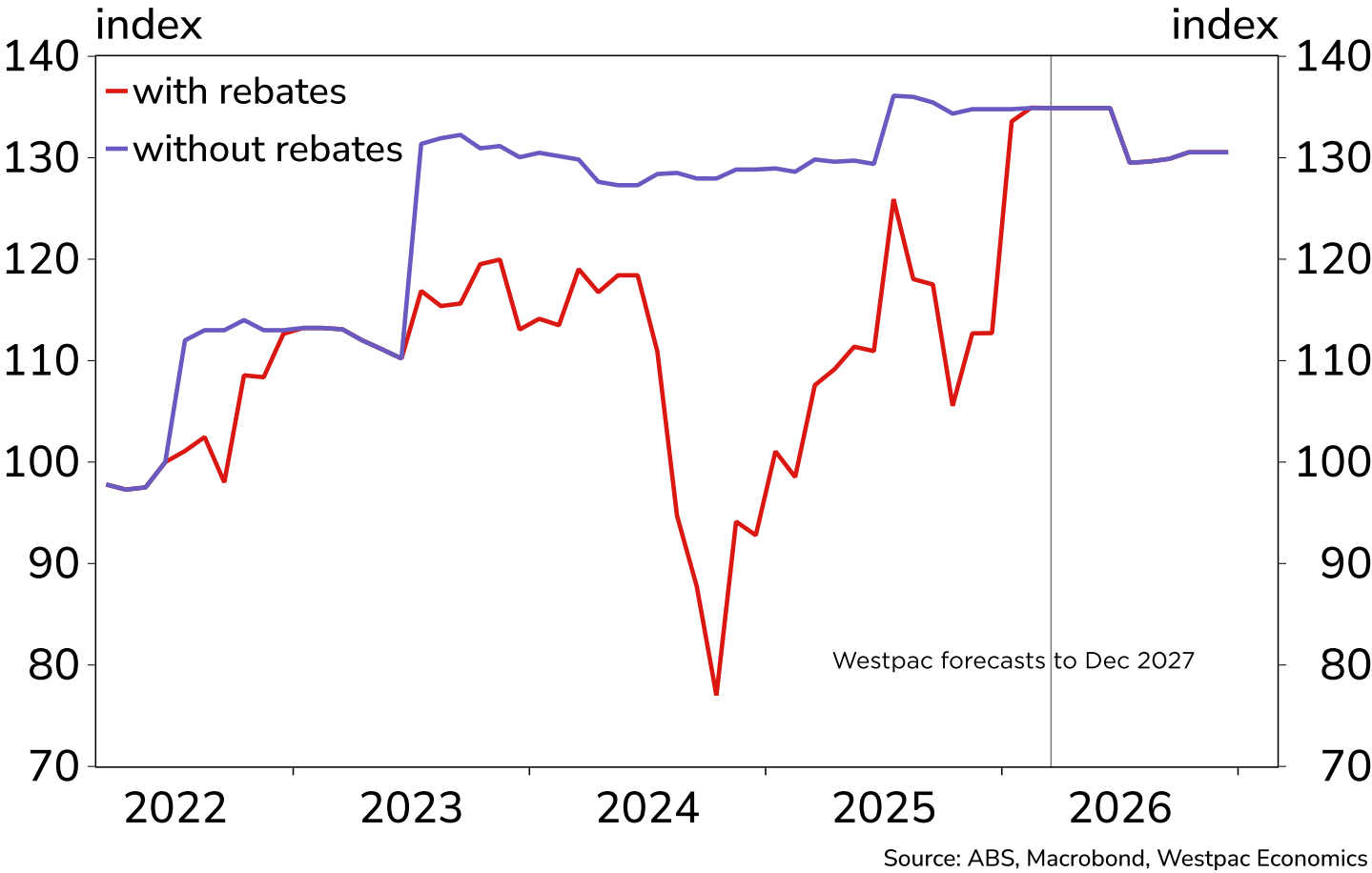
We also did not see the usual seasonal fall in alcohol (0.7% vs. −0.2% expected) which offset a softer than expected rise in tobacco (1.1% vs. 1.4%).

Communication prices lifted 0.5% in the month when we expected a small fall (−0.1%) due to an outsized 3.6% increase in postal services, the largest monthly increase since the 4.2% increase in July 2024.

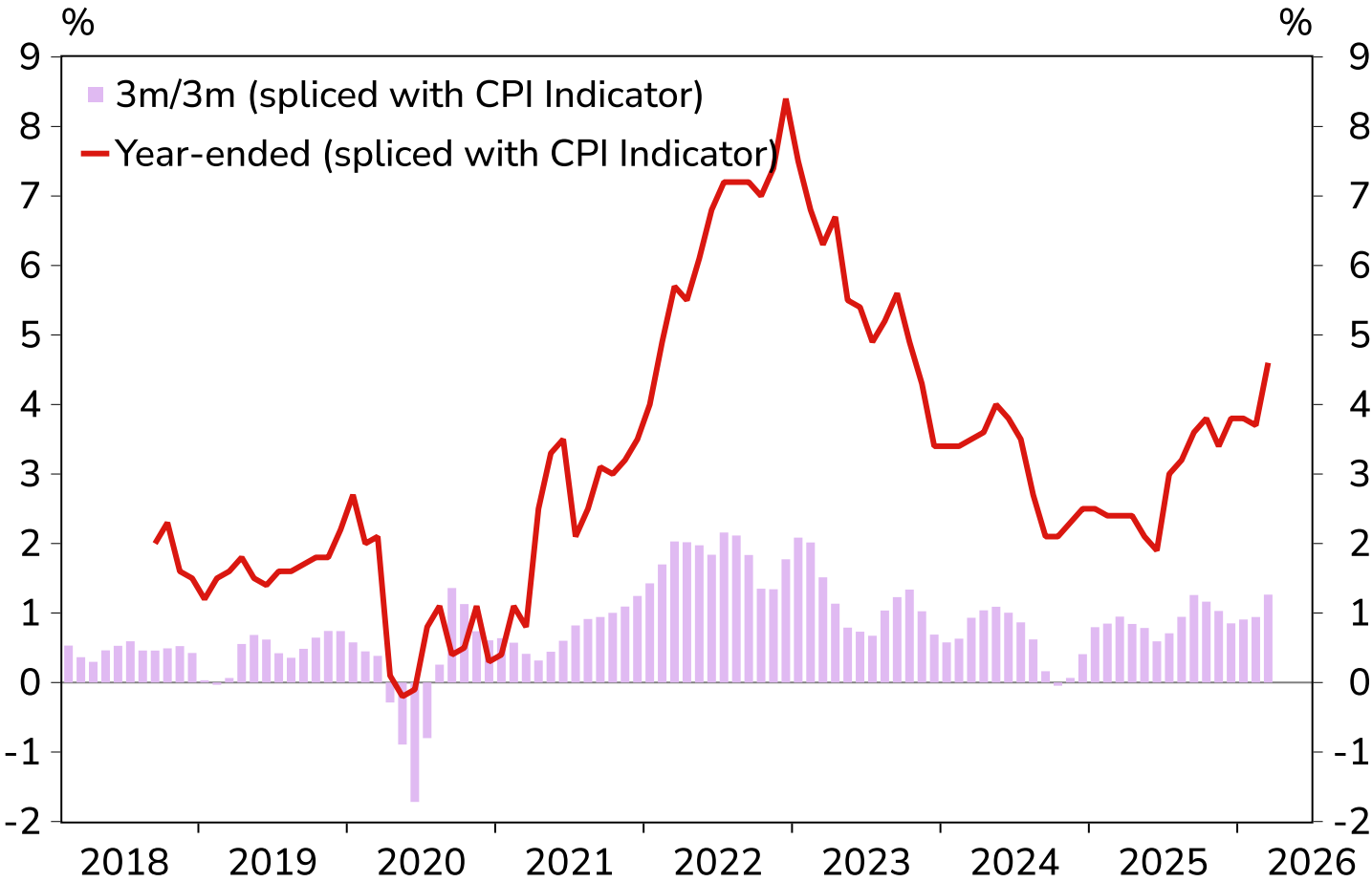
With the rise in construction costs we will be keeping a close eye on insurance premiums. Insurance surprised us with a 0.7% increase in March following hot on the heels of a 1.4% increase in January and a 0.4% increase in February. Combined with a 0.9% increase in deposit & loan facilities and a 0.8% increase in other financial services, insurance & other financial services lifted 0.8% vs. 0.4% expected.

These small but reasonably broad upside surprises is something we will be watching closely in the months ahead to see if they are early signs of pass-through from higher fuel costs as well as opportunistic price increases give the current backdrop.

Electricity forecast as currently published



Monthly CPI inflation (s.a.)



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7 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets reacted favourably as President Trump signalled progress toward a potential agreement with Iran, including a staged reopening of the Strait of Hormuz, with further negotiations around Iran's nuclear programme to follow.

Equity markets strengthened on improved Middle East sentiment, with the ASX 200 recording its strongest performance in nearly a month.

US bond markets rallied as oil prices eased, while political uncertainty around UK local elections saw UK yields reverse lower on the day.

The USD weakened, with the AUD rising to a multi-year high of 0.7278 during the session.

Oil prices pulled back sharply on more constructive Middle East developments, while gold and base metals gained and iron ore rose on renewed demand following China's May Day holiday.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	67.1	1.2%
AUD/USD	0.7237	0.8%
AUD/JPY	113.15	-0.2%
AUD/GBP	0.5325	0.4%
AUD/NZD	1.2150	-0.4%
AUD/EUR	0.6161	0.3%
AUD/CNH	4.9311	0.6%
AUD/SGD	0.9178	0.2%
AUD/HKD	5.6711	0.7%
AUD/CAD	0.9864	0.9%
EUR/USD	1.1749	0.5%
USD/JPY	156.38	-0.9%
USD Index	98.05	-0.4%

Equities	Close	Change
S&P/ASX 200	8,794	1.3%
S&P 500	7,365	1.5%
Japan Nikkei	59,513	0.4%
Hang Seng	26,214	1.2%
Euro Stoxx 50	6,027	2.7%
UK FTSE100	10,439	2.1%
VIX Index	17.39	0.1%

Commodities	Current	Change
CRB Index	388.00	-2.6%
Gold	4691.94	3.0%
Copper	13392	2.0%
Oil (WTI futures)	96.11	-6.0%
Coal (coking)	237.00	0.9%
Coal (thermal)	136.30	-3.2%
Iron Ore	110.30	1.8%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.34	0.07
90 day BBSY	4.49	0.05
180 day BBSY	4.82	0.04
1 year swap	4.63	-0.03
2 year swap	4.62	-0.04
3 year swap	4.59	-0.04
4 year swap	4.58	-0.03
5 year swap	4.59	-0.04
6 year swap	4.62	-0.04
7 year swap	4.67	-0.04
8 year swap	4.71	-0.04
9 year swap	4.75	-0.04
10 year swap	5.00	-0.05

Government Bond Yields	Close	Change
Australia		
3 year bond	4.63	0.00
10 year bond	4.95	-0.02
United States		
3-month T Bill	3.60	0.00
2 year bond	3.87	-0.07
10 year bond	4.35	-0.08
Other (10 year yields)		
Germany	3.00	-0.06
Japan	2.52	0.00
UK	4.94	-0.12

Sydney Futures Exchange	Current	Change
10 yr bond	4.93	-0.05
3 yr bond	4.58	-0.06
3 mth bill rate	4.28	0.00
SPI 200	8,897	1.1%



Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets reacted favourably overnight as President Trump signalled progress toward a final agreement with Iran. The President said he would pause 'Project Freedom', with the US delivering Iran a one page memorandum of understanding that would gradually reopen the Strait of Hormuz and lift the naval blockade. Detailed negotiations over Iran's nuclear programme would follow, with Iran expected to respond via mediators within the next two days. This comes as China's Foreign Minister also called for a swift reopening of the Strait in discussions with his Iranian counterpart, while Presidents Trump and Xi are scheduled to meet in person mid month.

- Equity markets were stronger, with optimism around the Middle East driving sentiment. In the US, equities reached fresh highs, with the S&P 500 gaining 1.5%, the Dow Jones up 1.2%, and the NASDAQ 100 outperforming with a 2.0% rise. European equities also advanced, with the Euro Stoxx 50 up 2.7% and the FTSE 100 rising 2.1%.
- Asian markets rallied, led by Korea's KOSPI, up 6.5% on AI related enthusiasm, followed by the Hang Seng (+1.2%) and the Nikkei 225 (+0.4%). Locally, the ASX 200 recorded its strongest performance in nearly a month, rising 1.3%, led by the major banks.
- US bond markets rallied across the curve as oil prices eased, with the 2-year yield down 7bps, and the 10-year yield 8bps lower. Futures pricing was little changed, with no rate moves expected this year. Elsewhere, UK gilt yields reversed sharply amid political uncertainty related to the UK local elections, with the 10-year yield falling 12bps.
- Australian government bonds were broadly stable as markets reflected on the RBAs latest move. The 3-year yield held steady, while the 10-year declined 2bps. Swaps markets are wholly pricing in at least one additional rate hike this year, with the implied terminal cash rate for year-end at 4.64%.
- FX markets saw broad USD weakness, with the DXY down -0.4% on the session. The Australian dollar posted solid gains against the USD, reaching a multi year high of 0.7278 before paring some gains into the close to end the day up 0.8%. The New Zealand dollar outperformed against the Greenback, up 1.2%, with the Euro (+0.5%), and Sterling (+0.4%) also stronger.
- Commodity markets saw a continued pull back in oil as Middle East headlines turned more constructive. Brent fell -7.2% to US\$102/bbl, while WTI declined -6.0% to US\$96.1/bbl. Gold benefited from improved risk sentiment and USD weakness, posting its strongest gain since March, up 3.0%. Copper and aluminium also saw solid gains of

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Trade Balance Mar	\$4400m	\$5686m
19:00	EZ Retail Sales Mar	-0.3%	-0.2%
22:30	US Productivity Q1 Prel.	0.6%	1.8%
22:30	US Initial Jobless Claims 2/05/2026	205k	189k
-	CN Foreign Reserves Apr	US\$3366b	-

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

2.0% and 1.9% respectively, while iron ore posted a day gain of 1.8% as China emerges from its May Day holiday period, supporting renewed buying interest.

International Data

US ADP employment was marginally below expectations in April at 109k, but the result is a step up from March's 61k.

St Louis Fed President Musalem emphasised uncertainty, showing greater concern over inflation than employment.

Chicago Fed President Goolsbee warned against reflexively lowering interest rates in response to productivity gains, recognising that the income and wealth created by progress can accelerate inflation.

The **Euro Area PPI** printed as expected, a 3.4% gain in March leaving the annual change at 2.1%yr. Ex energy, prices were up just 0.5% in the month and 1.4%yr.

Local Data

In New Zealand, **employment** rose 0.2%qtr in the March quarter, while the **participation rate** fell to 70.4%, resulting in the **unemployment rate** easing to 5.3% - the first decline since December 2021 (see [here](#)).



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

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7 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets reacted favourably as President Trump signalled progress toward a potential agreement with Iran, including a staged reopening of the Strait of Hormuz, with further negotiations around Iran's nuclear programme to follow.

Equity markets strengthened on improved Middle East sentiment, with the ASX 200 recording its strongest performance in nearly a month.

US bond markets rallied as oil prices eased, while political uncertainty around UK local elections saw UK yields reverse lower on the day.

The USD weakened, with the AUD rising to a multi-year high of 0.7278 during the session.

Oil prices pulled back sharply on more constructive Middle East developments, while gold and base metals gained and iron ore rose on renewed demand following China's May Day holiday.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	67.1	1.2%
AUD/USD	0.7237	0.8%
AUD/JPY	113.15	-0.2%
AUD/GBP	0.5325	0.4%
AUD/NZD	1.2150	-0.4%
AUD/EUR	0.6161	0.3%
AUD/CNH	4.9311	0.6%
AUD/SGD	0.9178	0.2%
AUD/HKD	5.6711	0.7%
AUD/CAD	0.9864	0.9%
EUR/USD	1.1749	0.5%
USD/JPY	156.38	-0.9%
USD Index	98.05	-0.4%

Equities	Close	Change
S&P/ASX 200	8,794	1.3%
S&P 500	7,365	1.5%
Japan Nikkei	59,513	0.4%
Hang Seng	26,214	1.2%
Euro Stoxx 50	6,027	2.7%
UK FTSE100	10,439	2.1%
VIX Index	17.39	0.1%

Commodities	Current	Change
CRB Index	388.00	-2.6%
Gold	4691.94	3.0%
Copper	13392	2.0%
Oil (WTI futures)	96.11	-6.0%
Coal (coking)	237.00	0.9%
Coal (thermal)	136.30	-3.2%
Iron Ore	110.30	1.8%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.34	0.07
90 day BBSY	4.49	0.05
180 day BBSY	4.82	0.04
1 year swap	4.63	-0.03
2 year swap	4.62	-0.04
3 year swap	4.59	-0.04
4 year swap	4.58	-0.03
5 year swap	4.59	-0.04
6 year swap	4.62	-0.04
7 year swap	4.67	-0.04
8 year swap	4.71	-0.04
9 year swap	4.75	-0.04
10 year swap	5.00	-0.05

Government Bond Yields	Close	Change
Australia		
3 year bond	4.63	0.00
10 year bond	4.95	-0.02
United States		
3-month T Bill	3.60	0.00
2 year bond	3.87	-0.07
10 year bond	4.35	-0.08
Other (10 year yields)		
Germany	3.00	-0.06
Japan	2.52	0.00
UK	4.94	-0.12

Sydney Futures Exchange	Current	Change
10 yr bond	4.93	-0.05
3 yr bond	4.58	-0.06
3 mth bill rate	4.28	0.00
SPI 200	8,897	1.1%



Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets reacted favourably overnight as President Trump signalled progress toward a final agreement with Iran. The President said he would pause 'Project Freedom', with the US delivering Iran a one page memorandum of understanding that would gradually reopen the Strait of Hormuz and lift the naval blockade. Detailed negotiations over Iran's nuclear programme would follow, with Iran expected to respond via mediators within the next two days. This comes as China's Foreign Minister also called for a swift reopening of the Strait in discussions with his Iranian counterpart, while Presidents Trump and Xi are scheduled to meet in person mid month.

- Equity markets were stronger, with optimism around the Middle East driving sentiment. In the US, equities reached fresh highs, with the S&P 500 gaining 1.5%, the Dow Jones up 1.2%, and the NASDAQ 100 outperforming with a 2.0% rise. European equities also advanced, with the Euro Stoxx 50 up 2.7% and the FTSE 100 rising 2.1%.
- Asian markets rallied, led by Korea's KOSPI, up 6.5% on AI related enthusiasm, followed by the Hang Seng (+1.2%) and the Nikkei 225 (+0.4%). Locally, the ASX 200 recorded its strongest performance in nearly a month, rising 1.3%, led by the major banks.
- US bond markets rallied across the curve as oil prices eased, with the 2-year yield down 7bps, and the 10-year yield 8bps lower. Futures pricing was little changed, with no rate moves expected this year. Elsewhere, UK gilt yields reversed sharply amid political uncertainty related to the UK local elections, with the 10-year yield falling 12bps.
- Australian government bonds were broadly stable as markets reflected on the RBAs latest move. The 3-year yield held steady, while the 10-year declined 2bps. Swaps markets are wholly pricing in at least one additional rate hike this year, with the implied terminal cash rate for year-end at 4.64%.
- FX markets saw broad USD weakness, with the DXY down -0.4% on the session. The Australian dollar posted solid gains against the USD, reaching a multi year high of 0.7278 before paring some gains into the close to end the day up 0.8%. The New Zealand dollar outperformed against the Greenback, up 1.2%, with the Euro (+0.5%), and Sterling (+0.4%) also stronger.
- Commodity markets saw a continued pull back in oil as Middle East headlines turned more constructive. Brent fell -7.2% to US\$102/bbl, while WTI declined -6.0% to US\$96.1/bbl. Gold benefited from improved risk sentiment and USD weakness, posting its strongest gain since March, up 3.0%. Copper and aluminium also saw solid gains of

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Trade Balance Mar	\$4400m	\$5686m
19:00	EZ Retail Sales Mar	-0.3%	-0.2%
22:30	US Productivity Q1 Prel.	0.6%	1.8%
22:30	US Initial Jobless Claims 2/05/2026	205k	189k
-	CN Foreign Reserves Apr	US\$3366b	-

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

2.0% and 1.9% respectively, while iron ore posted a day gain of 1.8% as China emerges from its May Day holiday period, supporting renewed buying interest.

International Data

US ADP employment was marginally below expectations in April at 109k, but the result is a step up from March's 61k.

St Louis Fed President Musalem emphasised uncertainty, showing greater concern over inflation than employment.

Chicago Fed President Goolsbee warned against reflexively lowering interest rates in response to productivity gains, recognising that the income and wealth created by progress can accelerate inflation.

The **Euro Area PPI** printed as expected, a 3.4% gain in March leaving the annual change at 2.1%yr. Ex energy, prices were up just 0.5% in the month and 1.4%yr.

Local Data

In New Zealand, **employment** rose 0.2%qtr in the March quarter, while the **participation rate** fell to 70.4%, resulting in the **unemployment rate** easing to 5.3% - the first decline since December 2021 (see [here](#)).



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

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Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
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Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

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Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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7 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets reacted favourably as President Trump signalled progress toward a potential agreement with Iran, including a staged reopening of the Strait of Hormuz, with further negotiations around Iran's nuclear programme to follow.

Equity markets strengthened on improved Middle East sentiment, with the ASX 200 recording its strongest performance in nearly a month.

US bond markets rallied as oil prices eased, while political uncertainty around UK local elections saw UK yields reverse lower on the day.

The USD weakened, with the AUD rising to a multi-year high of 0.7278 during the session.

Oil prices pulled back sharply on more constructive Middle East developments, while gold and base metals gained and iron ore rose on renewed demand following China's May Day holiday.

Data snapshot

FX Last 24 hrs	Current	Change	AUS Interest Rate Swaps	Last	Change
TWI	67.1	1.2%	30 day BBSY	4.34	0.07
AUD/USD	0.7237	0.8%	90 day BBSY	4.49	0.05
AUD/JPY	113.15	-0.2%	180 day BBSY	4.82	0.04
AUD/GBP	0.5325	0.4%	1 year swap	4.63	-0.03
AUD/NZD	1.2150	-0.4%	2 year swap	4.62	-0.04
AUD/EUR	0.6161	0.3%	3 year swap	4.59	-0.04
AUD/CNH	4.9311	0.6%	4 year swap	4.58	-0.03
AUD/SGD	0.9178	0.2%	5 year swap	4.59	-0.04
AUD/HKD	5.6711	0.7%	6 year swap	4.62	-0.04
AUD/CAD	0.9864	0.9%	7 year swap	4.67	-0.04
EUR/USD	1.1749	0.5%	8 year swap	4.71	-0.04
USD/JPY	156.38	-0.9%	9 year swap	4.75	-0.04
USD Index	98.05	-0.4%	10 year swap	5.00	-0.05

Equities	Close	Change	Government Bond Yields	Close	Change
S&P/ASX 200	8,794	1.3%	Australia		
S&P 500	7,365	1.5%	3 year bond	4.63	0.00
Japan Nikkei	59,513	0.4%	10 year bond	4.95	-0.02
Hang Seng	26,214	1.2%	United States		
Euro Stoxx 50	6,027	2.7%	3-month T Bill	3.60	0.00
UK FTSE100	10,439	2.1%	2 year bond	3.87	-0.07
VIX Index	17.39	0.1%	10 year bond	4.35	-0.08

Commodities	Current	Change	Other (10 year yields)		
CRB Index	388.00	-2.6%	Germany	3.00	-0.06
Gold	4691.94	3.0%	Japan	2.52	0.00
Copper	13392	2.0%	UK	4.94	-0.12

			Sydney Futures Exchange	Current	Change
Oil (WTI futures)	96.11	-6.0%	10 yr bond	4.93	-0.05
Coal (coking)	237.00	0.9%	3 yr bond	4.58	-0.06
Coal (thermal)	136.30	-3.2%	3 mth bill rate	4.28	0.00
Iron Ore	110.30	1.8%	SPI 200	8,897	1.1%
ACCU	36.13	-4.3%			

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets reacted favourably overnight as President Trump signalled progress toward a final agreement with Iran. The President said he would pause 'Project Freedom', with the US delivering Iran a one page memorandum of understanding that would gradually reopen the Strait of Hormuz and lift the naval blockade. Detailed negotiations over Iran's nuclear programme would follow, with Iran expected to respond via mediators within the next two days. This comes as China's Foreign Minister also called for a swift reopening of the Strait in discussions with his Iranian counterpart, while Presidents Trump and Xi are scheduled to meet in person mid month.

- Equity markets were stronger, with optimism around the Middle East driving sentiment. In the US, equities reached fresh highs, with the S&P 500 gaining 1.5%, the Dow Jones up 1.2%, and the NASDAQ 100 outperforming with a 2.0% rise. European equities also advanced, with the Euro Stoxx 50 up 2.7% and the FTSE 100 rising 2.1%.
- Asian markets rallied, led by Korea's KOSPI, up 6.5% on AI related enthusiasm, followed by the Hang Seng (+1.2%) and the Nikkei 225 (+0.4%). Locally, the ASX 200 recorded its strongest performance in nearly a month, rising 1.3%, led by the major banks.
- US bond markets rallied across the curve as oil prices eased, with the 2-year yield down 7bps, and the 10-year yield 8bps lower. Futures pricing was little changed, with no rate moves expected this year. Elsewhere, UK gilt yields reversed sharply amid political uncertainty related to the UK local elections, with the 10-year yield falling 12bps.
- Australian government bonds were broadly stable as markets reflected on the RBAs latest move. The 3-year yield held steady, while the 10-year declined 2bps. Swaps markets are wholly pricing in at least one additional rate hike this year, with the implied terminal cash rate for year-end at 4.64%.
- FX markets saw broad USD weakness, with the DXY down -0.4% on the session. The Australian dollar posted solid gains against the USD, reaching a multi year high of 0.7278 before paring some gains into the close to end the day up 0.8%. The New Zealand dollar outperformed against the Greenback, up 1.2%, with the Euro (+0.5%), and Sterling (+0.4%) also stronger.
- Commodity markets saw a continued pull back in oil as Middle East headlines turned more constructive. Brent fell -7.2% to US\$102/bbl, while WTI declined -6.0% to US\$96.1/bbl. Gold benefited from improved risk sentiment and USD weakness, posting its strongest gain since March, up 3.0%. Copper and aluminium also saw solid gains of

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Trade Balance Mar	\$4400m	\$5686m
19:00	EZ Retail Sales Mar	-0.3%	-0.2%
22:30	US Productivity Q1 Prel.	0.6%	1.8%
22:30	US Initial Jobless Claims 2/05/2026	205k	189k
-	CN Foreign Reserves Apr	US\$3366b	-

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

2.0% and 1.9% respectively, while iron ore posted a day gain of 1.8% as China emerges from its May Day holiday period, supporting renewed buying interest.

International Data

US ADP employment was marginally below expectations in April at 109k, but the result is a step up from March's 61k.

St Louis Fed President Musalem emphasised uncertainty, showing greater concern over inflation than employment.

Chicago Fed President Goolsbee warned against reflexively lowering interest rates in response to productivity gains, recognising that the income and wealth created by progress can accelerate inflation.

The **Euro Area PPI** printed as expected, a 3.4% gain in March leaving the annual change at 2.1%yr. Ex energy, prices were up just 0.5% in the month and 1.4%yr.

Local Data

In New Zealand, **employment** rose 0.2%qtr in the March quarter, while the **participation rate** fell to 70.4%, resulting in the **unemployment rate** easing to 5.3% - the first decline since December 2021 (see [here](#)).



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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The FOMC favours a steady hand

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By [Elliot Clarke](#)

Head of International Economics, Westpac

08:24 April 30 2026

Share

The FOMC kept the stance of policy and their outlook unchanged in April as expected, at Powell's last meeting as FOMC Chair.



As expected, the FOMC kept the stance of policy unchanged at its April meeting and, broadly speaking, portrayed a balanced baseline and risk outlook. This is despite not explicitly stating a hike is as likely as a cut – language the dissenters Hammack, Kashkari, and Logan arguably would have

preferred. This outcome is consistent with our and the market's expectations as well as the degree of uncertainty evident in financial markets – the price of Brent crude rising circa 7% today to USD120 per barrel while US equities held near record highs.

The Committee's take on economic activity was sanguine, with GDP characterised as "expanding at a solid pace" and the unemployment rate "little changed in recent months" even as job gains "remained low". Members' views on the price outlook showed caution but not overt concern, with inflation simply characterised as "elevated". "The Committee is [also] attentive to the risks to both sides of its dual mandate", and Chair Powell noted in the press conference that, in his view, policy is in a good place to take time to monitor conditions, being at the "high end of neutral", "perhaps mildly restrictive".

We have been more concerned than the FOMC over domestic inflation stemming from capacity constraints and, in such an economic state, believe outsized and/or persistent second-round effects of energy and tariff inflation are meaningful risks. Still, with growth below trend in Q4 2025 and Q1 2026, and likely through mid-2027, there is no urgency to take a hawkish stance, let alone hike. Per Chair Powell's remarks and current market pricing, the best course is to hold and continue assessing current conditions and uncertainties.

Like all other major central banks, the road ahead for the Federal Reserve is challenging. The domestic and international risks the economy and Committee face are disparate and could persist for some time. The FOMC will also have to navigate considerable US fiscal uncertainty over the year(s) ahead. A continued uptrend in the US 10-year yield, and consequently the 30-year mortgage rate, will limit the breadth of growth across the economy and weigh on household and financial market confidence. In time, it will also restrict the Government's capacity to act against a meaningful deterioration in economic momentum as the interest burden grows. As such, we cannot discount policy rate cuts entirely, though they are more likely to be a topic of conversation in 2027 or 2028 than 2026.

Finally, with Kevin Warsh's nomination for FOMC Chair advancing from the Committee stage to a full vote in the Senate, it is important to recognise this meeting was Powell's last meeting as Chair. In the press conference though, Powell made clear he still intends to stay on as a Federal Reserve Governor, and consequently a member of the FOMC, until the investigations into the Federal Reserve are "well and truly over with finality and transparency". The Department of Justice dropping their criminal investigation into the organisation and Chair Powell are a decisive step in that direction, but the Supreme Court decision in Lisa Cook's case is still to come, and the Federal Reserve's own investigation into construction costs has to be completed to rule out the Department of Justice re-opening its investigation. Powell remaining in place as a Governor over the period will provide continuity while these uncertainties are resolved.

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5 May 2026

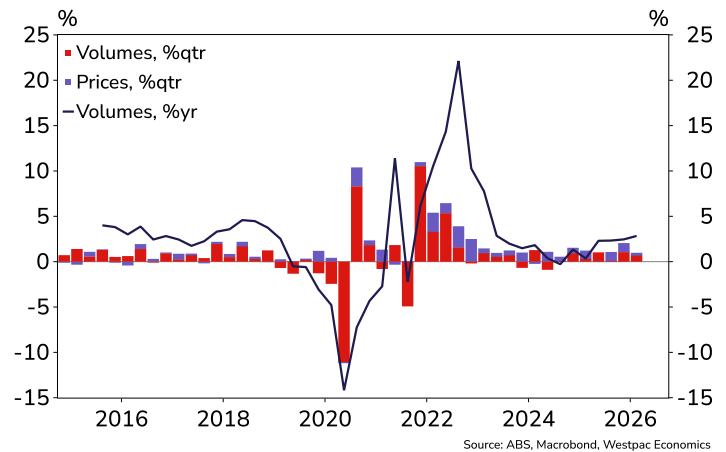
HOUSEHOLD SPENDING INDICATOR BULLETIN

Fuel dominates the narrative

Key points

- Household spending rose 1.6%^{mt} in March, the strongest monthly gain in two years. However, Q1 spending was more subdued, with nominal growth of 1.0%^{qtr}. Volumes increased 0.7%^{qtr}, pointing to a surprisingly soft price gain in the quarter.
- Goods spending surged, while services spending lost momentum. Non-discretionary spending outperformed as discretionary categories remained more restrained.
- In real terms, spending growth over the quarter was uneven across categories but remained positive across all states, with transport and non-discretionary components driving volumes.
- Ahead of the Q1 national accounts (due 3 June) we maintain a 0.6%^{qtr}/2.5%^{yr} forecast for consumption.

Quarterly spending volumes and prices



**Q1 real household spending:
0.7%^{qtr}, 2.8%^{yr}**

Spending growth sees a notable March uplift



Luka Belobrajdic
Economist

The household spending indicator rose 1.6%*mt* in March (nominal), somewhat below both Westpac and market expectations. We had anticipated a stronger 2.0%*mt* rise for the month, while the market was at 1.8%*mt*. The outcome nonetheless represents the strongest monthly gain since January 2024, following more modest increases of 0.3%*mt* in February and 0.2%*mt* in January. Annual growth lifted to 6.3%*yr*. For Q1 as a whole, nominal spending rose 1.0%*qtr*, a more subdued outcome compared to the downwardly revised 2.0%*qtr* increase recorded in Q4 2025. In real terms, volumes increased 0.7%*qtr*, with the indicator pointing to surprisingly soft price growth within the quarter.

Transport drives the headline higher

By broad category, the engine of growth shifted decisively toward goods in March. Goods spending rose 2.9%*mt* to be 5.8%*yr* higher over the year, reflecting a sharp rise in fuel prices alongside an evident pull forward of fuel purchases. By contrast, services spending lost momentum, recording a modest 0.1%*mt* gain in March (6.9%*yr*). Non discretionary spending surged 3.4%*mt* (8.1%*yr*), after holding flat in the previous month, while discretionary spending posted a more moderate 0.6%*mt* increase (5.3%*yr*).

At the detailed level, gains were heavily concentrated in transport spending, which rose 5.1%*mt* – the strongest outcome since May 2022 following Russia’s invasion of Ukraine. Alongside higher fuel prices, strength in public transport spending also contributed, as households adjusted travel behaviour in response to rising fuel costs.

Excluding transport, household spending increased a more moderate 0.9%*mt*. Food spending also recorded a sizeable rise, up 1.7%*mt*, with the ABS attributing this to precautionary stockpiling amid concerns over potential disruptions to global supply chains. Miscellaneous goods & services rose 1.7%*mt*, while furnishings & household equipment grew 1.6%*mt*. Recreation & culture (+1.3%*mt*), clothing & footwear (+1.3%*mt*), and health (+0.3%*mt*) also reported gains.

Offsetting these increases, hotels, cafes & restaurants fell 0.9%*mt*, consistent with ongoing restraint in discretionary spending. April **Westpac–DataX Card Tracker** data point to a further wind down in discretionary services activity (see [here](#)). Alcoholic beverages & tobacco declined for a third consecutive month, albeit at a more modest pace (–0.1%*mt*).

All states recorded spending growth in March. Strength was led by Queensland (+1.9%*mt*), followed by NSW which reversed last month’s decline with a 1.7%*mt* increase, while SA (+1.7%*mt*), WA (+1.6%*mt*) and Victoria (+1.2%*mt*) also posted solid gains.

Household spending indicator – March 2025

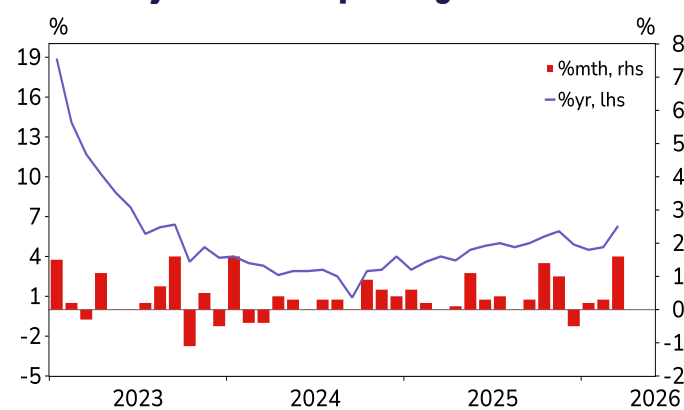
	\$bn	% chg <i>mt</i>		% chg <i>yr</i>	
	Mar-25	Feb-25	Mar-25	Feb-25	Mar-25
sa	80.41	0.3	1.6	4.7	6.3
trend	79.45	0.3	0.2	4.9	4.8

Chained volumes – Q1 2026

	real \$bn	% chg <i>qtr</i>		% chg <i>yr</i>	
	Q1	Q4	Q1	Q4	Q1
sa	226.54	1.0	0.7	2.5	2.8

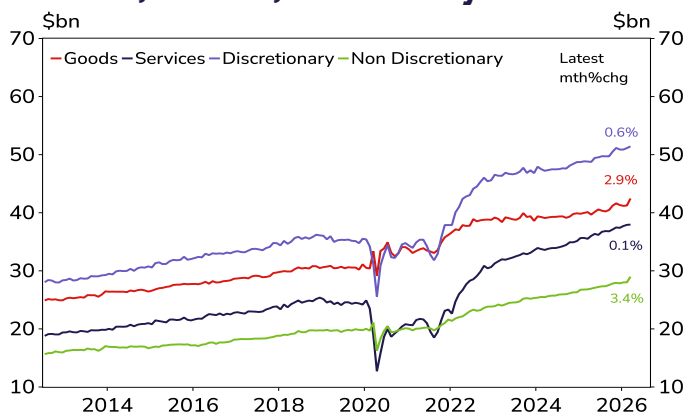
Source: ABS, Macrobond, Westpac Economics.

Monthly household spending indicator



Source: ABS, Macrobond, Westpac Economics

Goods, services, discretionary & non-discret



Source: ABS, Macrobond, Westpac Economics

Volume growth remains positive

Nominal spending rose 1.0%qtr in Q1, with volumes up 0.7%qtr - a somewhat softer outcome than the upwardly revised 1.0%qtr increase recorded in Q4. This implies a surprisingly subdued price gain in the quarter at 0.3%qtr, compared with 1.0%qtr in Q4 (despite the fuel price spike). Through the year, volume growth accelerated slightly to 2.8%yr, the strongest reading since Q2 2023.

Transport also led gains in volume terms, rising 1.7%qtr, reflecting more frequent fuel purchases. Non discretionary categories were generally supportive, with health up 1.5%qtr and food up 0.8%qtr. Recreation & culture (+1.1%qtr) and miscellaneous goods & services (+1.1%qtr) also contributed positively. Partially offsetting these gains, alcoholic beverages & tobacco fell 2.4%qtr, reversing last quarter's increase. Clothing & footwear declined 1.0%qtr, while furnishings & household equipment (-0.7%qtr) and hotels, cafes & restaurants (-0.1%qtr) also detracted.

All states recorded real spending growth over the quarter, led by Queensland (+1.1%qtr), SA (+1.0%qtr), WA (+0.8%qtr), NSW (+0.5%qtr) and Victoria (+0.2%qtr).

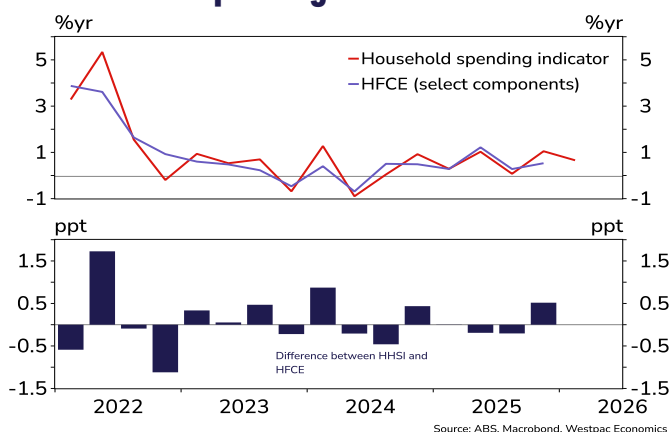
Conclusion

The household spending indicator captures around two thirds of total consumer expenditure. It excludes several major categories (e.g. rents, utilities, etc.) but has still provided a decent guide to the components it covers. Today's volumes outcome diverged noticeably from our expectations, as we had anticipated a small real decline in Q1. This discrepancy may partly reflect the exclusion of rents, utilities and education from the COICOP divisions used in the chain volume calculations, with these categories contributing significantly to the quarterly inflation outcome (see [here](#)).

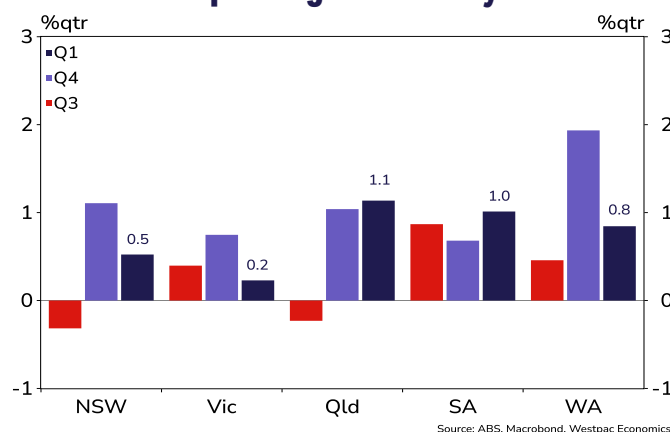
Ahead of the Q1 national accounts (due 3 June), we have pencilled in a 0.6%qtr/2.5%yr increase in total consumption. The shifting interest rate backdrop early this year is likely to have contributed to a moderation throughout the quarter, while **Westpac-DataX Card Tracker** data has shown non-fuel spend is slowing. That said, areas not well captured by card data are likely to provide an offset, supporting a positive overall outcome.

Downside risks are more elevated moving into Q2. Consumer sentiment recorded its largest decline since COVID in April (see [here](#)), with today's rate increase likely to weigh further on confidence and spending in coming months as well.

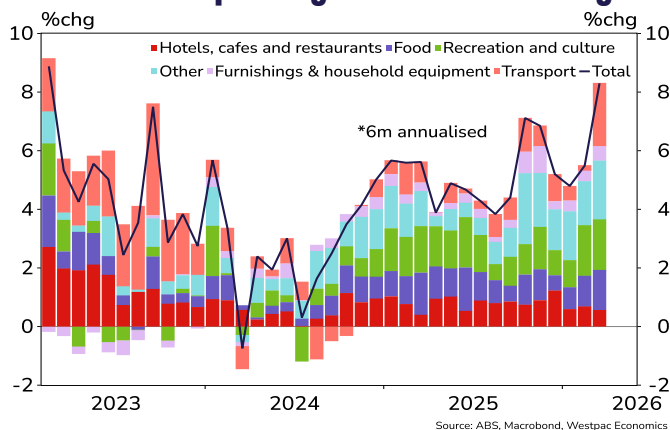
Household spending indication vs nat accs



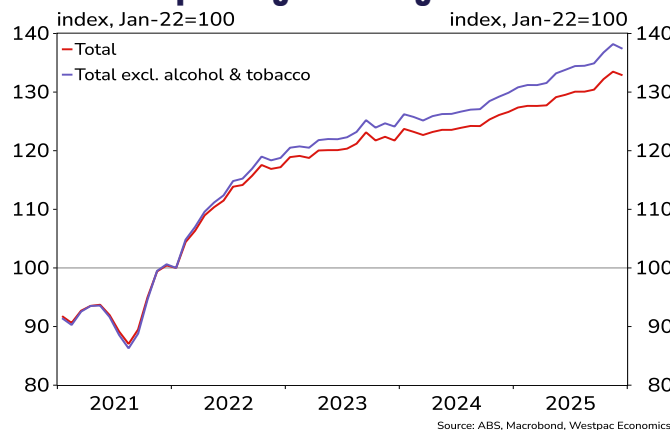
Household spending indicator by state: real



Household spending indicator: nominal growth



Nominal spending excluding alch & tobacco





Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au



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4 May 2026

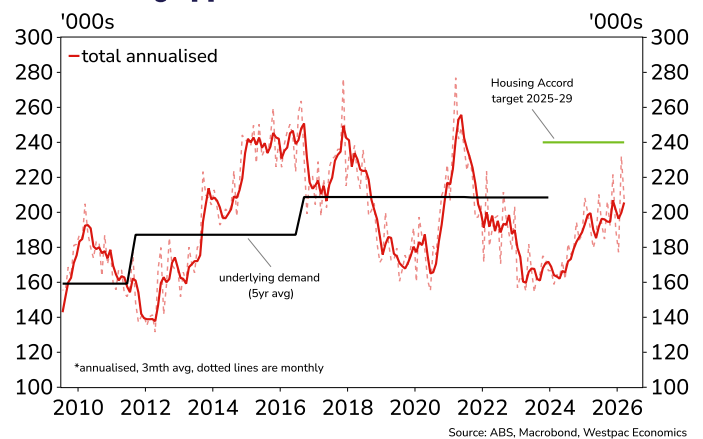
AUSTRALIAN DWELLING APPROVALS BULLETIN

Unit approvals reverse course

Key points

- Total dwelling approvals partially unwound February's sharp gains, falling 10.5%*mth* in March. The annual pace eased to 9.0%*yr*, though the large lift in the previous month continues to leave approvals at an elevated level.
- As in recent months, private unit approvals drove the headline outcome, declining 26%*mth* following February's 101%*mth* surge. Private detached house approvals rose 0.9%*mth*. On a rolling three-month basis, house approvals increased 5.1%*qtr*, signalling a continued upswing in detached housing momentum.
- State-level outcomes remain uneven on a rolling three-month basis, with approvals strongest in Qld and WA, while NSW, Vic and SA recorded declines.
- Looking ahead, further expected RBA cash rate rises throughout 2026, alongside softer dwelling price growth are likely to temper the near-term recovery.

Dwelling approvals



**Total dwelling approvals
-10.5%*mth*,
9.0%*yr***

Detached dwelling approvals in a clearer upswing



Luka Belobrajdic
Economist

Total dwelling approvals partially unwound the sharp gains recorded last month, falling 10.5%*mt* in March. The result was below our expectation but broadly in line with the market expectation. The annual pace eased to 9.0%*yr*, although the large rise in last month's result continues to leave approvals at an elevated level. Indeed, the key takeaway looks to be of a clearer upswing emerging in the detached houses segment.

Note that most figures in the charts and table are presented on a rolling-three month basis to smooth out monthly volatility.

As in recent results, private unit approvals continued to drive volatility, declining 26%*mt*, following a 101%*mt* rise in February. The March outcome does not fully unwind last month's gains, with private unit approvals remaining above their average level over the past 12 months. Units accounted for just over 39% of private approvals in the month, down from the 47% high in February. High rise unit approvals again drove the headline move, with Westpac's seasonally-adjusted estimates across both private and public sectors falling 21%*mt*, while low mid rise approvals declined 7.5%*mt*. As a result, the annual growth rate for high rise units eased to 15%*yr*, while low mid rise approvals moved into contraction (-2.7%*yr*).

Private detached dwelling approvals rose 0.9%*mt*, with February approvals revised sharply higher to 2.0%*mt* (+1.8ppts). On a rolling three month basis, total house approvals increased 5.1%*qtr*, the strongest result since October 2023, and signalling a continued upswing in detached dwelling approvals.

Dwelling approvals remain strongest in states experiencing the most robust dwelling price growth (see [here](#)). On a rolling three month basis, gains are concentrated in Qld (27%*yr*) and WA (23%*yr*), led primarily by unit approvals, although detached dwellings are providing more balanced support in WA. In contrast, approvals declined in Vic (-1.5%*yr*), SA (-5.1%*yr*) and NSW (-11%*yr*). In NSW and Vic, declines were driven primarily by units, with house approvals continuing to post gains.

In value terms, residential building approvals fell 16%*mt*, an 18% decline in new residential approvals partially offset by a 0.8% rise in renovation activity. The value of non residential approvals fell sharply (-25%*mt*), led by a significant fall in the data centre dominated 'other commercial' segment (-93%*mt*). The total value of buildings approved declined 19%*mt*.

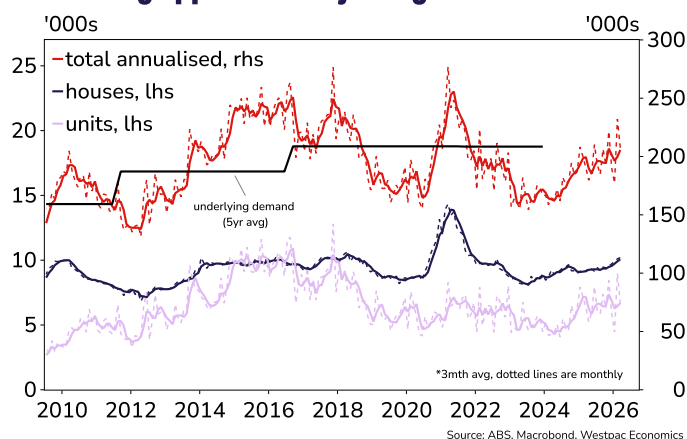
Looking ahead, further expected RBA cash rate increases across May, June and August, alongside softer dwelling price growth, are likely to temper the near term recovery in dwelling approvals. While detached housing momentum has improved, volatility in unit approvals and broader affordability constraints suggest the recovery is likely to remain uneven.

Building approvals – March 2026

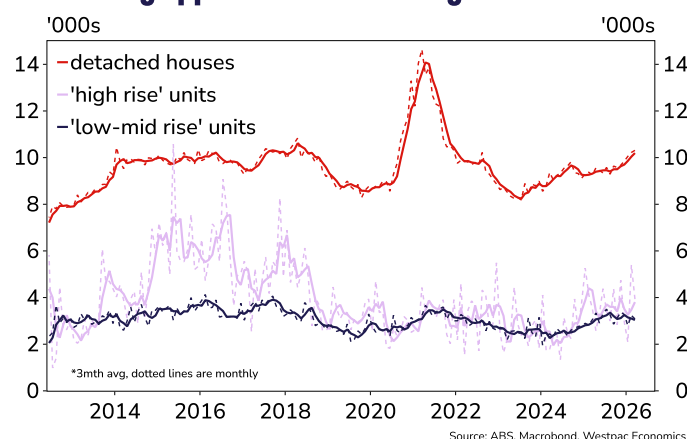
3mth avg	3mth %chg*			%yr	
	latest	Feb	Mar	Feb	Mar
Private houses	10,070	4.6	5.3	8.7	10.0
Private units	6,686	-12.5	-2.8	-9.8	-6.8
Public dwellings	379	-23.3	9.9	7.4	26.2
Total dwellings	17,135	-3.4	2.1	0.7	3.1
Total dwellings, mthly*	17,300	31.0	-10.5	16.1	9.0
– units in 'high rise'^	3,686	-17.9	0.8	-21.2	-12.0
– units in 'low rise'^	3,040	-1.3	-5.9	10.0	3.0
Renovations, \$bn	1.324	6.4	5.8	10.7	13.4
Non-res., \$bn	7.402	8.4	1.6	29.4	34.2

*figures for 'total dwellings mthly' are monthly and mthly%ch, all others are rolling 3mth avg and 3mth%ch; ^all sectors, Westpac estimates
Sources: ABS, Westpac Economics

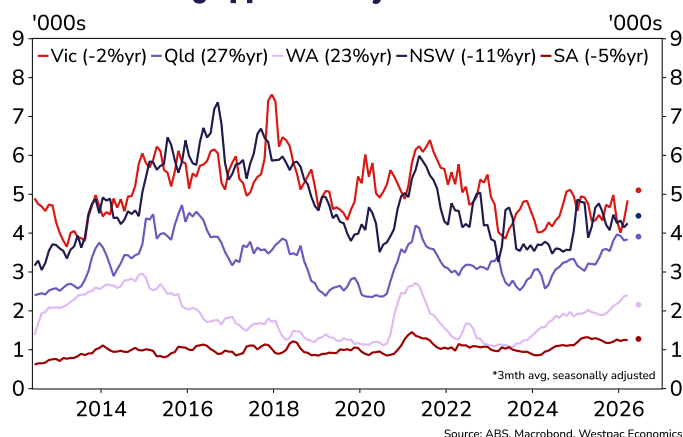
Dwelling approvals: major segment



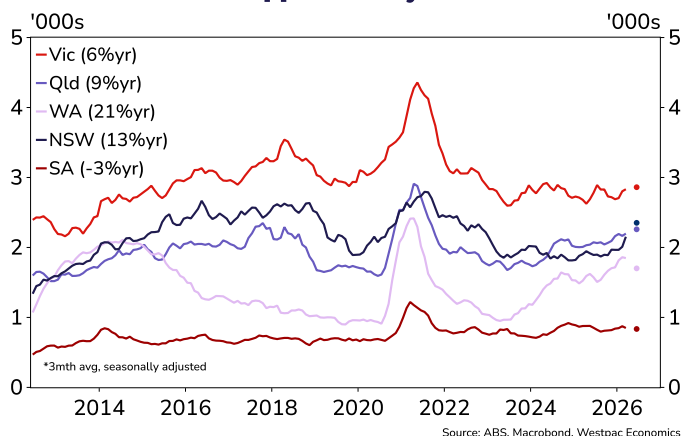
Dwelling approvals: detailed segment



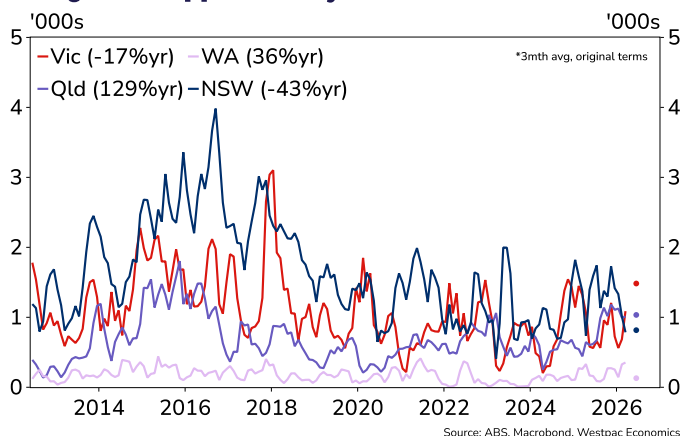
Total dwelling approvals: by state



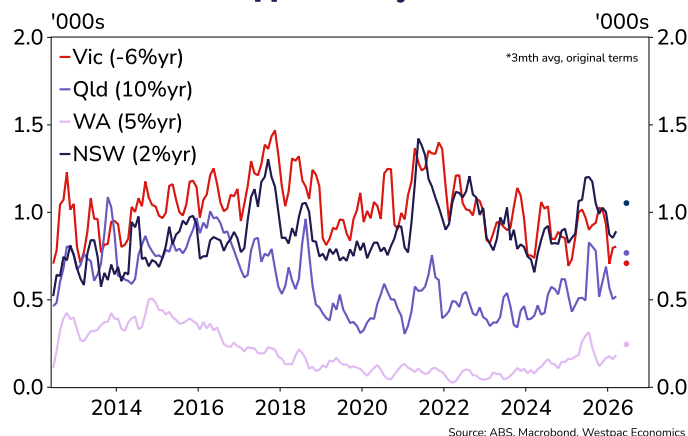
Detached house approvals: by state



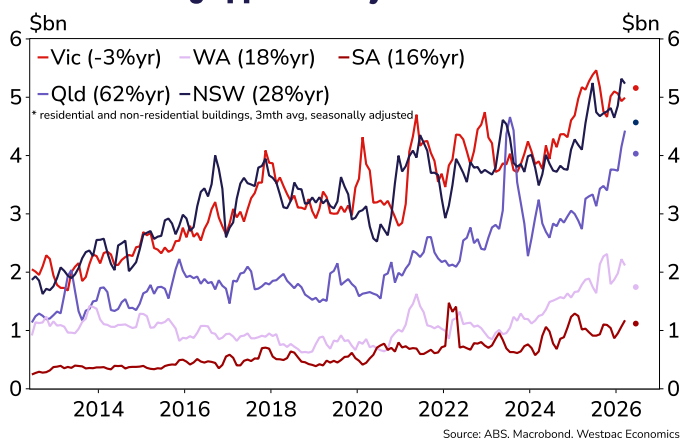
'High rise' approvals: by state



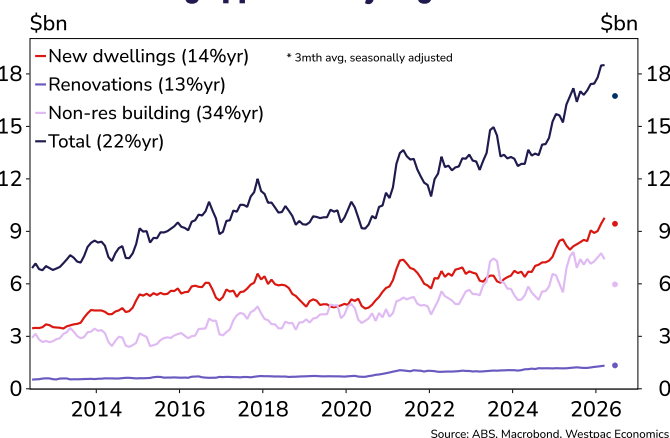
'Low-mid rise' approvals: by state



Total building approvals: by state



Total building approvals: by segment





Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au



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Australian dwelling prices: price growth slows across all capital cities

#housing

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By [Luka Belobrajdic](#)
Economist, Westpac

14:55 May 01 2026

Share

March Cotality home value index: +0.2%mth; +9.1%yr



Read full report **'Australian dwelling prices March' (PDF 440KB)**

The Cotality home value index rose 0.2% in April - the weakest monthly outcome since January 2025 -

following revised gains of 0.4%*mth* in March and 0.5%*mth* in February. Annual growth eased to 9.1%*yr*.

The April update points to early signs of weakness linked to tighter monetary policy and a more uncertain global backdrop.

The slowdown remains most pronounced in Sydney and Melbourne, where price declines have persisted and turnover has fallen sharply. In contrast, price growth across other capital cities has eased only modestly and remains robust.

With further interest rate increases expected over coming months, alongside heightened global uncertainty, additional headwinds are likely, and the risk of a further deceleration in dwelling price growth has increased.

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ECONOMIC BULLETIN

Preview of Q1 labour market surveys:
6 May, 10:45am.



29 Apr 2026 | **Michael Gordon**, Senior Economist | +64 9 336 5670 | michael.gordon@westpac.co.nz

Steady for now

- We expect the unemployment rate to hold steady at 5.4% for the March quarter.
- Higher-frequency indicators have pointed to a modest lift in jobs in recent months, though not outpacing the growth in the working-age population.
- While we expect to see a small downward correction in the HLFS employment measure, this doesn't alter the general picture.
- Wage growth is likely to have remained subdued, given the existing slack in the labour market.
- Our forecasts are a little softer than what the RBNZ expected in its February statement. However, the fast-moving developments in the Middle East mean that the RBNZ's forward view on the labour market will likely have shifted since then.

	Q4 actual	Q1 forecast	
	Quarter	Westpac	RBNZ
Household Labour Force Survey			
Unemployment rate	5.4	5.4	5.3
Employment growth	0.5	-0.1	0.4
Participation rate	70.5	70.3	70.5
Labour Cost Index			
All sectors, ordinary time	0.4	0.5	-
Private sector, ordinary time	0.5	0.4	0.4

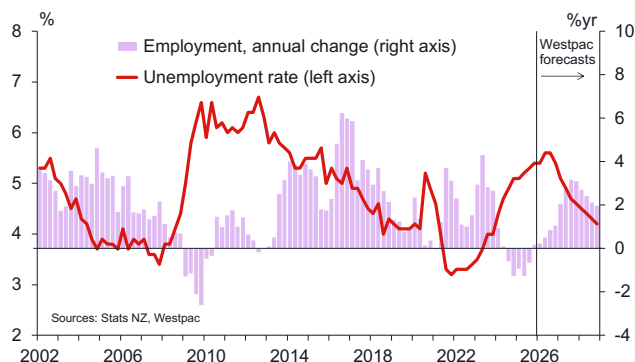
We expect next Wednesday's labour market surveys to show a steady in the jobs market over the March quarter. There's a growing range of evidence that the economy was starting to find its footing again in the early part of this year, at least up until the Iran conflict. But with the labour market tending to lag the broader economic cycle, we should expect jobs growth and wage demands to remain muted at this stage.

We're forecasting the unemployment rate to hold steady at 5.4% for the March quarter. We do expect a small drop in employment and participation this time, reversing a surprising jump in the previous quarter, but we're less wedded to that part of the forecast; the unemployment rate is the key variable to watch. We expect wage growth to continue running at about 2% annualised, reflecting the degree of slack in the jobs market and the moderation in inflation in recent years.

Our picks are a little softer than the Reserve Bank's February *Monetary Policy Statement* forecasts, which assumed faster jobs growth and a decline in the unemployment rate by this point. At the margin, a result in line with our forecasts would strengthen the case for caution before lifting the OCR. But the bigger issue for the RBNZ will be what has happened since the *MPS*: the Middle East oil shock will hinder the economic recovery,

potentially leading to delays in hiring, layoffs and business failures. We've moved away from our pre-conflict view that 5.4% would mark the peak in the unemployment rate for this cycle.

Employment growth and unemployment rate



Details.

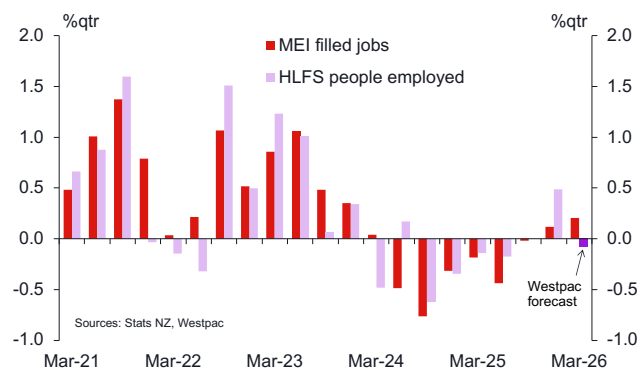
A range of indicators have pointed to the labour market stabilising in recent months:

- The Westpac-McDermott Miller Employment Confidence Index improved in the March quarter.
- Jobseeker benefit recipients were broadly stable in seasonally adjusted terms.
- Job advertisements have been ticking up and are around 10% higher than a year ago, although they remain well below their pre-Covid levels.

The best evidence comes from the Monthly Employment Indicator (MEI), which is drawn from income tax data and provides a comprehensive record of the number of jobs. There are some conceptual differences between the MEI and the quarterly HLFS, but in most cases any gap between the two is likely to reflect sampling error.

The MEI on its own suggests around a 0.2% rise in employment over the March quarter, which would be about in line with the growth in the working-age population. However, we're expecting to see a small dip in employment in the HLFS, accompanied by a drop in the participation rate. The reason is that the December quarter HLFS showed a surprisingly strong 0.5% rise in employment and a lift in participation, even as the unemployment rate also rose. Looking closer, most of the surprise was driven by a sharp rise in employment among the under-25s, which wasn't apparent in the MEI. We suspect that the HLFS captured an unusually large number of students who were working during the summer holidays, which should then return to normal as the new academic year begins. We generally recommend focusing on the unemployment rate as the key metric from the HLFS, as it's less vulnerable to sampling errors.

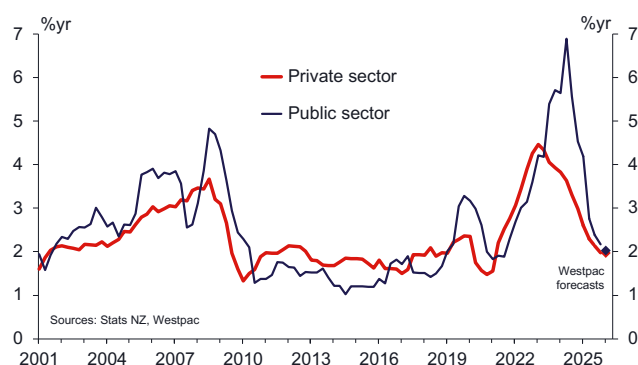
Quarterly employment change



While cost-of-living pressures are rearing up again as a concern for households, the existing degree of slack in the labour market means there's little room to negotiate larger pay increases. Business surveys have suggested that skilled workers are getting harder to find again, which may reflect the more subdued net migration trends in recent times. But unlike in the post-Covid boom, there's little evidence that employers have been willing to bid up to attract or retain workers.

We expect a 0.5% rise in the Labour Cost Index (LCI) for the March quarter, leaving annual growth at around 2%. Our forecast for private sector wage growth is slightly more subdued at 0.4%, in line with the RBNZ's forecast. The public sector tends to see larger pay increases in March quarters – we've pencilled in a 0.8% rise, though this would still see it slowing from 2.2% to 2.0% on an annual basis.

Labour Cost Index wage growth forecasts



The fast-moving developments in the Middle East mean that the labour market surveys will already be somewhat dated on their release. We'll be looking to higher-frequency data in the coming months, such as the MEI (and the weekly snapshots provided by Stats NZ) to gauge whether the conflict is affecting firms' hiring decisions. Unfortunately there's no equivalent high-frequency data on wages; while workers would no doubt like to see cost-of-living adjustments, it may be difficult to secure them in the current environment.

Contact

Westpac Economics Team | westpac.co.nz/economics | economics@westpac.co.nz



Connect with us

Kelly Eckhold, Chief Economist | +64 9 348 9382 | +64 21 786 758 | kelly.eckhold@westpac.co.nz

Satish Ranchhod, Senior Economist | +64 9 336 5668 | +64 21 710 852 | satish.ranchhod@westpac.co.nz

Darren Gibbs, Senior Economist | +64 9 367 3368 | +64 21 794 292 | darren.gibbs@westpac.co.nz

Michael Gordon, Senior Economist | +64 9 336 5670 | +64 21 749 506 | michael.gordon@westpac.co.nz

Paul Clark, Industry Economist | +64 9 336 5656 | +64 21 713 704 | paul.clark@westpac.co.nz

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Westpac Card Tracker, 6 May 2026

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By [Matthew Hassan](#)
Head of Australian Macro-Forecasting, Westpac

18:35 May 06 2026

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Card activity points to stalling growth in discretionary spend



Read full report  'Westpac Card Tracker, 6 May 2026' (PDF 609KB)

The **Westpac-DataX Card Tracker Index*** continues to show a complex mix of factors affecting activity

week to week but with clearer signs of a slowing in discretionary categories starting to emerge. The Index rose 2.1pts over the two weeks to April 25, reversing a similar-sized decline around the start of the month. Some of the variation looks to be due to residual holiday-related softness around Easter. Quarterly growth momentum remains subdued, holding around a 1% pace as at late April, down a touch on the 1.2% gain in Q1 and materially slower than the 2% average over the previous three quarters. Notably, non-fuel spend is tracking a more subdued 0.5%qtr pace.

Monthly growth continues to track a more volatile path, much of which reflects big swings in fuel prices, spiking in March but with a significant fall in April as the excise tax cut came into effect and a pull-forward in demand subsided. The latest week is tracking a sizeable 1% decline on a monthly basis. Notably, non fuel card activity is also tracking a weak monthly pace, down 0.7%. Some of the latter may be due to the aforementioned residual holiday-related softness.

The category detail provides a somewhat clearer picture that suggests we are seeing an underlying shift in spending momentum. While there is considerable noise coming from both fuel and electricity related activity, discretionary categories, and especially discretionary services, are showing a more pronounced slowdown with data over the last six weeks suggesting this has tipped over into outright contraction.

Six weeks does not quite qualify as a decisive signal for the card data, the 'gold' standard we use being 12 week or quarterly growth rates. The added volatility from holidays and sharp changes in fuel-related activity also means weekly and monthly patterns need to be interpreted carefully. That said, a shift from softening growth to outright contraction in discretionary spend would be consistent with the signs of a deepening 'cost of living' shock to consumers evident in other measures such as consumer sentiment.

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Week beginning 4 May 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: RBA May hike locked in.

The Week That Was: Policy perspectives from across the globe.

Focus on New Zealand: RBNZ's Breman says core inflation stable.

For the week ahead:

Australia: RBA policy decision, household spending indicator, dwelling approvals, goods trade balance.

New Zealand: RBNZ financial stability report, unemployment rate, employment, LCI wage inflation.

Japan: S&P Global services PMI.

China: RatingDog Services PMI.

Euro area: PPI, retail sales, Sentix investor confidence, S&P Global manufacturing PMI.

United States: Unemployment rate, average hourly earnings, trade balance, ADP employment change.

World: S&P Global Services PMI.

Information contained in this report current as at 1 May 2026.

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RBA May hike locked in



Luci Ellis
Chief Economist, Westpac Group

We reaffirm our expectation that the RBA Monetary Policy Board (MPB) will raise the cash rate a further 25bps at its May meeting, to 4.35%. Inflation was higher than the MPB was comfortable with prior to the Middle East conflict, spurring it to lift the cash rate in both February and March. The RBA doubled down on its views that the economy was tighter than full employment and needed to be restrained to get inflation back under control.

Those rate hikes were based on data relating to the period before the war. While petrol prices have since reversed much of the 32.8% increase recorded in March, part of this was driven by the cut to excise, due to expire in a few months. Diesel prices – and thus freight costs – remain very elevated. The RBA could look through higher fuel prices if that was all that was happening, but it is not. Pass-through to other (non-fuel) prices is clearly starting, touching everything from building products to takeaway food if the reports we are receiving are any guide. The RBA will be hearing similar stories from firms in its liaison program.

March would have been very early days for much pass-through to be evident in the CPI. For example, many of the price increases for building products we are aware of did not take effect until 1 April. Today's CPI data nonetheless show scattered signs of pass-through to other prices. There were some promising signs in softer monthly prices of appliances and some other household goods. However, home-building and vehicle repair costs, along with downstream insurance inflation, all picked up in the month and quarter. Services related to audio-visual, computing and telecommunications also increased in the month, which for telecommunications went against the run of recent months' results.

This is occurring in the context of a starting point where non-tradables and services inflation are already too high. At 0.8%qtr, the RBA's preferred quarterly trimmed mean measure of inflation is still too high for the RBA to walk past, even though it was a touch lower than our pre-release expectation, a downside risk we had flagged.

Together with the spike in both consumer inflation expectations and business survey measures of costs and prices, the March inflation data will have the RBA's inflation warning lights flashing bright red. The MPB will see an imperative to address high inflation despite the caution expressed by the minority voters in March.

Some observers point to the demand-destruction higher fuel prices can unleash via the hit to real incomes, which will

dampen inflation on its own eventually. This is plausible, but it will take too long to assuage an RBA facing an extended period of above-target inflation.

Indeed, based on its communication so far, especially the March minutes, the MPB puts little weight on that argument. The minutes characterised the supply shock as 'further exacerbating existing capacity pressures', and the future demand destruction as just a possibility. This view flows from the RBA's analysis that the economy is already too tight, as inferred from inflation already being above target. It is also taking signal from the income boost from higher LNG prices, but no disinflationary signal from exchange rate appreciation beyond what is already implied by the RBA's own actions on rates.

“We reaffirm our view that the RBA will raise the cash rate 25bps to 4.35% next week.”

We also consider significant what the RBA has not communicated in recent weeks. When markets began pricing in multiple policy rate hikes by the ECB, Bank of England and Bank of Canada, senior officials at those central banks pushed back. Indeed, BoE Governor Bailey stated in an interview with Reuters that “markets had gotten ahead of themselves”. ECB President Lagarde used a speech on 25 March to highlight that the current shock was likely to be less inflationary than the energy shock in 2022 when Russia invaded Ukraine at a time that other supply chains were still recovering from pandemic disruption. The RBA has not pushed back in the same way. In addition to the higher starting point for inflation here, part of the reason seems to be that Australia is already seeing the pass-through to other prices that other central banks are still at the stage of watching for.

All this adds up to the MPB wanting to tighten policy further. The refreshed forecast in the Statement on Monetary Policy will allow the RBA to set out its views of the inflation impulse from the war, making May a good opportunity to take, and explain, the next step.

The outlook for the cash rate beyond May is necessarily less certain. We hold to our base case that there will be two further rate hikes after May, in June and August. The RBA's experience last year, when underlying inflation popped back up almost immediately after it cut rates, will have nudged some within the RBA to the idea that the cash rate needs to be higher than

its previous peak to really get inflation under control (for the technically-minded, their individual estimates of the neutral rate got revised up). While outwardly the RBA continues to characterise its strategy as being willing to be a bit less activist to hold onto the post-pandemic employment gains, most of the original architects of that strategy have left the building and those inclined to be more activist will have more influence.

There is a chance that the RBA ends up doing less than our base case, if the voices on the MPB that counselled caution in March can sway other members, or if pass-through to non-fuel prices turns out to be less than current information suggests. However, we put less weight on this scenario given the starting point for domestically driven inflation.

Cliff Notes: policy perspectives from across the globe

Elliot Clarke, Head of International Economics
Illiana Jain, Economist

In Australia, the [Q1 CPI](#) report provided the first official estimate of the impact on local prices of the Middle East conflict. Headline inflation accelerated sharply to 1.4% (4.1%yr) in Q1 on the back of a 33% surge in auto fuel prices in March alone. Fortunately, a large portion of this spike has since unwound following the fuel excise cut, although fuel prices remain materially above the pre-conflict level.

While there were some signs of price pressures across home-building, vehicle repair and insurance, it is too early to detect, let alone accurately assess, evidence of pass-through. That said, underlying trimmed mean inflation still rose 0.8% in Q1, with annual growth at 3.5%yr, a full percentage point above the mid-point of the target. Notably, March's data pre-dates the wide range of price increases reported anecdotally for building products and other items which came into effect in April.

Following the CPI release, [Chief Economist Luci Ellis](#) reaffirmed our call for the RBA to increase the cash rate by 25bps to 4.35% at the May policy meeting. The combination of an elevated starting point for inflation and imminent risk of pass-through will compel the RBA to act pre-emptively to contain inflation expectations. Next week's voting split, updated staff forecasts and the tone of communications will be informative on the baseline policy outlook and risks. For now, we retain our base case of another two hikes beyond May, in June and August, taking the cash rate to a peak of 4.85%.

The combination of higher inflation, slower growth and rising unemployment is also fostering a complex macroeconomic backdrop for the 2026/27 Federal Budget, due May 12. A full preview will be published next week, but our [preliminary note](#) sets out our central expectation that commodity price windfalls are likely to more than offset spending pressures and result in a net improvement in the budget's bottom line over the forward estimates.

Offshore, at the beginning of the week the Bank of Japan held its policy rate at 0.75% in a 6-3 vote. Updated forecasts highlight the risk of stagflation, with FY26 growth revised sharply lower to 0.5% (from 1.5%) and core inflation now expected to remain above 2% through to FY28. With Japanese firms increasingly willing to pass on costs, the Middle East conflict risks amplifying domestic inflationary pressures.

The BoJ remains focused on restoring the policy rate as an effective policy lever. Further hikes were signalled, but the timing left open. With policy settings still considered accommodative and a weak yen threatening import inflation, we anticipate the next hike to occur in June, though there is a risk it is delayed to July. The Financial Statements Statistics

update due on 1 June will be an important release to gauge firms' response to the crisis and the implications for both inflation and activity.

In the US, [the FOMC](#) then kept the stance of policy unchanged at its April meeting. The tone of the statement was balanced, with a sanguine view on GDP growth and the labour market and inflation simply characterised as "elevated". The statement also noted that "the Committee is attentive to the risks to both sides of its dual mandate", while Chair Powell remarked in the press conference that, in his view, policy is in a good place to take time to monitor conditions, being at the "high end of neutral, perhaps mildly restrictive". Governors Hammack, Kashkari and Logan also showed greater concern over inflation than the labour market at this meeting, wanting to maintain the target range for the federal funds rate and signal that a hike was as likely as a cut on current information.

The Bank of Canada also kept its policy stance unchanged. The conflict in the Middle East and US trade policy were called out as sources of uncertainty for the global economy. But overall, the outlook for Canada's economy was viewed as little changed from January. Assuming a protracted resolution to the Middle East conflict into 2027, GDP growth is expected to strengthen through 2027-2028 and inflation to turn back towards the 2%yr target from 3%yr in the near term, allowing the Bank of Canada to remain on hold.

"The initial consequences of the Middle East conflict for Australian consumer inflation were seen."

Thereafter in Europe, the ECB Governing Council opted to maintain its current policy stance. The ECB acknowledged that "upside risks to inflation and downside risks to growth have intensified" and the merits of a rate hike were discussed, but developments to date were not sufficient to convince the Governing Council to take immediate action – the decision to hold was unanimous. At its previous meeting in March, the ECB presented two downside scenarios alongside its baseline. In the April press conference, President Lagarde was reluctant to discuss the details of those scenarios, noting simply that conditions are diverging from March's baseline and the upcoming six weeks "will be the right time" to assess the economy "in order to make an informed decision". Her comments appeared carefully chosen to signal openness to a rate increase in June. Therefore, barring any major changes

in the dynamics of the Middle East conflict, we continue to believe that a 25bp policy rate hike is the most probable outcome at the next meeting.

The Bank of England's April meeting also unfolded broadly as expected, the MPC voting 8-1 to keep the policy rate at 3.75%. Chief Economist Hew Pill was the sole dissenter, preferring "a prompt but modest hike in Bank Rate" to contain the risk of second-round inflationary effects. The policy statement maintained a hawkish bias, however, emphasising the potential impact of the energy price shock – its scale and duration – on UK inflation and the committee's readiness to act to ensure inflation returns to the 2% target. Policy makers also showed concern over economic growth and the labour market, with slack increasing prior to the conflict.

Risks to the economic outlook were illustrated using three alternative scenarios, differentiated by oil and gas price assumptions and the persistence of second-round inflation effects. In the first two scenarios, the Brent oil price averages \$108 in Q2 2026 then decreases at different speeds. Both scenarios showed headline inflation peaking above 3.5%yr this year before easing in 2027. Importantly, the Governor emphasised that, if the economy evolves in line with these scenarios, further policy tightening may not be required – the removal of the circa 50bp of easing priced before the conflict potentially sufficient to bring inflation back to the 2% target. The committee judged that the most severe scenario – where Brent averages \$127 this quarter and remains above \$100 well into 2028 – would likely require "a forceful tightening in monetary policy", however. The Governor declined to specify what interest rate changes this would entail, but noted the need to act quickly to minimise second-round effects. Bank Rate hikes this year are therefore not guaranteed, but with Brent Oil surging as much as 20% this week to a peak around USD126 (now USD114) as the US and Iran remained at an impasse, conditions may eventually become too close to the BoE's most severe scenario for the MPC to ignore. We continue to expect a Bank Rate hike at the next policy meeting in June, with further tightening possible, but dependent on evolving circumstances.

RBNZ's Breman says core inflation stable



Darren Gibbs
Senior Economist

The domestic focus during this past holiday-shortened week has remained on gathering up-to-date information on how the New Zealand economy is being impacted by the ongoing Middle East conflict and assessing the RBNZ's likely response.

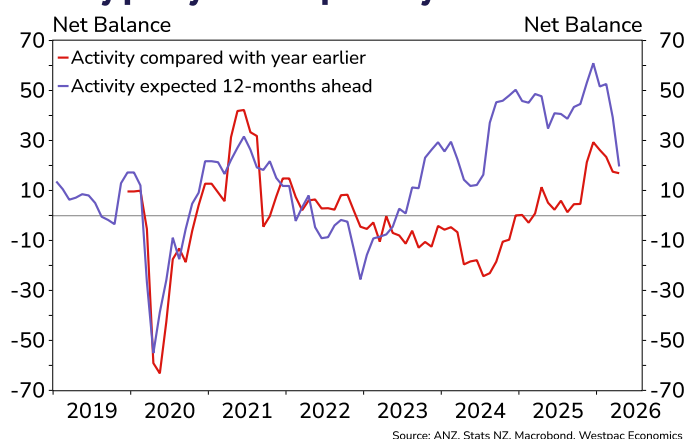
Early in the week, RBNZ Governor Breman participated in an event in Hamilton as part of her regional engagement programme. While there were no formal speech notes, the RBNZ issued a press statement outlining the points that she planned to make during a panel discussion, while audio from the session was also made available. In our view, Breman's comments were consistent with those made at the 8 April OCR review. Specifically, Breman stated that "...the Reserve Bank remains focused on balancing inflation control with supporting economic recovery." And she reiterated that "...monetary policy can and should ensure that a temporary increase in inflation does not turn into enduring inflationary pressures."

Perhaps the main news was Breman's reflection on last week's Q1 CPI report. She noted that annual inflation of 3.1% was slightly higher than expected at the time of the April OCR Review. But importantly, she added that "...measures of core inflation, which look through this volatility, have remained stable within the target band." She also emphasised that the Bank was focused on the prospect of second-round inflation effects, specifically transmitted through the labour market, rather than the first-round impact of higher fuel prices. These comments suggest that the RBNZ will take the time necessary to fully understand the nature and implications of the conflict before deciding how it should respond. Breman's comments were the initial catalyst for the repricing of prospects of a rate hike at the RBNZ's 27 May meeting, which the market now views as around 25% (down from 60% at the beginning of the week). Confidence reports released later in the week – discussed below – have contributed to that repricing. For the record, Westpac continues to forecast a first lift in the OCR in September.

Staying with the RBNZ, it was announced this week that the Minister of Finance and the Bank's Monetary Policy Committee (MPC) have [agreed changes to the MPC Charter](#). These changes will provide more transparency and accountability to MPC decision-making. They also are a subset of [the reforms we recommended](#) in a note published last year before the new Governor took up her role. While the new Charter continues to encourage the formation of a consensus decision, it requires that the votes of individual members be attributed when a vote takes place. As well as attributing votes, material differences of view or judgement within the Committee

will also be attributed in the published Record of Meeting, even when no vote is taken. This will make it easier for MPC members to publicly express differing views on the economic outlook and monetary policy strategy (indeed, it makes clear that members are encouraged to communicate those views externally). The new Charter will be in place for the RBNZ's 27 May meeting so will help elucidate any differences in view amongst the MPC. These reforms are a welcome step in the right direction in our view. Although just how effective the changes will be is still to be assessed in light of just how frequent votes are and the threshold applied when determining if an alternative view is specifically recorded.

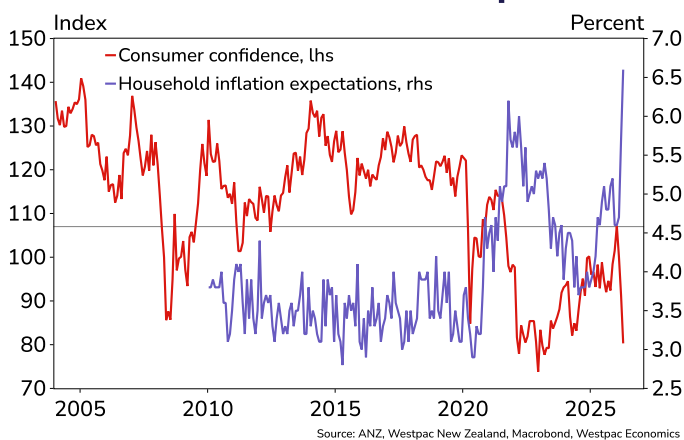
Activity past year vs expected year ahead



On the data front, the focus was the ANZ's Business Outlook Survey for April. Overall, the broad theme of the survey was much as should have been expected based on the late responses to last month's survey and the results of last week's QSBO business survey. Headline business confidence has taken a significant knock, with net optimism declining to -10.6 from 32.5 in April – the first negative reading since 2023. Encouragingly, firms remain more optimistic about their own situation, although the proportion of firms expecting their own trading activity to increase over the next year has halved to 19.6. A similar proportion continue to report an increase in activity levels over the past year, suggesting that demand is holding up for many firms. Uncertainty is curbing firms' willingness to invest in expanding their businesses, however, with net hiring intentions turning modestly negative in April and net investment intentions sliding to barely positive levels. Overall, this survey portrays the picture we expected to see a few weeks ago when we significantly downgraded our view on growth through mid-2026.

Predictably, firms' year-ahead inflation expectation increased to 3.81% from 3.08% previously, even as the net proportion of firms reporting an intention to raise prices fell modestly from March. Firms reported a sharply higher expected increase in their costs over the next three months, whereas expected price increases were little changed from last month's survey. This points to significant pressure on firms' profit margins. Perhaps as a response, firms forecast for year-ahead wage growth fell to just 2.5% - now close to last year's low. The latter is likely to be viewed somewhat encouragingly by the RBNZ given its concern that high near-term headline CPI inflation rate could morph into second-round inflation by driving a wage-price spiral (albeit the current slack in the economy).

Consumer confidence and inflation expectations



Turning to the rest of this week's data, the ANZ's consumer confidence index slumped a further 12% to a three-year low of 80.3 in April. This reading is in line with the responses that had been collected in the final week of the March survey, suggesting that confidence may have been broadly stable over the past month. The net proportion of households thinking it's a good time to buy a major household item (the best retail indicator) fell 11ppts to -25, which is the lowest level since September 2024. This appears consistent with some recent anecdotes from the retail sector. Household's two-year ahead inflation jumped 0.9ppts to 6.6%, thus exceeding the levels reached even during the Covid spike.

The final piece of data this week was the building consents report for March. The number of dwelling consents fell a modest 1.3% during the month but were still 8.2% higher than a year earlier. Given that most of the consents issued in March were likely filed in February, it will be another month or two before any impact from the Middle East conflict becomes evident in the building consents figures.

One piece of good news this week was the Government's announcement that it had reached an agreement with one of the largest fuel companies to supply 90m litres of diesel – equivalent to nine days of regular demand – to fill the additional storage space that will become available towards the end of June. This will increase the average level of diesel in

the country at any given time by about a third, adding a small but welcome degree of resilience.

Looking ahead to next week, the focus domestically will be on the March quarter labour market surveys. While these surveys will give no insight about the emerging impact of the Middle East conflict, they will still provide important information on the degree of spare capacity and labour cost pressure prior to the oil price shock.

As my colleague Michael Gordon wrote in his preview, [we expect that the unemployment rate likely remained stable at 5.4%](#) during the March quarter. While the tax-based Monthly Employment Indicator (MEI) points to a modest lift in employment in the quarter – broadly in line with growth in the working age population – we expect the Household Labour Force Survey (HLFS) of measure of employment will post a 0.1%q/q decline. This simply reflects our sense that the 0.5%q/q increase in the HLFS measure in the December quarter was likely overstated, with the MEI failing to validate the HLFS's indication of a sharp rise in employment among the under-25s during that quarter. With the labour force participation rate in the December quarter likely similarly overstated, we expect a modest decline in participation to be recorded in the March quarter.

Turning to labour costs, given the usual lags, spare capacity in the labour market will likely continue to have restrained wage growth in the March quarter. We expect a 0.5%q/q rise in the Labour Cost Index (LCI) for the March quarter, leaving annual growth at around 2%. Our forecast for private sector wage growth is slightly more subdued at 0.4%q/q. The public sector tends to see larger pay increases in March quarters – we've pencilled in a 0.8%q/q rise, though this would still see annual growth slow from 2.2% to 2.0%.

Our picks are a little softer than the RBNZ's February Monetary Policy Statement forecasts, which assumed faster jobs growth and a decline in the unemployment rate by this point. At the margin, a result in line with our forecasts would strengthen the case for caution before lifting the OCR. But the bigger issue for the RBNZ will be what has happened since the MPS: the Middle East oil shock will hinder the economic recovery, potentially leading to delays in hiring, layoffs and business failures. The RBNZ will need to balance what this might mean for medium-term inflation against the risk that high near-term inflation could nonetheless raise medium-term inflation expectations.

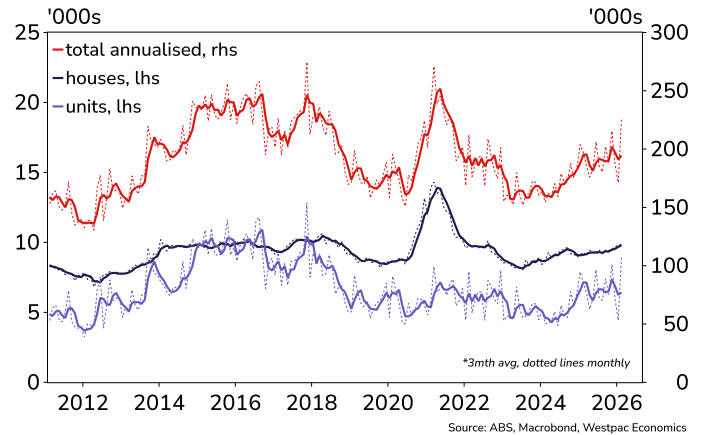
AUS: Mar Dwelling Approvals (%mth)

May 4, Last: 29.7, Westpac f/c: -5.0
Market f/c: -10.0, Range: -29.0 to -4.0

Dwelling approvals rebounded sharply in Feb, up 29.7%*mth* and 14%*yr*. The bounce more than retraced a 20% drop through Dec-Jan that followed a choppy run over the previous four months. The volatility has centred on private unit approvals. Private detached house approvals were broadly flat in Feb but have shown positive underlying momentum since the start of the year.

March is likely to show a move lower, the Feb jump taking high rise approvals to an elevated high level that is unlikely to sustain. Detached house and medium density unit approvals should retain some positive momentum. While the mix is uncertain, a 5% decline in total approvals is plausible. Note that it will take a several months for interest rate rises and other developments to impact dwelling approvals.

Approvals ascent re-emerges



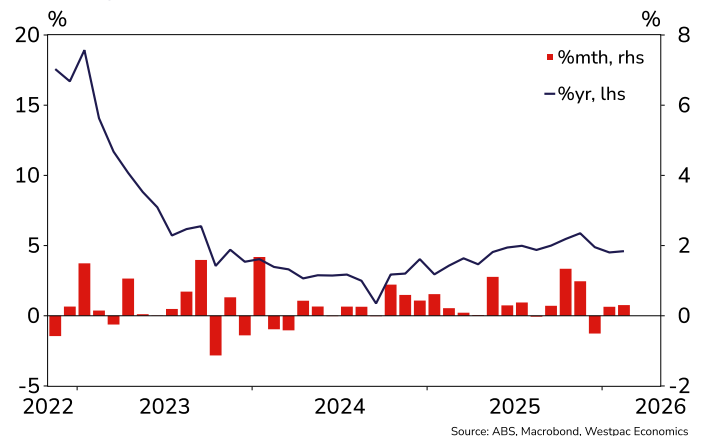
AUS: Mar Household Spending Indicator (%mth)

May 5, Last: 0.3, Westpac f/c: 2.0
Mkt f/c: 1.5, Range: -0.5 to 2.4

The Household Spending Indicator rose 0.3%*mth* in Feb, matching Jan's outcome and in line with its average monthly pace over the past two years. Annual growth edged up to 4.6%*yr*.

March is expected to show a big jump led by a sharp rise in fuel prices and a pull-forward in fuel purchases. Our **Westpac-DataX Card Tracker** suggests the ABS spending indicator is likely to be up around 2% for the month. That would mark the strongest monthly increase since July 2022 and take annual growth to just above 6.5%*yr*. Note that the March report will also include estimates for Q1 household spending in real, inflation-adjusted terms. With nominal spend tracking a 1.1% rise in the quarter and the CPI posting a 1.4% rise, real spending may record a small decline for the quarter.

Monthly household spending indicator



AUS: RBA Policy Decision (%)

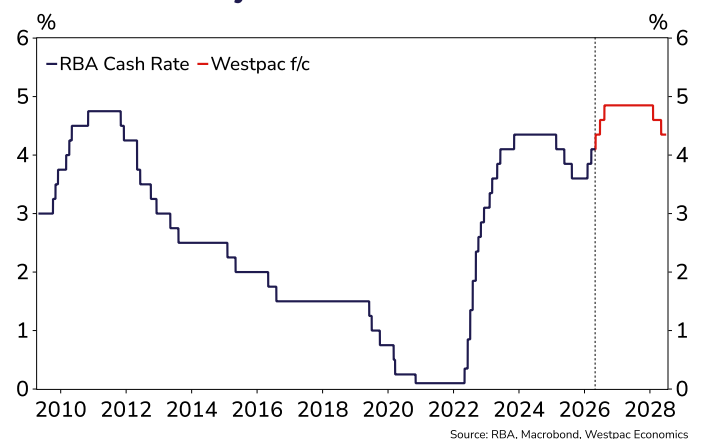
May 5, Last: 4.10, Westpac f/c: 4.35
Market f/c: 4.35, Range: 4.10 to 4.35

Westpac expects the RBA Monetary Policy Board (MPB) will deliver its third consecutive 25bp rate hike at the May meeting, raising the cash rate back to its previous peak of 4.35%.

The Q1 CPI report demonstrated that inflation was higher than the MPB was comfortable with prior to the Middle East conflict. Pass-through of higher fuel costs to other prices throughout the economy is clearly starting. Given the higher starting point and faster pass-through, communications from RBA officials have not pushed back on market's pricing in rate hikes over recent weeks, unlike other central banks.

This round will include a refresh of the staff forecasts which will allow the RBA to set out its views of the inflation impulse from the war. For more detail, see [Page 2](#).

RBA to hike in May



AUS: Mar Goods Trade Balance (\$bn)

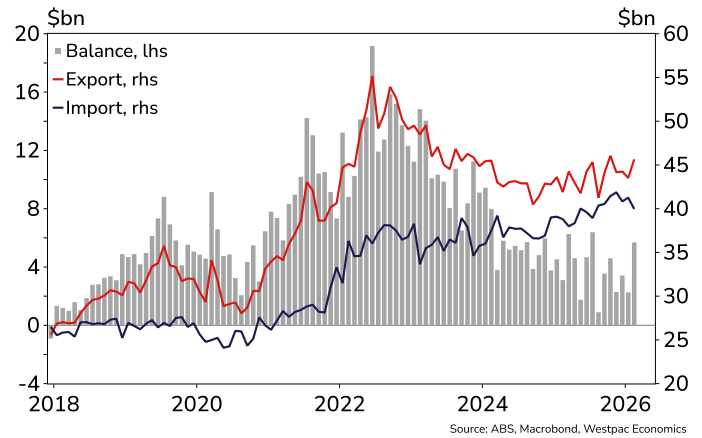
May 7, Last: 5.7, Westpac f/c: 3.9

Mkt f/c: 4.4, Range: 2.0 to 7.5

A combination of an increase in gold exports, along with a rebound in rural goods outflows, led to an almost 5%^{mt} rise in export values in February. Imports fell by more than 3%^{mt}, primarily due to ongoing volatility in key capital goods imports, leaving the goods trade balance at a seven-month high of \$5.7bn.

March is typically a strong month for key commodity exports, but seasonally adjusted data may show lower shipments of the Big 3 commodities. This is despite a significant rise in coal exports, driven by increased demand from Asia. Disruptions from the Middle East conflict could affect Australian imports – although data from ports does not currently indicate a significant impact on oil imports, so we have pencilled in a modest recovery in imports. Overall, we think the headline goods surplus will ease back below \$4bn, a level in line with last year's average.

More volatility in goods trade to be expected



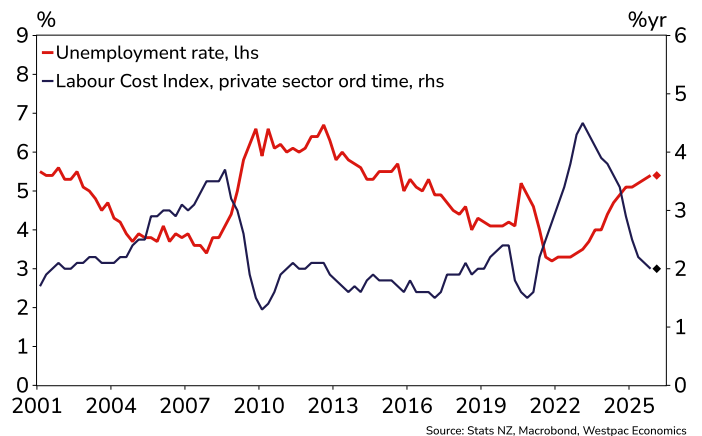
NZ: Q1 Labour Market Surveys (%)

May 6, Unemployment Rate, Last: 5.4, Westpac f/c: 5.4

May 6, LCI Private Sector, Last: 0.5, Westpac f/c: 0.4

We expect the unemployment rate to hold steady at 5.4% for the March quarter. High-frequency indicators have pointed to a modest lift in jobs in recent months, though not outpacing the growth in the working-age population. We do expect to see a small downward correction in the HLFS employment measure, after an overstated 0.5% rise in the December quarter, but this doesn't alter the general picture – we recommend focusing on the unemployment rate, as this is less vulnerable to sampling errors. Given the existing slack in the labour market, wage growth is likely to have remained subdued.

Labour market indicators



US: April employment report

May 8, payrolls, Last: 178k, Mkt f/c: 60k, WBC f/c: 90k

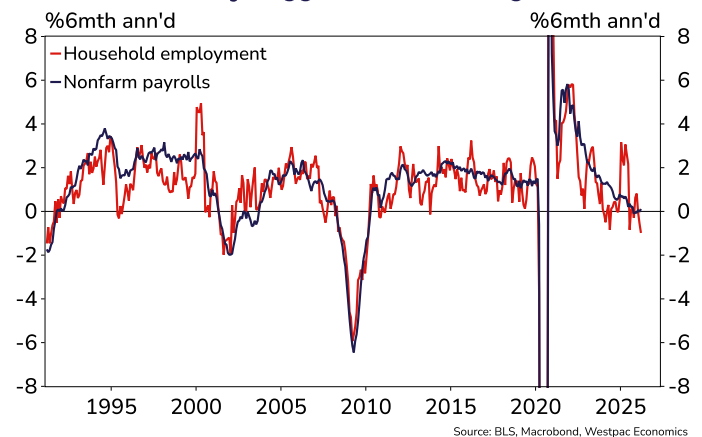
May 8, U/E rate, Last: 4.3%, Mkt f/c: 4.3%, WBC f/c: 4.3%

Nonfarm payrolls rebounded 178k in March, taking the 3-month average to 68k, a material step up from the month-average through the second half of 2025, -8k.

While the unemployment rate is essentially unchanged at 4.3% over the past year, household employment growth has been materially weaker than payrolls. Had the participation rate not declined by around 0.7ppts, the unemployment rate would instead be close to 5.0%.

In April, a robust gain in employment, circa 90k for payrolls, is likely to keep the unemployment rate unchanged, though risks for employment remain skewed to the downside after a weak period for activity growth.

Household survey suggests risks to linger



What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 04							
Aus	Apr	MI Inflation Gauge	%ann	4.3	–	–	Provides a general indication of inflation trends.
	Apr	ANZ–Indeed Job Ads	%mth	–3.1	–	–	Closely watched for early signs of easing labour demand.
	Mar	Dwelling Approvals	%mth	29.7	–10.0	–5.0	Likely to move lower as the rise in unit approvals unwinds.
Eur	Apr	S&P Global Manufacturing PMI	index	52.2	52.2	–	Final estimate.
	May	Sentix Investor Confidence	index	–19.2	–21.0	–	Investors are growing very anxious over Europe's outlook.
US	Mar	Factory Orders	%mth	0.0	0.4	–	Conflict may put some investment plans on the back burner.
		Fedspeak	–	–	–	–	Williams.
Tue 05							
Aus	Mar	Household Spending Indicator	%mth	0.3	1.5	2.0	Expect a large jump led by a sharp rise in fuel prices.
		RBA Policy Decision	%	4.10	4.35	4.35	Inflation's high starting point and signs of swift pass-through ...
		RBA Statement of Monetary Policy	–	–	–	–	... of fuel costs will compell the RBA to respond in May.
NZ	Apr	ANZ Commodity Prices	%mth	4.1	–	–1.0	Dairy and meat prices eased over the month.
US	Mar	Trade Balance	US\$bn	–57.3	–59.7	–	Volatile as companies adapt to tariffs.
	Apr	ISM Services	index	54.0	53.7	–	Services activity currently robust, but outlook is cloudy ...
	Apr	S&P Global Services PMI	index	51.3	–	–	... S&P Global pointing to more downside risks than ISM.
	Mar	New Home Sales	%mth	–17.6	–	–	Sales volumes 43% below peak and near 2022 lows.
	Mar	JOLTS Job Openings	000s	6882	6803	–	Lower openings–to–unemployed points to slackening.
Wed 06							
NZ		RBNZ Financial Stability Report	–	–	–	–	Six–monthly review of financial conditions.
	Q1	Unemployment Rate	%	5.4	5.4	5.4	Signs that the labour market was stabilising in Q1...
	Q1	Employment	%qtr	0.5	0.3	–0.1	...though we expect a downward correction in employment.
	Q1	LCI Wage Inflation (Pvte, Ordinary Time)	%qtr	0.4	0.4	0.4	Wage pressures to remain muted at this stage.
Chn	Apr	RatingDog Services PMI	index	52.1	52.0	–	Materially stronger than official gauges.
Eur	Mar	PPI	%ann	–3.0	1.5	–	Producers have some capacity to absorb upstream pressures.
US	Apr	ADP Employment Change	000s	62	70	–	Noisy and imperfect guide to official payrolls data.
		Fedspeak	–	–	–	–	Musalem, Goolsbee.
World	Apr	S&P Global Services PMI	index	–	–	–	Final estimate for Europe and UK.
Thu 07							
Aus	Mar	Goods Trade Balance	\$bn	5.7	4.4	3.9	Shipments of the 'big 3' commodities may appear lower.
Eur	Mar	Retail Sales	%mth	–0.2	–0.2	–	Risk around real incomes may crimp discretionary spending.
US	Mar	Construction Spending	%mth	–0.3	–	–	Healthy existing inventory of new homes as sales collapse.
	Apr	NY Fed 1–Yr Inflation Expectations	%ann	3.42	–	–	Expectations still well contained at this stage.
	Mar	Consumer Credit	\$bn	9.5	12.5	–	On a firmer trend compared to this time last year.
		Initial Jobless Claims	000s	189	–	–	Still at a very low level versus history.
		Fedspeak	–	–	–	–	Hammack, Williams.
Fri 08							
Jpn	Apr	S&P Global Services PMI	index	51.2	–	–	Final estimate.
US	Apr	Nonfarm Payrolls	000s	178	60	90	March's rebound does little to offset earlier stagnation.
	Apr	Unemployment Rate	%	4.3	4.3	4.3	Closer to 5% on a constant–participation basis, implying ...
	Apr	Average Hourly Earnings	%mth	0.2	0.3	–	... a marked turn in job creation and building downside risks.
	May	Uni. Of Michigan Sentiment	index	49.8	49.3	–	Pointing to a weaker consumer through to mid–year.
		Fedspeak	–	–	–	–	Goolsbee.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (1 May)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.37	4.80	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.71	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.72	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	5.02	5.00	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	63	65	65	60	55	50	40	30	20	15
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.39	4.35	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75
New Zealand										
Cash	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25
90 Day Bill	2.61	2.50	2.95	3.40	3.75	4.00	4.25	4.45	4.45	4.45
2 Year Swap	3.56	3.75	4.05	4.30	4.40	4.40	4.40	4.35	4.30	4.25
10 Year Bond	4.69	4.85	4.95	5.00	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	30	50	55	55	55	55	50	45	40	35

Exchange rate forecasts

	Latest (1 May)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
AUD/USD	0.7191	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5891	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.665
USD/JPY	157.28	158	156	154	152	150	148	146	144	142
EUR/USD	1.1723	1.18	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3591	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.8281	6.80	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.2207	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026		2027				Calendar years			
% change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2025	2026f	2027f	2028f
GDP %qtr	0.5	0.8	0.5	0.2	0.1	0.2	0.3	0.4	–	–	–	–
%yr end	2.1	2.6	2.6	1.9	1.6	1.0	0.9	1.1	2.6	1.0	1.6	2.8
Unemployment rate % *	4.3	4.3	4.2	4.4	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.0	3.4
Headline CPI %qtr	1.3	0.6	1.4	2.0	0.9	0.3	0.4	0.7	–	–	–	–
%yr end	3.2	3.6	4.1	5.4	5.0	4.6	3.6	2.3	3.6	4.6	2.4	2.3
Trimmed Mean CPI %qtr	1.0	0.9	0.8	1.1	1.0	1.0	0.6	0.8	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	3.8	3.5	3.4	4.0	3.0	2.4

* Quarter-average.

New Zealand economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2024	2025	2026f	2027f
GDP %qtr	0.9	0.2	0.8	–0.4	0.5	1.0	1.4	0.8	–	–	–	–
Annual avg change	–0.6	0.2	0.6	1.2	1.3	1.5	1.9	2.4	–0.3	0.2	1.5	3.5
Unemployment rate %	5.3	5.4	5.4	5.6	5.6	5.4	5.1	4.9	5.1	5.4	5.4	4.6
CPI %qtr	1.0	0.6	0.9	1.9	0.9	0.3	0.3	0.1	–	–	–	–
Annual change	3.0	3.1	3.1	4.5	4.4	4.1	3.4	1.5	2.2	3.1	4.1	1.7

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

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Economic Calendar

May 2026



MON	TUE	WED	THU	FRI
				1 AUSTRALIA PPI Q1 prev 0.8% (11:30am) NEW ZEALAND ANZ Consumer Confidence Apr prev 91.3 (8:00am) Building Permits Mar prev 2.7% (8:45am) JAPAN Tokyo CPI Apr y/y exp 1.7% prev 1.4% (9:30am) UNITED KINGDOM Nationwide House Prices Apr exp -0.3% prev 0.9% (4:00pm) UNITED STATES ISM Manufacturing Apr exp 53.1 prev 52.7 (12:00am) GLOBAL S&P Global Manufacturing PMI Apr (F)
4 AUSTRALIA MI Inflation Apr y/y prev 4.3% (11:00am) ANZ-Indeed Job Ads Apr prev -3.1% (11:30am) Dwelling Approvals Mar exp -5.0% prev 29.7% (11:30am) EURO ZONE S&P Global Manufacturing PMI Apr (F) prev 47.4 (6:00pm) Sentix Investor Confidence May prev -19.2 (6:30pm) UNITED STATES Factory Orders Mar exp -0.1% prev 0.0% (12:00am) Durable Goods Orders Mar (F) (12:00am) Fedspeak - Williams (2:50am)	5 AUSTRALIA Household Spending Indicator Mar exp 2.0% prev 0.3% (1:30pm) RBA Policy Decision exp 4.35% prev 4.10% (2:30pm) UNITED STATES Trade Balance Mar exp -\$59.7bn prev -\$57.3bn (10:30pm) S&P Global Services PMI Apr (F) prev 51.3 (11:45pm) ISM Services Apr exp 53.9 prev 54.0 (12:00am) New Home Sales Mar prev -17.6% (12:00am) JOLTS Job Openings Mar exp 6700k prev 6882k (12:00am)	6 CHINA RatingDog Services PMI Apr prev 52.1 (11:45am) EURO ZONE S&P Global Services PMI Apr (F) prev 47.4 (6:00pm) PPI Mar y/y prev -3.0% (7:00pm) NEW ZEALAND Household Labour Force Survey Q1 (8:45am) Employment exp -0.1% prev 0.4% Unemployment Rate exp 5.4% prev 5.4% Priv. Wages Ord. Time exp 0.4% prev 0.5% UNITED KINGDOM S&P Global Services PMI Apr (F) prev 52.0 (6:30pm) UNITED STATES ADP Employment Change Apr prev 62k (10:15pm) Fedspeak - Musalem (11:30pm) Fedspeak - Goolsbee (3:00am)	7 AUSTRALIA Goods Trade Balance Mar exp \$3.9bn prev \$5.7bn (11:30am) CHINA Foreign Reserves Apr prev US\$3342.1bn EURO ZONE Ger. Factory Orders Mar (4:00pm) Retail Sales Mar prev -0.2% (7:00pm) UNITED STATES Construction Spending Mar prev -0.3% (12:00am) NY Fed 1-Yr Inflation Expectations Apr y/y prev 3.42% (1:00am) Fedspeak - Hammack (4:05am) Consumer Credit Mar exp \$12.5bn prev \$9.5bn (5:00am) Fedspeak - Williams (5:30am) GLOBAL ECB & BoE Conference - Various Speakers	8 CHINA Trade Balance Apr prev US\$51.13bn (Sat 9 May) Credit & M2 Data Apr (9-15 May) New Loans ytd prev CNY8600bn M2 Money Supply y/y prev 8.5% EURO ZONE Ger. Industrial Production Mar prev -0.3% (4:00pm) UNITED STATES Employment Report Apr (10:30pm) Nonfarm Payrolls Chg exp 63k prev 178k Unemployment Rate exp 4.3% prev 4.3% Avg Hourly Earnings exp 0.3% prev 0.2% UoM Consumer Sentiment May (P) exp 48.8 prev 49.8 (12:00am) Fedspeak - Goolsbee (9:30am Sat 9 May) GLOBAL ECB & BoE Conference - Various Speakers

Economic Calendar



May 2026

MON	TUE	WED	THU	FRI
11 CHINA CPI Apr y/y prev 1.0% (11:30am) PPI Apr y/y prev 0.5% (11:30am) UNITED STATES Existing Home Sales Apr prev -3.6% (12:00am)	12 AUSTRALIA Westpac-MI Consumer Sentiment May prev 80.1 (10:30am) NAB Business Survey Apr (11:30am) Conditions prev 6 Confidence prev -29 EURO ZONE EU ZEW Expectations May prev -20.4 (7:00pm) JAPAN Household Spending Mar y/y prev -1.8% (9:30am) UNITED STATES NFIB Small Business Optimism Apr prev 95.8 (8:00pm) CPI Apr prev 0.9% (10:30pm) Fedspeak – Goolsbee (3:00am)	13 AUSTRALIA WPI Q1 (11:30am) q/q exp 0.8% prev 0.8% y/y exp 3.3% prev 3.4% Housing Finance Approvals Q1 (11:30am) Total exp prev 9.5% Owner-Occupier prev 10.6% Investor prev 7.9% EURO ZONE GDP Q1 (S) (7:00pm) Industrial Production Mar prev 0.4% (7:00pm) JAPAN Current Account Mar prev ¥3932.7bn (9:50am) NEW ZEALAND RBNZ 2Yr Inflation Expectation Q2 y/y prev 2.37% (1:00pm) UNITED STATES PPI Apr prev 0.5% (10:30pm)	14 AUSTRALIA MI Consumer Inflation Expectations May y/y prev 5.9% (11:00am) NEW ZEALAND Net Migration Mar prev 3970 (8:45am) UNITED KINGDOM GDP Q1 prev 0.1% (4:00pm) UNITED STATES Import Price Index Apr prev 0.8% (10:30pm) Retail Sales Apr prev 1.7% (10:30pm) Business Inventories Mar prev 0.4% (12:00am) Fedspeak – Hammack (3:00am)	15 CHINA Current Account Balance Q1 (P) prev US\$243.8bn NEW ZEALAND BusinessNZ Mfg PMI Apr prev 53.2 (8:30am) Selected Price Indices Apr (8:45am) UNITED STATES NY Empire Manufacturing Index May prev 11 (10:30pm) Industrial Production Apr prev -0.5% (11:15pm)
18 CHINA Activity Data Apr ytd y/y (12:00pm) Retail Sales prev 2.4% Industrial Production prev 6.1% Fixed Asset Investment prev 1.7% NEW ZEALAND Performance Services Index Apr prev 46.0 (8:30am) UNITED KINGDOM Rightmove House Prices May prev 0.8% (9:01am) UNITED STATES NAHB Housing Market Index May prev 34 (12:00am)	19 AUSTRALIA RBA's Hunter – Speech (9:30am) RBA May Meeting Minutes (11:30am) EURO ZONE Trade Balance Mar prev €7.0bn (7:00pm) JAPAN GDP Q1 (P) prev 0.3% (9:50am) Industrial Production Mar (F) prev -0.5% (2:30pm) NEW ZEALAND PPI Q1 prev 0.1% (8:45am) Retail Card Spending Apr prev 0.7% (8:45am) UNITED KINGDOM ILO Unemployment Rate Mar prev 4.9% (4:00pm) UNITED STATES Pending Home Sales Apr prev 1.5% (12:00am) Fedspeak – Paulson (9:00am)	20 AUSTRALIA Westpac-MI Leading Index Apr ann'd prev -0.13% (10:30am) EURO ZONE CPI Apr (F) (7:00pm) UNITED KINGDOM CPI Apr y/y prev 3.3% (4:00pm) UNITED STATES FOMC April Meeting Minutes (4:00am)	21 AUSTRALIA Labour Force Survey Apr (11:30am) Employment Change exp 10k prev 17.9k Unemployment Rate exp 4.3% prev 4.3% Participation Rate exp 66.8% prev 66.8% EURO ZONE EC Consumer Confidence May (P) prev -20.6 (12:00am) JAPAN Core Machinery Orders Mar prev 13.6% (9:50am) NEW ZEALAND Trade Balance Apr prev NZ\$698mn (8:45am) UNITED STATES Philadelphia Fed Manufacturing Index May prev 26.7 (10:30pm) Housing Starts Apr prev 10.8% (10:30pm) Building Permits Apr prev -10.8% (10:30pm) Kansas City Fed Manufacturing Index May prev 10 (1:00am) GLOBAL S&P Global PMIs May (P) Manufacturing Services	22 EURO ZONE Ger. IFO Business Climate Survey May prev 84.4 (6:00pm) JAPAN CPI Apr y/y prev 1.5% (9:30am) NEW ZEALAND Retail Sales Volumes Q1 prev 0.9% (8:45am) UNITED KINGDOM GfK Consumer Sentiment May prev -25 (9:01am) Retail Sales Apr prev 0.7% (4:00pm) UNITED STATES UoM Consumer Sentiment May (F) (12:00am)

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Economic Calendar



May 2026

MON	TUE	WED	THU	FRI
25	26	27	28	29
UNITED STATES Chicago Fed National Activity Index Apr prev -0.2 (10:30pm)	UNITED STATES FHFA House Prices Mar prev 0.0% (11:00pm) S&P CoreLogic CS House Prices Mar prev -0.05% (11:00pm) Conf. Board Consumer Confidence Index May prev 92.8 (12:00am) Dallas Fed Manufacturing Index May prev -2.3 (12:30am)	AUSTRALIA RBA Board Member – Speech (11:00am) CPI Apr (11:30am) Headline m/m exp 1.1% prev 1.1% Headline y/y exp 5.0% prev 4.6% Construction Work Done Q1 exp 0.5% prev -0.1% (11:30am) CHINA Industrial Profits Apr y/y prev 15.8% (11:30am) NEW ZEALAND ANZ Business Confidence May prev -10.6 (10:00am) RBNZ Policy Decision exp 2.25% prev 2.25% (12:00pm) UNITED STATES Richmond Fed Manufacturing Index May prev 3 (12:00am)	AUSTRALIA Private Capital Expenditure Q1 exp 0.3% prev 0.4% (11:30am) EURO ZONE EC Economic Confidence May prev 93.0 (7:00pm) EC Consumer Confidence May (F) (7:00pm) NEW ZEALAND Employment Indicator Apr prev 0.3% (8:45am) UNITED STATES Personal Income Apr (10:30pm) Personal Spending Apr (10:30pm) PCE Deflator Apr (10:30pm) Durable Goods Orders Apr (P) (10:30pm) GDP Q1 (S) (10:30pm) New Home Sales Apr (12:00am)	AUSTRALIA Private Sector Credit Apr prev 0.7% (11:30am) CHINA Manufacturing PMI May (11:30amSun 31 May) Non-manufacturing PMI May (11:30amSun 31 May) EURO ZONE CPI May (10:00pm) JAPAN Tokyo CPI May (9:30am) Jobless Rate Apr (9:30am) Industrial Production Apr (P) (9:50am) NEW ZEALAND ANZ Consumer Confidence May (8:00am) UNITED STATES Wholesale Inventories Apr (P) (10:30pm) Chicago PMI May (11:45pm)

Corporate Directory

Westpac Economics / Australia

Luci Ellis
Chief Economist
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: ecl Clarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Kelly Eckhold
NZ Chief Economist
E: kelly.eckhold@westpac.com.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.com.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.com.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.com.nz

Paul Clark
Industry Economist
E: paul.clark@westpac.com.nz

Westpac Economics / Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au



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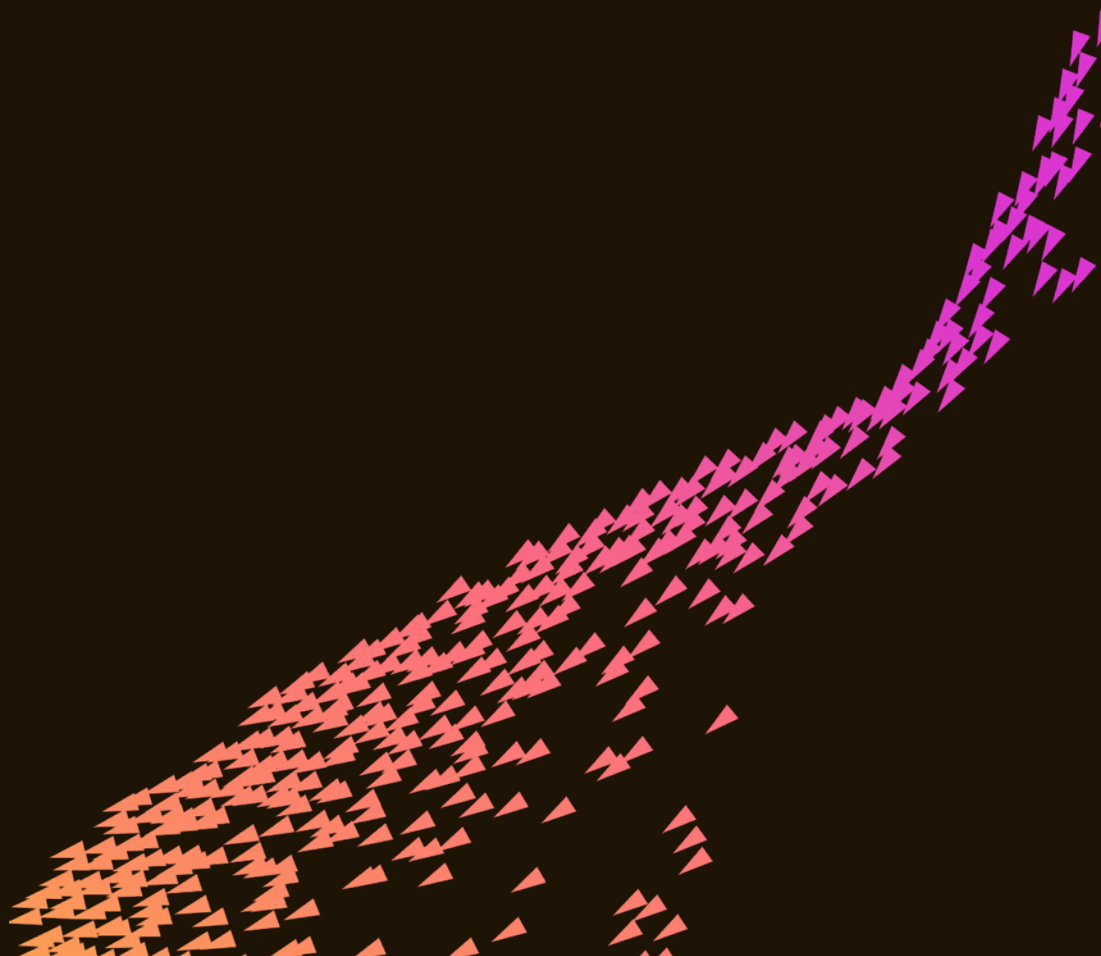
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First Home Buyer Report

May 2026



First Home Buyer Report

Cotality's First Home Buyer (FHB) Report has tracked purchasing activity for several years, analysing the types of properties bought, the prices paid, and broader shifts in entry-level demand. The latest edition updates these measures and extends the analysis to examine FHB activity across different price brackets.

Now in its third edition in partnership with Westpac, the report also draws on the bank's mortgage lending data to provide additional insight into borrower characteristics. That includes the average age of FHB borrowers, a measure not widely available elsewhere, as well as loan-to-value ratios across new mortgages.

For clarity, we define a first home buyer purchase to be where no party involved has owned property in New Zealand before and are using a mortgage to make the deal.

Note:

The Westpac FHB age and LVR data are sourced from their lending records and is not matched to the Cotality database for this report.



First Home Buyer Report

Key findings

- ▲ **FHBs' market share remains high.** In Q1 2026, they accounted for 27.5% of property purchases across NZ, just short of the record high of 28.2% set in the final three months of last year. In a busier overall market, they are buying more properties too.

up from 75% last year, and the highest figure since 2020 (which was 78%).
- ▲ **FHBs have had to pay a little more,** with a median price so far this year of \$720,000, but that's still less than Q1 2022's peak of \$740,000.
- ▲ **For some buyers, the gradual rise in purchasing age over time will reflect affordability pressures,** just as the recent decline is likely linked in part to lower house prices. At the same time, others will have chosen to buy later, placing greater priority on career or family first.
- ▲ **Over the past 12 months, FHBs have purchased around 24,800 properties,** the highest annual total since Q3 2021 (25,650).
- ▲ **FHBs are getting more active across the value spectrum too.** For example, in the middle 40% of the market by value, their share rose from just 21% back in 2015 to almost 29% in 2025, and a little higher still over the first three months of this year.
- ▲ **Access to low deposit finance remains a key support for first home buyers.** Recent Reserve Bank data shows that more than half of FHB loans are done at less than 20% deposit (or above 80% LVR), and **Westpac's lending records show a recent average LVR for FHBs of 81%, up from less than 77% in 2024.**
- ▲ **Looking ahead, although getting onto the property ladder remains challenging, conditions should stay relatively favourable for FHBs.** Mortgage rates have fallen, KiwiSaver access for at least part of the deposit continues to provide support, and LVR speed limits were eased from 1 December.
- ▲ **This strength for FHBs is being seen right across the country,** with market shares running above their own long-term averages since 2005. For example, across the wider Wellington area, FHBs accounted for 37% of activity in Q1 2026, about 8%-points above its average. Hamilton has also been strong, alongside Napier, Gisborne, and 'provincial' areas such as the South Waikato and Waikato Districts.
- ▲ **As other buyer groups, including relocating owner-occupiers, begin to return, FHBs' share of activity may ease from current highs over the next year or two.** However, in a busier market they are still likely to purchase more properties overall, which remains a positive.
- ▲ **This high level of activity hasn't meant too many compromises either.** Standalone houses have comprised nearly 77% of all FHB purchases so far in 2026,



First Home Buyer Report

Commentary from Satish Ranchhod, Westpac NZ Senior Economist

Our latest Cotality-Westpac First Home Buyer Report comes at a turbulent time for the New Zealand economy.

Until recently, the economy looked like it was getting back on firmer footing. That was in part due to the strength in commodity export prices, which has been boosting incomes and confidence in many regions, especially those in the lower South Island.

On top of that, the past year also saw the RBNZ make large cuts to the Official Cash Rate (OCR) which has helped to boost economic conditions right across the country.

Those falls in the OCR have been especially important for the property market. The latter part of 2025 saw fixed term mortgage rates falling to their lowest level in close to four years. And while mortgage rates have risen more recently, they remain well down on the highs that we saw in the wake of the pandemic.

For those looking to get into their first home, lower mortgage rates have made it much easier to get a foot on the property ladder*:

- In most parts of the country (excluding Auckland), minimum mortgage payments are now around \$130/month lower than they were this time last year, and they're a whopping \$820/month lower than they were back in 2024.
- In Auckland, where first home prices tend to be much higher, the fall in mortgage costs has been even larger. Minimum mortgage payments are now around \$180/month lower than they were this time last year, and they're around \$1,100/month lower than they were back in 2024.

(* Calculations based on an average price first home with a 90% mortgage fixed for one year and a term of 20 years.)

With that improvement in affordability, recent months have seen a further lift in the proportion of first home buyers. Furthermore, as highlighted elsewhere in this report, first home buyers are actually getting more bang-for-their buck. There are large numbers of properties available for sale right now. That's meant first home buyers have been able to get into larger or stand-alone homes with only a modest lift in purchase price.

However, the conflict in the Middle East is now casting a long shadow across the New Zealand economy, and there will be important impacts on the housing market.

Oil prices have rocketed higher in recent months, and we're seeing an increasing number of related disruptions to supply chains. As a result, inflation is again rising rapidly, and it's likely to linger well above the RBNZ's target range for an extended period.

Combined with the related increases in uncertainty, those pressures will be a drag on economic activity and employment over the coming months.

This leaves the RBNZ with a particularly challenging balancing act. The RBNZ can't offset the rise in oil prices that's already occurred by hiking the OCR now. However, they also can't ignore the risk that the current oil related rise in cost pressures evolves into a more widespread and protracted lift in inflation. The past few years have shown just how corrosive and long lasting the effects of high inflation can be for the economy, and the RBNZ is loathe to see those sorts of pressures taking hold again.

Earlier interest rate hikes might help limit the risk that we see a more sustained rise in inflation. However, the RBNZ is also very mindful that higher interest rates now would weigh on economic activity at a time when the labour market is already soft.



First Home Buyer Report

This isn't an easy trade-off for the RBNZ. Balancing those concerns, we expect that the RBNZ will begin a series of increases in the Official Cash Rate from September, a little earlier than they previously signalled. We expect the OCR will rise from the current low of 2.25% to 3.50% in early 2027, at which point the OCR will be back around 'neutral' levels from the RBNZ's perspective. After that time, the outlook is cloudier. As a result, we expect that interest rates will continue to rise, but at a more gradual pace.

Expectations for higher inflation both here and abroad is putting upwards pressure on global interest

rates. That has already flown through to mortgage rates here in New Zealand: fixed-term mortgage rates across different terms are now up around 20 to 70 percentage points from the lows that we saw late last year.

Those challenging economic conditions and the likelihood of earlier interest rate hikes are giving first home buyers plenty of food for thought. House price growth is set to remain modest for some time. In fact, we now expect that house prices will fall around 1% over 2026, with a gradual return to more moderate rates of growth further ahead.

Even with the recent rise in mortgage rates, the housing market is still a lot more accessible for first home buyers, with borrowing costs still well down on the levels that we saw in recent years. But with growing upwards pressure on interest rates, it's a good time for prospective first home buyers (or anyone with a re-fix coming up) to think about the best way to structure their borrowing. That could help them to insulate themselves from the likely trend higher in the OCR over the next couple of years and could save them a lot of money over the life of their mortgage.

		Minimum monthly mortgage payments *			Fall in minimum monthly payment	
		One year fixed mortgage rate				
		Apr-24	Apr-25	Apr-26	2026 vs 2024	2026 vs 2025
	Median price	7.67%	5.68%	5.29%		
Northland	\$615,000	\$4,517	\$3,864	\$3,743	-\$774	-\$121
Auckland	\$900,000	\$6,610	\$5,655	\$5,477	-\$1,133	-\$178
Waikato	\$695,000	\$5,105	\$4,367	\$4,229	-\$876	-\$138
Bay of Plenty	\$733,000	\$5,384	\$4,606	\$4,461	-\$923	-\$145
Gisborne	\$600,000	\$4,407	\$3,770	\$3,651	-\$756	-\$119
Hawkes Bay	\$625,250	\$4,592	\$3,929	\$3,805	-\$787	-\$124
Taranaki	\$560,000	\$4,113	\$3,519	\$3,408	-\$705	-\$111
Manawatu-Wanganui	\$524,000	\$3,849	\$3,293	\$3,189	-\$660	-\$104
Wellington	\$730,000	\$5,362	\$4,587	\$4,442	-\$920	-\$145
Tasman	\$712,000	\$5,230	\$4,474	\$4,333	-\$897	-\$141
Nelson	\$629,500	\$4,624	\$3,956	\$3,831	-\$793	-\$125
Marlborough	\$585,000	\$4,297	\$3,676	\$3,560	-\$737	-\$116
West Coast	\$407,500	\$2,993	\$2,561	\$2,480	-\$513	-\$81
Canterbury	\$655,000	\$4,811	\$4,116	\$3,986	-\$825	-\$130
Otago	\$620,000	\$4,554	\$3,896	\$3,773	-\$781	-\$123
Southland	\$489,000	\$3,592	\$3,073	\$2,976	-\$616	-\$97
Nationwide	\$720,000	\$5,288	\$4,524	\$4,382	-\$906	-\$142
NZ excl Auckland	\$650,000	\$4,774	\$4,084	\$3,956	-\$818	-\$128

(* Calculations based on an average price first home with a 90% mortgage fixed for one year and a term of 20 years.)

First Home Buyer Report

The national picture

Since the previous six-monthly First Home Buyer (FHB) Report in November 2025, the broader property market has seen little change. Sales volumes continue to show signs of a gradual upward trend, but activity has been subdued in the early months of this year, while the stock of listings remains relatively elevated.

Conditions therefore remain in buyers' favour, which helps explain why property values have stayed broadly flat. Some regional variation persists, with parts of Southland and Canterbury showing more resilience than Auckland or Wellington. In part, this reflects the shape of the economy, with the farming sector outperforming services.

FHBs remain strong and are not always needing 20% deposits

Generally speaking, however, property values remain subdued. And in this environment – with house prices and mortgage rates

down, and affordability better – FHBs continue to fare well.

The Cotality Buyer Classification data shows that FHBs have enjoyed another strong quarter, accounting for 27.5% of purchases in Q1 2026 – just short of the record high of 28.2% set in the final three months of last year.

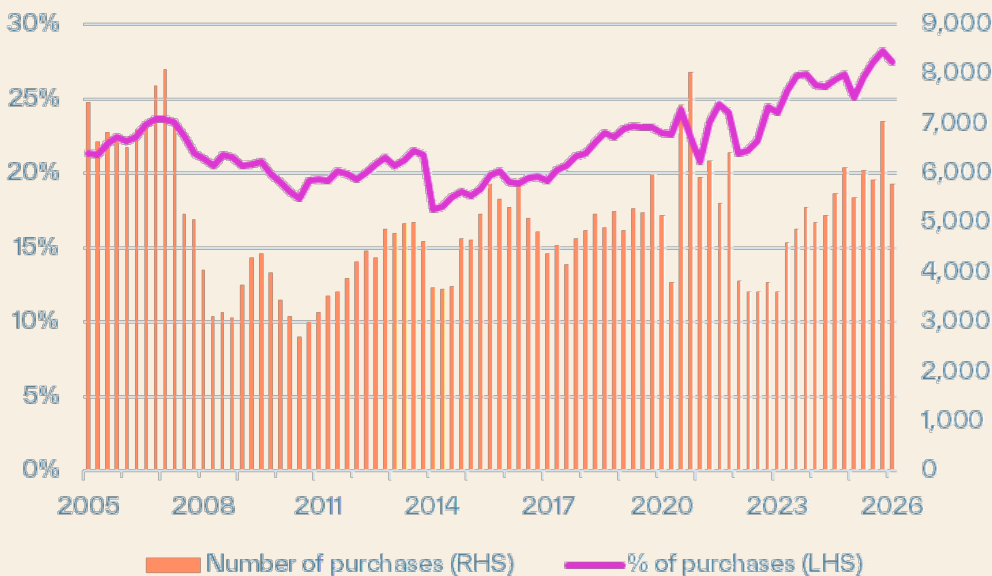
In a market where the number of sales is edging higher too, FHBs are also doing more deals in absolute terms. Over the past 12 months, FHBs have purchased around 24,800 properties, the highest annual total since Q3 2021 (25,650).

It's easy to be blasé about this strength for FHBs, given that they've been running well above their normal/average market share (of closer to 22%) for about three years now. But their ongoing high levels of activity should not be overlooked and it's a continued positive story.

Lower property values and reduced mortgage rates are helping FHBs, as is access to (ever-growing) KiwiSaver funds for at least part of the deposit. **In addition, many FHBs aren't even needing a 20% deposit in the first place.** The latest Reserve Bank figures show that 50-60% of FHB loans have recently been done at less than 20% deposit or above 80% loan to value ratio (LVR).

That upwards trend for low-deposit lending to FHBs is backed up by Westpac's own mortgage lending records. These figures show that the average LVR for FHBs has continued to drift higher, averaging nearly 81% across NZ in the past year – up from a touch less than 79% this time in 2025 and below 77% in 2024. LVRs tend to be a little higher in regions such as Waikato and Auckland, but lower in Wellington, Nelson, and Tasman.

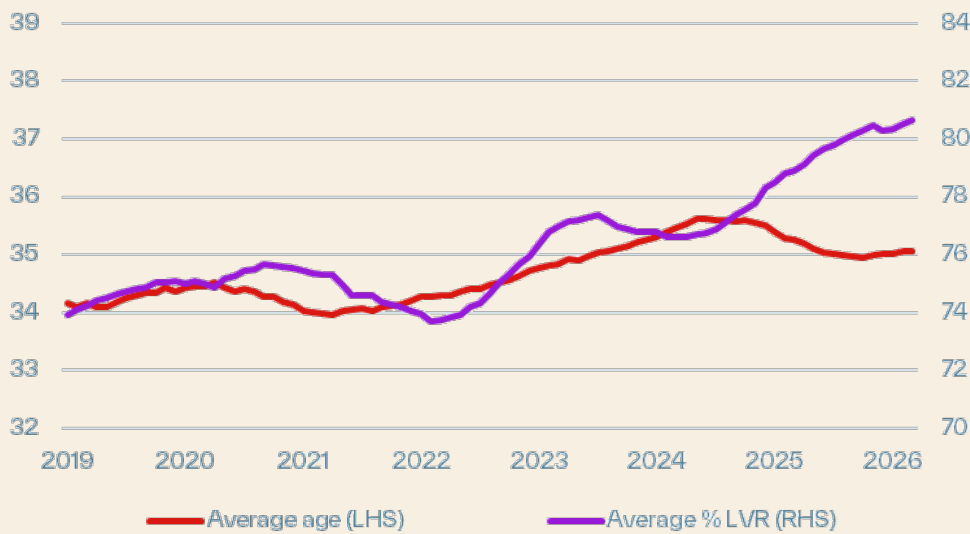
National FHB activity



Source: Cotality

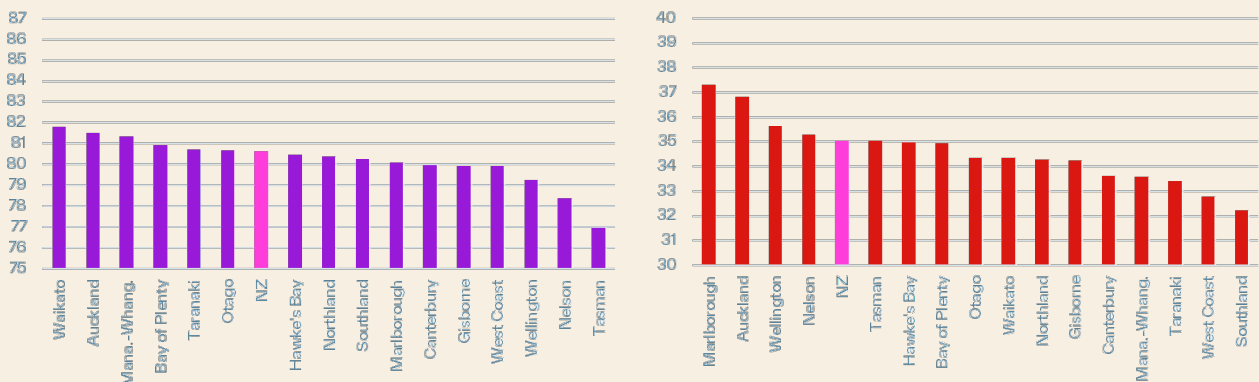
First Home Buyer Report

Average % LVR for Westpac FHB loans and average age of borrower (12-month rolling averages)



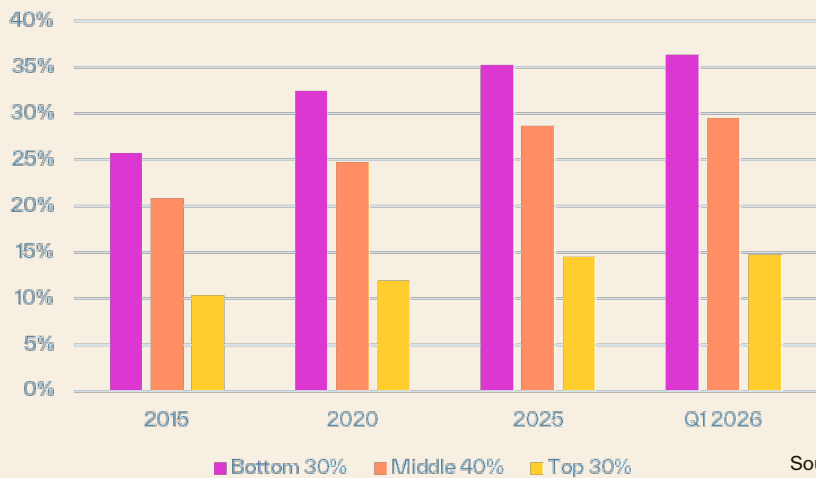
Source: Westpac

Regional % LVRs and average FHB age (12-month rolling averages)



Source: Westpac

FHB % market share by price paid band



Source: Cotality

First Home Buyer Report

They're also getting more for their money

FHBs have always tended to be willing to compromise on location or property type to make the shift from renting into ownership, but lately there hasn't been much need to take such an approach. Over the first three months of the year, standalone houses have comprised nearly 77% of all FHB purchases, up from 75% last year, and the highest figure since 2020 (78%). For comparison, standalone houses have accounted for 72% of deals across all buyers so far this year.

This shows that FHBs are getting the most for their money in a quieter housing market.

Admittedly, the median price they've paid so far this year has risen to \$720,000, up from around \$700,000 for most of 2025 and higher than the Q3 2024 trough of \$675,000. But it's still less than the peak FHB price paid of \$740,000 in Q1 2022.

Another important point to make about the prices being paid by FHBs is that the median for this group (\$720,000 so far in 2026) is lower than all buyers (\$795,000), but significantly higher than the lower quartile (bottom 25%) across all buyers, of \$600,000. **In other words, the 'typical' FHB doesn't always enter at the bottom of the market and work their way up - many actually enter the market well above the lowest tiers of the ladder.**

We can also split the data by value bracket and FHBs' market share has recently been rising across the spectrum. In the bottom 30% of the market by value, their share rose from 26% in 2015 to 33% in 2020, hitting 35% last year, and now 36% so far in 2026. A similar upwards trend can be seen in the middle 40% value bracket (share of around 21% in 2015 versus close to 30% now), and also the top 30% (10% in 2015 versus 15% now).

FHBs are also getting a little younger (albeit older than before)

We've also seen encouraging patterns in buyer age lately, with the average FHB on Westpac's records being roughly 35 over the past year, down marginally from the typical age of 36 in 2024.

Of course, the recent figure of around 35 nationally is still higher than the mark of 34 that we saw back in the early part of 2021. Again, Auckland's recent figure (roughly 37) comes in a little above the NZ reading, but lower-priced areas such as Taranaki, West Coast, and Southland have younger FHBs.

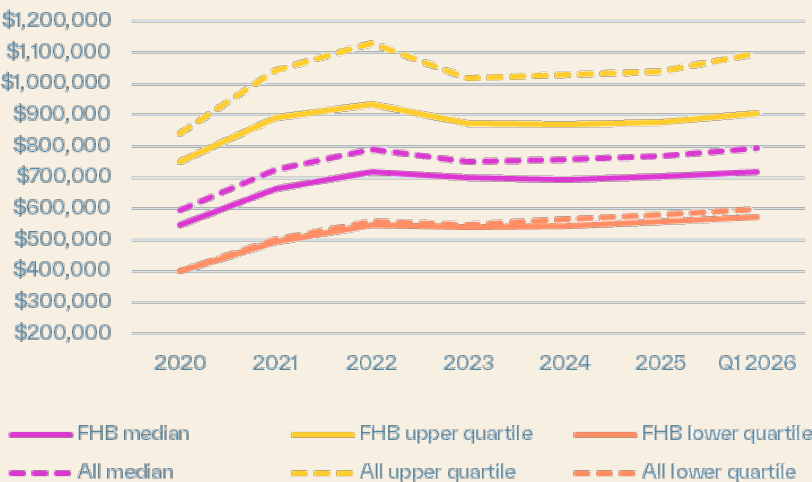
Affordability will play a key role in the average age of FHBs, delaying the purchasing decision for some people out of necessity in expensive areas. But for other people, a higher age will be a conscious choice, reflecting other motivations, such as an OE, or a career or family. In other words, Auckland's above-average FHB age won't be solely due to expensive housing. Equally, people in other areas may still try to buy earlier, regardless of the situation for prices and affordability.

A solid outlook

Overall, it's never easy to buy that first home and FHBs certainly continue to face challenges. **But their presence has remained strong in recent months and another solid year beckons in 2026, with support from the low-deposit lending allowances at the banks.**

It's worth noting that if and when other buyer groups such as relocating owner-occupiers start to drift back to the market, FHBs' % share of activity could conceivably fall over the next year or two, from a record high. But in a busier overall market they are still buying more properties and as such there's still good news flowing.

Purchase price paid



Source: Cotality

The main centres

Looking at the data across Auckland, Hamilton, Tauranga, wider Wellington (i.e. combined City, Lower Hutt, Upper Hutt, Porirua), Christchurch, and Dunedin, the national trends can also be seen at the more granular level – indeed, all of these areas have had FHB market shares lately that are above their own averages.

The wider Wellington area remains very buoyant for FHBs, where they have accounted for 37% of all property market activity so far in 2026, about 8%-points above normal for this area. Hamilton sits at 33% for the year to date (also around 8%-points above normal), with Auckland at 30%, Dunedin and Christchurch at 26-27%, and Tauranga at 23%. Even though it's lower in absolute terms, that figure

for Tauranga is still strong relative to its own history (average of 17%).

Looking at the different property types, standalone houses still dominate in most areas, accounting for almost 90% of FHB purchases in Dunedin, Tauranga, and Hamilton. In Wellington, Christchurch, and Auckland, the figures are lower (65-70%), but that's always the case due to a more diverse range of stock. It's probably Wellington and Christchurch that stand out most here, with FHBs targeting standalone houses less often than normal (recent figures are lower than averages of around 75%).

In each main centre, the median FHB price is lower than the figure

for all buyers, but higher than the lower quartile for all buyers – in other words, FHBs don't always enter at the bottom. In terms of the prices themselves, Auckland is the main centre where FHBs pay the most, at a median of \$900,000 so far in 2026, which is \$121,500 less than the all-buyer median, but \$118,750 more than the all-buyer lower quartile. Median FHB prices paid are \$815,000 in Tauranga so far in 2026, followed by Wellington at \$740,000, Hamilton \$700,000, and lower still in Christchurch and Dunedin.

FHB % share of purchases



Source: Cotality

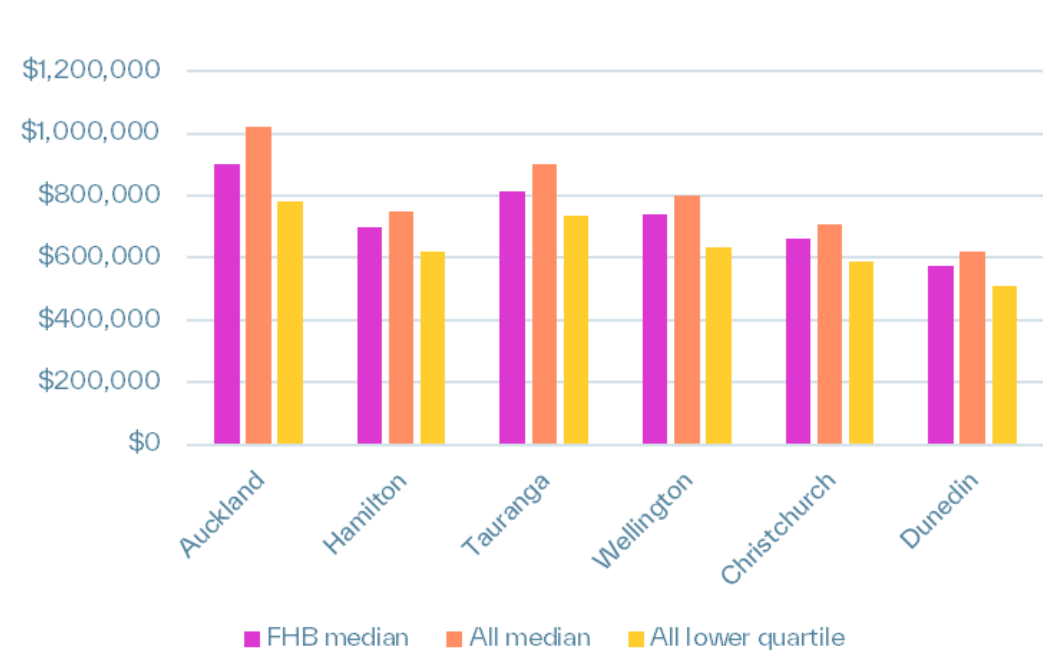
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House % share of FHB purchases



Source: Cotality

Purchase price paid Q1 2026



Source: Cotality

The main urban areas

Digging deeper into the next 12 key centres around New Zealand, the story of relative strength for FHBs' market share has remained in place so far in 2026. Napier stands out with 31% of transactions in the year to date going to FHBs, 11%-points above average. Gisborne and Palmerston North also have an FHB share >30%, with Hastings and Invercargill both at 29%.

Nelson, Rotorua, and Whangarei have also had FHB shares of at least 25% so far in 2026, while also being at least 4%-points above their own averages. The absolute numbers for Kapiti Coast (23%) and Queenstown (21%) are a bit lower, but still very solid compared to their own averages.

Standalone houses tend to be the

dominant type of property amongst the existing dwelling stock in many provincial areas, and therefore also account for a high share of FHB purchases. In Gisborne, for example, houses have represented 98% of all FHB activity so far this year, with 90% or greater shares also seen in Rotorua, Napier, New Plymouth, Whanganui, and Invercargill.

Of the 12 areas, only Queenstown has had a relatively low figure, with houses accounting for less than 70% of FHB purchases so far in 2026. That's likely to reflect a wider range of property types amongst the existing stock of dwellings, as well as affordability pressures which are probably pushing FHBs towards lower price brackets (and

hence smaller dwellings).

Indeed, in terms of median prices paid by FHBs so far this year, the highest figure (amongst the main urban areas) has been in Queenstown, at \$1,205,000. Kapiti Coast comes in at \$705,000, with Whangarei, Gisborne, Rotorua, Napier, Hastings, New Plymouth, and Nelson also all at least \$600,000. At the other end of the spectrum, Invercargill is \$480,000 and Whanganui \$450,000.

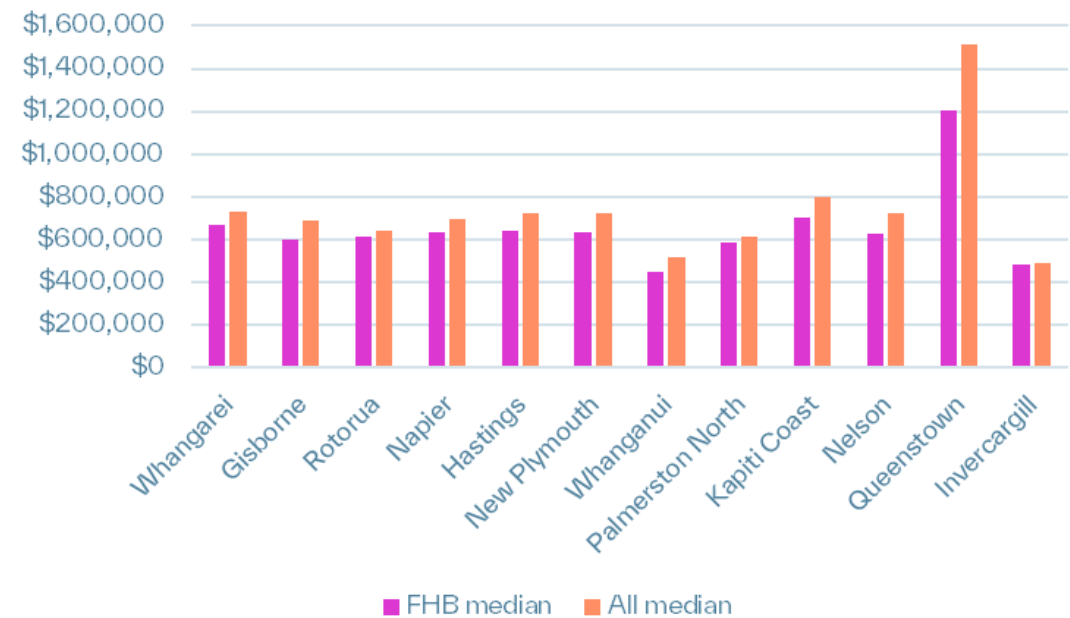
FHB % share of purchases



Source: Cotality

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Purchase price paid Q1 2026



Source: Cotality



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The provinces

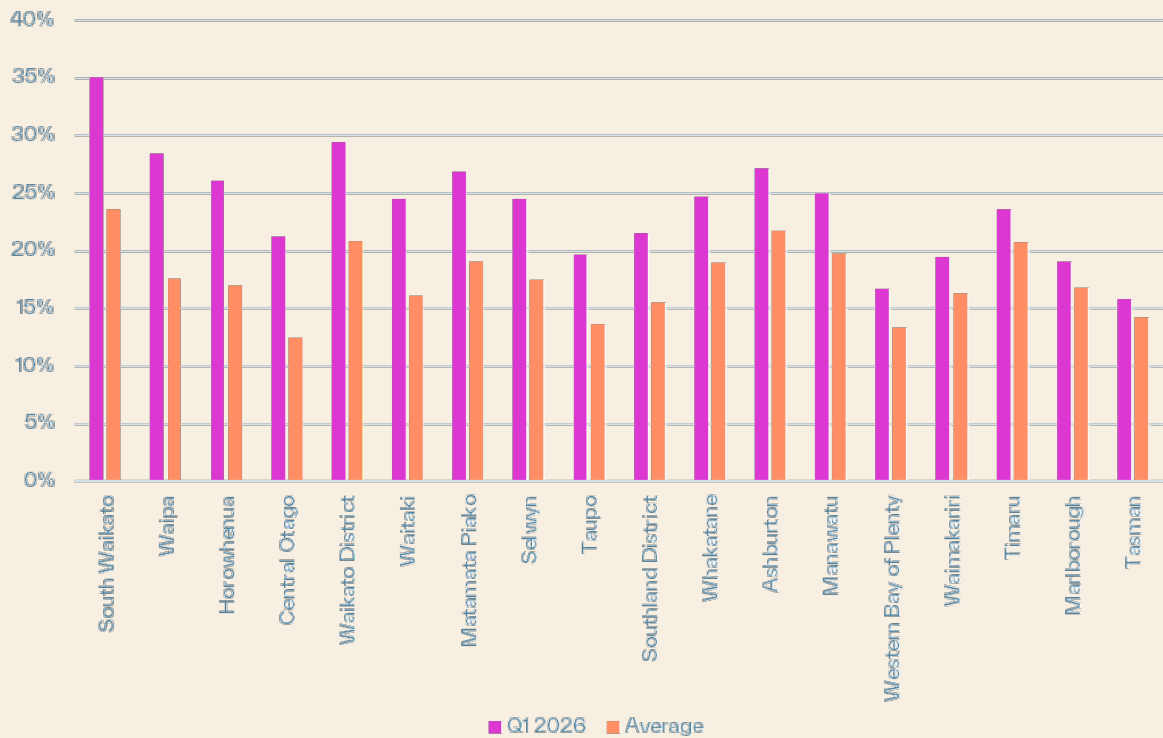
Around NZ's provincial markets (with a minimum number of 35 FHB purchases so far in 2026), all had a FHB % market share in Q1 above the long-term average. The highest raw numbers have been in South Waikato (35%), Waikato District (29%), along with Waipa (28%), and Ashburton (27%). Compared to their own averages, South Waikato and Waipa have also been strong, alongside Horowhenua and Central Otago.

Marlborough and Tasman have had lower shares of purchases going to FHBs so far this year, at 19% and 16% respectively, but each of those is still about 2%-points above its average. In other words, there's still been a solid presence for FHBs compared to normal.

Meanwhile, in terms of the prices being paid by FHBs in these provincial areas, Central Otago has had the highest figure so far in 2026 (\$823,250), with Selwyn next

at \$755,000. Other areas with FHBs paying at least \$700,000 include Waipa, Waikato District, Matamata Piako, Taupo, Western Bay of Plenty, and Tasman. Median prices paid by FHBs so far in 2026 are \$500,000 or less in Timaru, Waitaki, and South Waikato.

FHB % share of purchases



Source: Cotality

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Contact

Call us at Cotality on:
0800 355 355

Wellington Office

Level 14, 10 Brandon St
Wellington 6011

Auckland Office

Level 2, 12 Madden Street Auckland 1010

Email

nzmedia@cotality.com

Authors

Kelvin Davidson

Chief Property Economist, Cotality

kdavidson@cotality.com

+64 27 355 3813

Satish Ranchhod

Senior Economist, Westpac

satish.rancchod@westpac.co.nz

+64 9 336 5668

+64 21 710 852



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Australia and NZ Weekly 27 April 2026

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#uk

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By [Luci Ellis](#), [Matthew Hassan](#), [Elliot Clarke](#), [Justin Smirk](#), [Ryan Wells](#), [Illiana Jain](#), [Kelly Eckhold](#), [Satish Ranchhod](#), [Darren Gibbs](#), [Michael Gordon](#), [Mantas Vanagas](#), [Neha Sharma](#) & [Luka Belobrajdic](#)

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Economic Insight: It Depends on What You are Trying to Achieve.

The Week That Was: Middle East conflict seemingly at an impasse.

Focus on New Zealand: A matter of balance.

For the week ahead:

Australia: ANZAC Day public holiday, Q1 CPI, Cotality home value index, private credit.

New Zealand: ANZAC Day public holiday, employment indicator, ANZ business and consumer confidence.

Japan: BoJ policy decision, industrial production, jobless rate.

Euro area: ECB policy decision, CPI, GDP, unemployment rate.

UK: BoE policy decision.

United States: FOMC policy decision, PCE deflator, personal income and spending, ISM manufacturing.

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Week beginning 20 April 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: Drawing a line on just drawing a line.

The Week That Was: Conflict in the Middle East to cast a long shadow.

Focus on New Zealand: Oil shock begins to surface in data.

Forecast Update: Our latest forecast updates are detailed in our April Market Outlook.

For the week ahead:

Australia: Westpac-MI Leading Index.

New Zealand: Q1 CPI, NZIER Survey of Business Opinion and Q1 trade balance.

United States: Retail sales, initial jobless claims, University of Michigan Sentiment.

Euro area: ZEW Survey of Expectations, consumer confidence, President Lagarde speaks.

UK: Unemployment rate, CPI, GfK consumer sentiment.

Japan: CPI.

World: Manufacturing and services PMI.

Information contained in this report current as at 17 April 2026.

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Draw a line on just drawing a line



Luci Ellis
Chief Economist, Westpac Group

- **You know times are uncertain when institutions start publishing scenarios alongside their normal forecasts. Two principles underlie good scenarios. First, the narrative underlying the scenario must hang together – no assuming people do things that are either individually irrational or infeasible. Second, the scenario must allow people to respond to the initial shock – avoid just drawing a price line on a graph and assuming people cannot adjust their behaviour.**
- **There is a tension, though, between the need to be realistic and a desire to highlight vulnerabilities or contemplate worst-case scenarios. There is a legitimate role for worst-case thinking, but it must be handled with care. Recall that even though our forecasts last year were less alarmist than many in the wake of Liberation Day, actual outcomes were even better than we had expected.**
- **The real value of scenarios is teasing out downstream effects and delayed responses. Sometimes the responses to temporary shocks can have lasting effects. From EV purchases to defence budgets, these could be especially important coming out of the current conflict. All the more reason to avoid just drawing a line and assuming that is the outcome.**

In times as uncertain as these, you want to be able to articulate more than one possible future state of the world. That is where scenario analysis comes in. Indeed, when institutions start publishing scenarios, you can take it as a sign that things are unusually uncertain. The RBA used scenarios extensively during the pandemic. And while the IMF did not give scenarios any prominence in its [previous](#) full *World Economic Outlook* report in October, it did [this week](#). Similarly, we have published [several scenario iterations](#) over the past six weeks and will provide an update later today in our Market Outlook report.

Using scenarios rather than simple uncertainty ranges or a description of risks is especially useful when the possible future states of the world are qualitatively different from the base case, and when the level of conviction about that base case is low. There is nothing wrong with a scenario that is only a little different from the base case, but it is not that interesting or informative.

Two key principles underlie good scenario analysis. First, the premise of the scenario needs to be well-grounded. The narrative motivating the initial impetus must hang together. It must be logically consistent and represent both the interests and the constraints of the actors within the system. In other

words, scenarios should not assume that people do things that are either bonkers or infeasible. Individually rational behaviour that is harmful in aggregate, such as panic-buying toilet paper or conducting fire-sales of loss-making assets, should of course be allowed for, but make sure the action is indeed individually rational.

Second, the methods used in developing the scenario need to go beyond first-round thinking. You need to allow for other people to react. A good scenario cannot be just a one-off shock where nothing else changes. Sometimes it takes time for people to adjust to the new situation, so the reaction occurs with a lag. Teasing these reactions out is the value-add of the scenario.

There is a tension, though, between the need to be realistic and a desire to highlight vulnerabilities or contemplate worst-case scenarios. Sometimes a lack of realism is used to guard against a potential failure of imagination. There is a legitimate role for this approach when stress testing, for example. However, unrealistic assumptions in forecast-flavoured scenarios leave your forecasts open to misinterpretation. We have seen an example of this issue this week, where the IMF's worst-case 'severe' scenario, which implies a global recession, has sparked unhelpful talk of recession here in Australia.

“Scenario analysis is essential in uncertain times, but it must be well-grounded, not just drawing an arbitrary line on a graph.”

Part of the issue is that the IMF's less-bad 'adverse' scenario (which assumes oil prices average USD100/bbl this year before moderating to USD75 next year) and worst-case 'severe' scenario (which assumes oil prices stay around USD125/bbl from the outbreak of the conflict all the way through to end-2027) are both 'top-down' scenarios that appear to start from an assumed path for oil prices. Unlike our own scenario work, they do not explicitly model loss of supply from the Middle East and work out what prices need to do to clear the global market. By effectively just drawing a line on a graph for oil prices, the scenarios assume away any scope for other producers to respond. This is not an issue in the near term, but the longer the assumption is maintained, the less realistic it is. High prices will spur non-OPEC producers such as the US and Canada to boost production. It takes time to get that expansion running, but eventually prices will start to ease.

Because it assumes high prices right through 2027, the ‘severe’ scenario is most challenged by this issue. This is not to say that the IMF should not have published that scenario, but it is important to understand the context and what it was trying to achieve in doing so.

When developing scenarios, you also need to avoid the trap of thinking only of downside risks. Part of the problem is that downside risks usually come from identifiable events. It is easy to construct a plausible narrative for a scenario starting from “this particular bad thing happened”. But as one of my old bosses used to remind us, sometimes you should also consider the risk everything just turns out a little bit better than expected.

As our [April Market Outlook](#) goes to publication later today, it is helpful to recall last [April's edition](#). The ‘Liberation Day’ tariffs had been announced a fortnight previously, and many voices in the market were predicting global or US recessions. At the time we took a more moderate view, based on the principles noted above. Firstly, continuing with very high tariff rates would have been an act of economic self-harm. While it was hard to bet on the Trump administration acting rationally in a context of ‘flood the zone’ headlines and intemperate social media posts, self-interest is still the best assumption. If there is nothing preventing someone from stopping punching themselves in the face, they will stop punching.

Secondly – and this was a key judgement in our forecast last year – other countries had agency and could respond. In particular, China had scope to stimulate, and this would also cushion growth in Australia. In that context, we note that the latest Chinese GDP growth has again [surprised on the upside](#) relative to market expectations.

It turns out that even we were too bearish a year ago: the global economy did much better than expected, and global trade kept expanding with barely a hiccup. Other factors, including a tech boom, turned out to be more important than expected. Trade patterns were also re-routed around the highest tariffs, and of course the US government de-escalated, as is proving to be its pattern.

These principles also hold for other kinds of scenarios. Whenever you read a prediction of doom concerning, say, adoption of a new technology, ask yourself what is preventing people from responding to ameliorate the bad thing. What prevents macroeconomic policymakers from easing, for example, or the tax system from redistributing unequal gains? While occasionally decision-makers decide that a bad thing is good actually, holding that position is itself fragile.

Where scenarios can really add value is when they highlight a lasting effect from a temporary shock. Whether it is the person who buys an EV in response to current high petrol prices and reduces their petrol consumption permanently, or the government that reassesses its defence spending, behavioural responses can change longer-term demand trends, and so the prices that prevail further out. Normalisation after a shock does not always take you back to where you were. That is another reason why it is so important to avoid just drawing a line on a graph and calling it a scenario, ignoring system-wide effects.

Forecast changes

- A full update to our forecasts was published in our **Market Outlook publication on April 17.**

Cliff Notes: conflict in the Middle East to cast a long shadow

Elliot Clarke, Head of International Economics
Ryan Wells, Economist

[Our Westpac-MI Consumer Sentiment Index](#) posted its largest fall since COVID-19, down 12.5% to a deeply pessimistic reading of 80.1. The impact from the surge in fuel prices was acute, leading to a more pronounced deterioration in the sub-indexes tracking current conditions – namely ‘family finances vs a year ago’ (–16.7%) and ‘time to buy a major household item’ (–15.0%). There were also significant hits to the year-ahead outlook for family finances (–13.9%) and the economy (–12.4%), suggesting households are bracing for enduring pressure.

The tone of the March [NAB business survey](#) was no better, business confidence collapsing 29pts from a neutral reading in February. This came alongside a notable lift in purchase cost pressures, up 1.7pts to a quarterly pace of 3.0%. That final producer prices lifted +0.4pts emphasises the rapid pass-through of surging fuel costs, but also that businesses are currently absorbing most of the increase in costs via margins, impacting profitability. The readings for current trading conditions and employment were positive, enabling business conditions to hold around its long-run average. This suggests the underlying health of the economy can be maintained if risks subside quickly.

This week we also received the March Labour Force Survey. It showed the Australian labour market was in good health prior to the Middle East conflict and the RBA's most recent rate hike. Employment growth continued to strengthen from its trough in March, from 1.0%yr to 1.5%yr on a three-month average basis, reflecting the economy's momentum through the second half of 2025 and into 2026. The unemployment rate has also held at 4.3% over the past two months, a similar level to the second half of last year. It now looks increasingly like the 4.1% prints at the turn of the year were due to temporary weakness in participation, not a sustained re-tightening.

However, given the hit to business confidence and the expectation of further policy tightening, the Middle East conflict looks set to cast a long shadow over the labour market. We expect a combination of lower average hours worked and slower employment growth, seeing the unemployment rate lift to 5.0% in early 2027. Tracking industries most exposed to the fuel shock will provide an initial take on the scale of the impact. Manufacturing, construction, transport/logistics and travel/tourism are the sectors to watch.

Offshore, an abrupt end to the first round of in-person talks between the US and Iran and the US' Navy's subsequent blockade of Iranian ports and associated vessels was the main point of conversation for markets this week. The market's take has been sanguine, the price of Brent oil retreating

below US\$100 and global equities rallying back to historic highs during the week. Comments made by both sides imply negotiations are ongoing and another round of in-person talks will occur before the two-week ceasefire ends in coming days. There is also the option to extend the ceasefire, if necessary.

Effectively cut off from global shipping, Iran's need for a deal is clear. But this is also the case for the US economy, University of Michigan consumer sentiment fell to a record low this week, 43% below the average of the survey since 1978. Price pressures are currently limited to first-order effects, headline CPI inflation printing at 0.9% against a core reading of just 0.2% in March. Should the conflict persist, it is highly likely second-round effects will permeate through the US economy, materially increasing the likelihood of inflation holding well above target and term interest rates trending higher. FOMC members who spoke this week all showed confidence in the underlying health of the US economy but also concern over the potential for an lasting imbalance between growth and inflation.

In contrast, [China's economy showed strength this week](#), annual GDP growth accelerated from 4.5%yr in Q4 2025 to 5.0%yr in Q1, matching the full-year outcome for 2025. From the monthly partial data, China's Q1 momentum was principally due to the strength of exporters and associated investment, both of which are likely to receive a lasting boost from increased demand for green technology given the Middle East's impact on energy prices and supply. There is reason for guarded optimism over the outlook for property investment as well, the year-to-date decline having moderated from -17%ytd at December to -11%ytd in February and March. Still equivalent to circa 15% of GDP, an end to the sharp construction declines of recent years would provide a material boost to aggregate growth through 2026.

External demand and investment's support for GDP masks the still-troubled state of consumer demand. Having surprised to the upside in February at 2.8%ytd, in March retail sales growth slowed once again to 2.4%ytd. While not a disastrous outcome by any means, it is less than half the average pace of the past five years post pandemic, a historically weak period for household demand growth. Policy makers have been clear in their intent to provide additional support to households but are yet to action plans. And, while equities have risen through the year, house prices continue to decline, weighing on wealth and sentiment. Without broadening the growth pulse, aggregate momentum will remain susceptible to slipping towards, or through, 4.0% in coming years, even with a significant benefit from global demand for green technology.

A full update of our expectations and assessment of risks for the global economy and markets will be made available today in the April edition of Market Outlook on Westpac IQ.

Oil shock begins to surface in data

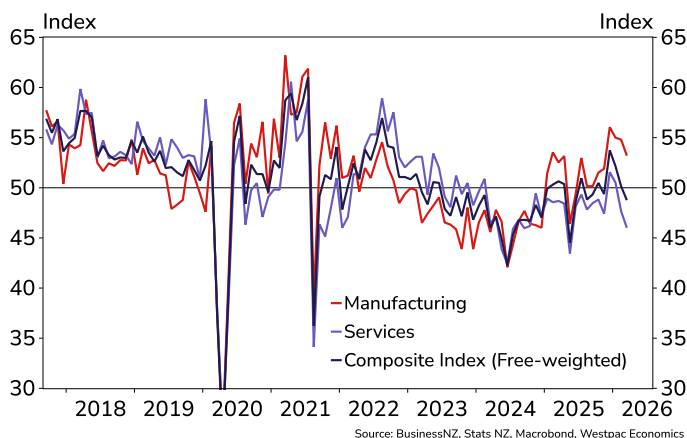


Darren Gibbs
Senior Economist

The past week has delivered some further insight on the early impact of the Middle East conflict on the New Zealand economy. Unsurprisingly, that data points to some marked changes in spending patterns and clear upward pressure on prices for energy products. Even greater impacts are certain to be evident over coming months as the shock transmits through the economy.

On Monday, BusinessNZ reported that its Performance of Services Index had declined 1.6pts in March to a 10-month low of 46.0. All five subindexes fell below 50, with the activity/sales index falling to 44.6 and the new orders/business index falling to 45.7. The employment index also fell to the lowest level since October 2024. Separately, MBIE reported a modest decline in job ads in March. However, for now, the level of advertising remains more than 10% higher than a year earlier, and we are also yet to see any sign of labour shedding in the weekly filled jobs data collected from tax records. Meanwhile, more than two-thirds of the comments submitted by respondents to the BusinessNZ survey were said to be negative, with many – especially in industries dealing with discretionary spending – unsurprisingly citing the impacts of the Middle East crisis.

BusinessNZ PMIs

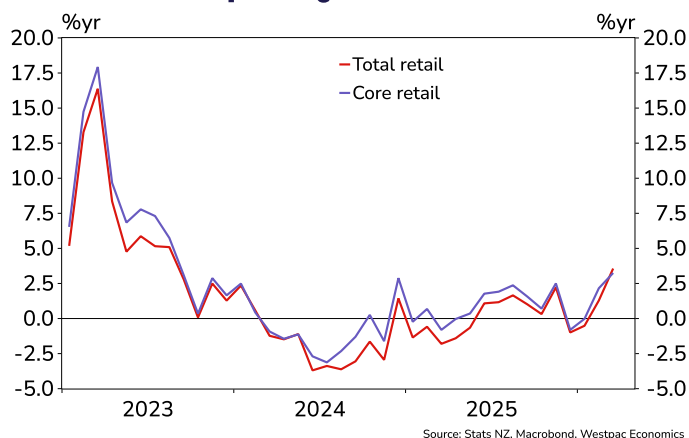


Later in the week [news from the retail sector](#) provided no major surprises. Consumer spending, as measured by electronic card payments, increased 0.7%*m/m* in March. Unsurprisingly, with petrol prices surging almost 19% during the month, spending on fuel increased over 17%. By contrast, core spending – which excludes spending on fuel and vehicles – fell a modest 0.1%*m/m*. Within the core measure, while spending on consumables (groceries) and durables grew, this

was more than offset by a decline in spending on apparel and hospitality. These data were broadly in line with the trends that were evident in [Westpac's own card spending data](#), which we had published earlier in the week.

Given the outcome for March, retail spending over the March quarter grew 1.0%. This was the strongest quarter since the December 2024 quarter, consistent with our view that the economy's forward momentum had improved at the start of this year. But looking ahead, high fuel prices will continue to siphon money out of households' pockets. At the same time, they will add to costs of production for a variety of other goods and services and will continue to significantly undermine consumer confidence. Overtime, these costs will also weigh on the strong growth in tourist arrivals that has helped retailers to weather a time of relatively subdued domestic spending. We continue to anticipate that consumer spending volumes will decline slightly in the current quarter, even as the value of spending is sustained by higher prices.

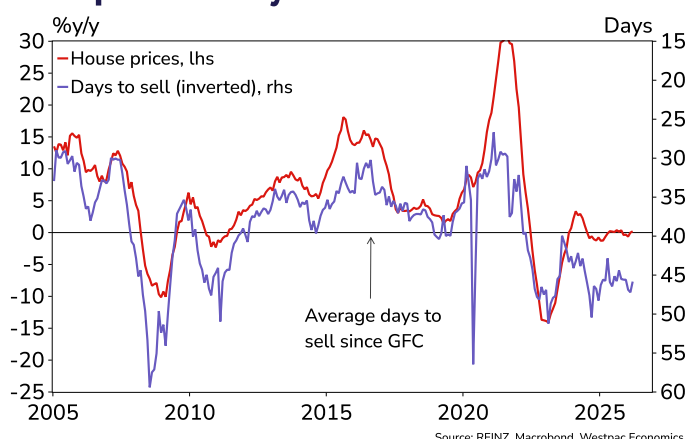
Electronic card spending in retail stores



[News from the housing market](#) also provided no major surprises. Sales were down around 4% in March, reversing a 5% rise in February, and have been effectively moving sideways over the last year. The average time to sell shortened compared to February but has also remained within a narrow range and remains longer than usual. The REINZ house price index ticked up slightly in March following a 0.6% rise in February. Prices have now largely reversed the declines that we saw over the second half of 2025 and were up 0.2% from a year earlier. Conditions vary across the country, with prices trending higher in the South Island while the North Island has been more stagnant. Of course, the Middle East conflict has cast a

fresh shadow of uncertainty over the economic outlook. It was unlikely that we would see an impact on the housing market as early as March, but in the months ahead we'll be watching for signs of a softening that would support our current forecast of a 1% fall in prices over this year. (Anecdotal evidence suggests greater caution amongst buyers in recent weeks.)

House prices and days to sell

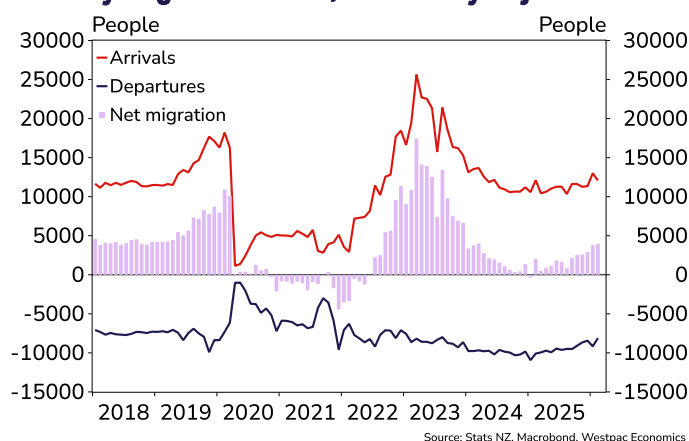


Another sector that is likely to be challenged by the Middle East conflict is the tourism industry. Increased prices for flights and sharply lower consumer confidence are likely to be weighing on forward bookings, especially from long-haul countries, and this should become evident as the year progresses. However, the recent trend has been very favourable, with arrivals in February increasing for an eighth consecutive month. A notable feature of the latest data was a further improvement in arrivals from China, which until recently had continued to track far below pre-pandemic levels. Thanks to the timing of the Lunar New Year, arrivals from China was more than triple that seen in February last year. But taking the January/February period as one to remove the impact of the floating holiday timing, arrivals were still up more than 50% and just 5% below the level seen in 2019. Helpfully, this comes at a time when there appears to be some slowing in arrivals from some other markets, notably the US and South Korea.

The inflow of longer-term arrivals – new residents and those on working, educational and other visas – has also shown some signs of lifting of late. Keeping in mind that more recent observations are subject to revision, the number of migrant arrivals in February was estimated to be around 2,000 greater than the low point seen in August last year whilst the number of departures was around 3,000 less than last January's highpoint. The net inflow of 3,600 was the largest since March 2024 and the inflow for the year to February – just over 25,000 – was over 7,000 more than the preceding year. At least in part the strengthening trend is further evidence of the improved

economic conditions that were developing in New Zealand prior to the Middle East conflict. Changes to visa policy have likely also contributed to the pickup in inflows.

Monthly migration flows, seasonally adjusted



Finally, the release of the Selected Prices Indexes for March has allowed us to finalise [our forecast for next week's March quarter CPI](#) report. As expected, the price of petrol increased 19% in March and the price of diesel surged 42%. However, food and some other travel-related prices such as airfares came in slightly weaker than expected. As a result, we have revised down our forecast for the CPI to 0.7%, which would see annual inflation ease back to 2.8% from 3.1% in the December quarter. Higher prices for food and petrol should make the most significant contributions, although tradable prices overall are expected to rise just 0.2% over the quarter and 2.1% over the year. Non-tradables prices are forecast to increase 0.8% over the quarter, lowering annual inflation to 3.3%. Meanwhile measures of core inflation, such as the trimmed mean and the ex-fuel and energy CPI, are expected to remain in the top half of the RBNZ's target range.

Our forecast is a little lower than the updated 3.0% forecast released by the RBNZ at its 8 April Monetary Policy Review. Assuming the CPI prints close to our expectations, the RBNZ will only take modest comfort given what lies ahead. The impact of the oil shock will become more evident when the June quarter CPI is released in July, and perhaps earlier in the monthly Selected Prices Indexes that will be released prior to the CPI. We currently estimate that annual CPI inflation will rise to 4.3% in the June quarter, although much will depend on how petrol prices evolve over coming weeks.

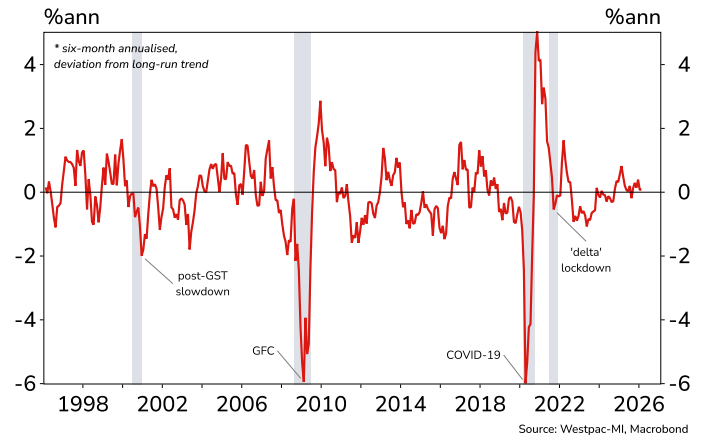
AUS: Mar Westpac-MI Leading Index

Apr 22, Last: +0.08%

The Leading Index growth rate held at +0.08% in February, unchanged from January but down from more firmly positive reads late last year.

The March read will again see a very mixed bag of component updates. The global energy shock has hit sentiment measures and financial markets hard. Both the Westpac-MI Consumer Expectations Index and the Westpac-MI Unemployment Expectations Index deteriorated by 10% in the latest month, the S&P/ASX200 dropping 7.8% month to month and the yield spread narrowing further. However, commodity prices firmed (up 2.1% in AUD terms) and total hours worked rose 0.5% while dwelling approvals posted a big 30% rebound from very weak reads in Dec-Jan. The net effect is hard to judge but may be more neutral than weak.

Westpac-MI Leading Index

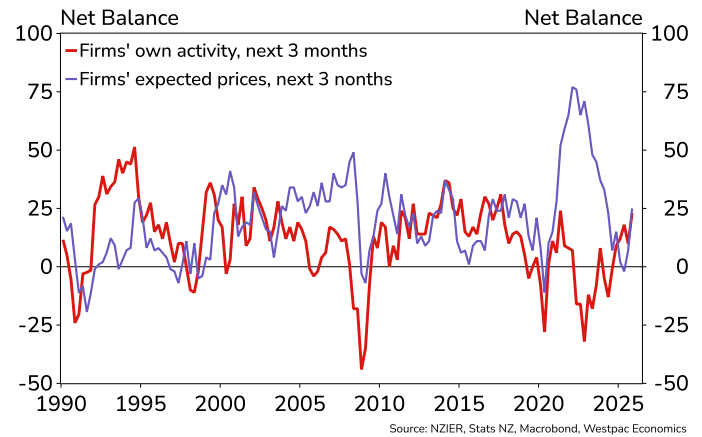


NZ: Q1 NZIER Survey of Business Opinion (index)

Apr 21, General business confidence last: 39.5

The December quarter QSBO showed a more upbeat attitude among businesses than we've seen for some time, with both actual and expected activity picking up, and demand for workers responding accordingly. The March quarter survey will be a different matter though, coming in the wake of the Iran war, and later responses are likely to be significantly more downbeat than earlier ones. The pricing measures of the survey will show the hit from the surge in fuel costs, but more important will be firms' willingness to pass this on into their own prices. This particular measure seems to have been instrumental in kicking off both tightening and easing phases by the RBNZ in recent years.

Quarterly Survey of Business Opinion

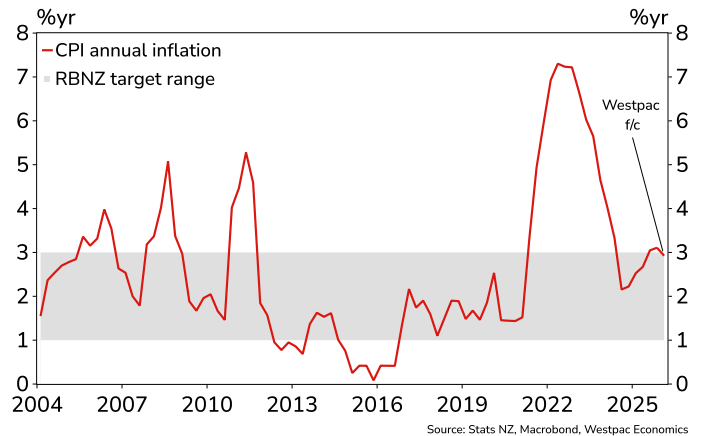


NZ: Q1 Consumer Prices (%)

Apr 21, Quarterly last: 0.6, Westpac f/c: 0.7
Annual last: 3.1, Westpac f/c: 2.8, RBNZ f/c: 3.0

We estimate that New Zealand consumer prices rose by 0.7% in the March quarter, underpinned by higher prices for food and petrol. The annual inflation rate is expected to dip from 3.1% to 2.8%, slightly below the RBNZ's forecast of 3.0% (updated at its April Monetary Policy Review). Under the surface, core inflation is expected to remain at firm levels. While the annual inflation rate is set to soften a little in March, this will be just a temporary reprieve. Inflation is set to rise sharply through the middle part of the year in response to the recent rise in oil prices and related increases in other costs. We expect inflation will rise to around 4.3% mid-year.

Inflation at top of the range before Iran war



What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 20							
NZ	Mar	Trade Balance	\$mn	-257	-	388	Higher fuel prices will likely weigh in April.
Tue 21							
NZ	Q1	NZIER Survey of Business Opinion	index	39.5	-	-	Early indicator of business activity, pricing pressures.
	Q1	CPI	%qtr	0.6	0.8	0.7	Boost from food and fuel prices.
	Q1	CPI	%ann	3.1	2.9	2.8	Temporary easing, set to rise sharply mid-year.
Eur	Apr	ZEW Survey Of Expectations	index	-8.5	-	-	Middle East undoubtedly weighing on investor confidence.
UK	Feb	ILO Unemployment Rate	%	5.2	5.2	-	Labour market already weakening before Middle East shock.
US	Mar	Retail Sales	%mth	0.6	1.3	-	Evaporating confidence keeps consumer on weaker footing.
	Feb	Business Inventories	%mth	-0.1	0.3	-	Inventory restocking slowing amid shaky consumer outlook.
	Mar	Pending Home Sales	%mth	1.8	0.8	-	Early guide to established home sales, which is low and stable..
Wed 22							
Aus	Mar	Westpac-MI Leading Index	%ann'd	0.08	-	-	Interest rate hikes and Middle East impacts soon to be felt.
Eur	Apr	Consumer Confidence	index	-16.3	-17.3	-	Sunk to a two-and-a-half year low on Middle East crisis.
		ECB President Lagarde	-	-	-	-	Speaking on global challenges at LSE, 3:30am AEST.
UK	Mar	CPI	%ann	3.0	3.3	-	Set to pop materially higher on oil; focus on core.
Thu 23							
Jpn	Apr	S&P Global Manufacturing PMI	index	51.6	-	-	Expanding at a slower rate, uncertainty starting to weigh ...
	Apr	S&P Global Services PMI	index	53.4	-	-	... services activity is otherwise robust, providing some offset.
Eur	Apr	S&P Global Manufacturing PMI	index	51.6	50.1	-	Uptrend in manufacturing at risk of being arrested ...
	Apr	S&P Global Services PMI	index	50.2	49.5	-	... health of consumer will be key for services.
UK	Apr	S&P Global Manufacturing PMI	index	51.0	49.8	-	UK on more uneven footing, with mfg growth modest ...
	Apr	S&P Global Services PMI	index	50.5	50.0	-	... and services activity slowing toward break-even.
US	Mar	Chicago Fed Activity	index	-0.11	-	-	Likely to suggest below-trend growth for time being.
		Initial Jobless Claims	000s	207	210	-	Still quite low, not indicative of widespread firing.
	Apr	S&P Global Manufacturing PMI	index	52.3	52.8	-	Industry on a solid footing, similar to the ISM, but ...
	Apr	S&P Global Services PMI	index	49.8	50.0	-	... a weaker consumer does not bode well for services.
	Apr	Kansas City Fed Manufacturing	index	11	-	-	Performing relatively well compared to other regions.
Fri 24							
Jpn	Mar	CPI	%ann	1.3	1.4	-	Ueda strikes a cautious tone, monitor data before reacting.
Ger	Apr	IFO Business Climate Survey	index	86.4	86.6	-	Will souring expectations bleed into current situation view?
UK	Apr	GfK Consumer Sentiment	index	-21	-25	-	Confidence weakening but not unravelling frantically.
	Mar	Retail Sales	%mth	-0.4	-0.3	-	Watch core sales (ex fuel) for early signs of pressure.
US	Apr	Uni. Of Michigan Sentiment	index	47.6	48.3	-	Final estimate will provide full read on US-Iran reaction.

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (17 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.32	4.80	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.63	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.65	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	5.00	5.00	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	69	65	65	60	55	50	40	30	20	15
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.31	4.35	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75
New Zealand										
Cash	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25
90 Day Bill	2.54	2.50	2.95	3.40	3.75	4.00	4.25	4.45	4.45	4.45
2 Year Swap	3.44	3.75	4.05	4.30	4.40	4.40	4.40	4.35	4.30	4.25
10 Year Bond	4.68	4.85	4.95	5.00	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	36	50	55	55	55	55	50	45	40	35

Exchange rate forecasts

	Latest (17 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
AUD/USD	0.7164	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5892	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.67
USD/JPY	159.11	158	156	154	152	150	148	146	144	142
EUR/USD	1.1786	1.18	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3532	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.8227	6.80	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.2159	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026		2027				Calendar years			
% change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2025	2026f	2027f	2028f
Employment %qtr **	0.2	0.2	0.7	0.3	0.2	0.1	0.4	0.5	–	–	–	–
%yr end **	1.4	1.1	1.5	1.4	1.4	1.3	1.1	1.3	1.1	1.3	1.7	2.3
Unemployment rate % **	4.3	4.3	4.2	4.4	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.0	3.4
Headline CPI %qtr	1.3	0.6	1.5	1.9	0.9	0.3	0.5	0.6	–	–	–	–
%yr end	3.2	3.6	4.2	5.4	5.0	4.6	3.6	2.3	3.6	4.6	2.4	2.3
Trimmed Mean CPI %qtr	1.0	0.9	0.9	1.0	1.0	0.9	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	3.8	3.5	3.4	4.0	3.0	2.4

* Business investment, private and public demand are adjusted to exclude the effect of private sector purchases of public sector assets. ** Quarter-averages.

New Zealand economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2024	2025	2026f	2027f
GDP %qtr	0.9	0.2	0.8	-0.4	0.5	1.0	1.4	0.8	–	–	–	–
Annual avg change	-0.6	0.2	0.6	1.2	1.3	1.5	1.9	2.4	-0.3	0.2	1.5	3.5
Unemployment rate %	5.3	5.4	5.4	5.6	5.6	5.4	5.1	4.9	5.1	5.4	5.4	4.6
CPI %qtr	1.0	0.6	0.7	1.9	1.0	0.3	0.3	0.1	–	–	–	–
Annual change	3.0	3.1	2.8	4.3	4.2	3.9	3.5	1.6	2.2	3.1	3.9	1.7

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Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

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